

GOVERNMENT OF ALBERTA



Jobs, Economy and Trade

Annual Report

2024-25

Alberta 

Ministry of Jobs, Economy and Trade, Government of Alberta | Jobs, Economy and Trade Annual Report 2024–2025

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Preface

The Public Accounts of Alberta are prepared in accordance with the *Financial Administration Act* and the *Sustainable Fiscal Planning and Reporting Act*. The Public Accounts consist of the annual report of the Government of Alberta and the annual reports of each ministry.

The 2024-25 Annual Report reflects the 2024-27 Ministry business plans, the Government of Alberta Strategic Plan, as well as the ministry's activities and accomplishments during the 2024-25 fiscal year, which ended on March 31, 2025.

The Annual Report of the Government of Alberta contains *Budget 2024* Key Results, the audited Consolidated Financial Statements and Performance Results, which compares actual performance results to desired results set out in the government's strategic plan.

This annual report of the Ministry of Jobs, Economy and Trade contains the Minister's Accountability Statement, the ministry's Financial Information and Results Analysis, a comparison of actual performance results to desired results set out in the Ministry Business Plan. This ministry annual report also includes:

- the financial statements of the Workers' Compensation Board – Alberta (WCB); and
- other financial information as required by the *Financial Administration Act* and *Sustainable Fiscal Planning and Reporting Act*, as separate reports, to the extent that the ministry has anything to report.

All ministry annual reports should be considered along with the Government of Alberta annual report to provide a complete overview of government's commitment to openness, accountability and fiscal transparency.

Minister's Accountability Statement

The ministry's annual report for the year ended March 31, 2025, was prepared under my direction in accordance with the *Sustainable Fiscal Planning and Reporting Act* and the government's accounting policies. All of the government's policy decisions as at June 3, 2025 with material economic or fiscal implications of which I am aware have been considered in the preparation of this report.

[Original signed by]

Honourable Joseph Schow
Minister of Jobs, Economy, Trade and Immigration

Message from the Minister



Alberta's government continued to foster the conditions for growth during the 2024-25 fiscal year, creating jobs and economic opportunities for Albertans while ensuring business, investment and trade could thrive.

Jobs, Economy and Trade's efforts to support Alberta families and businesses helped to ensure our province remained the best place to live, work, invest and raise a family. I am honoured to serve as the minister and am proud of the ministry's achievements during the past fiscal year.

Ensuring Alberta's economy prospered was a key outcome for the ministry. Promoting trade opportunities and enhancing our province's access to new and emerging markets supported this outcome. This became especially critical following the administration change in the United States in early 2025 and the uncertainty generated by that administration's actions. Alberta's government must take the threat of tariffs seriously and be realistic about how we respond to and manage them. It was essential the ministry continued to seek new markets and trading partners so it is better positioned to withstand external shocks and ensure long-term prosperity.

To this end, the ministry led trade missions to the United Kingdom, Argentina, the United Arab Emirates, Indonesia, the Philippines and Germany. The missions included networking with industry and government leaders from around the world, building relationships and telling Alberta's story about why our province is a great place to invest, or establish a facility or business. The missions also helped Alberta's exporters meet with potential international customers and find new markets for their products and services. The ministry also continued to coordinate our government's engagement in international trade negotiations to ensure our province's interests were represented.

Encouraging investment and supporting business growth is another way the ministry helped ensure Alberta's economy continued to prosper. Through the Investment and Growth Fund, the ministry supported four projects that will create an estimated 261 full time and 445 temporary jobs. The fund leveraged an astonishing \$29 in private investment for every \$1 in program funding. For example, the fund supported Lufthansa Technik Canada's state-of-the-art aircraft maintenance and repair facility at the Calgary International Airport. The ministry also provided concierge services that helped potential investors choose Alberta and, in April 2024, launched the Site Selector Tool. This tool gives businesses and investors key data they need to make informed decisions about where to invest, expand or start a business.

Jobs, Economy and Trade also supported economic growth and diversification by investing in Alberta's film and television industry through the Film and Television Tax Credit program. Changes were made to the program to reduce red tape, make it easier for productions to apply, and encourage filming in diverse parts of the province, including rural Alberta. Finally, the ministry provided a record number and value of Northern and Regional Economic Development grants to organizations to assist economic growth in all corners of the province.

A prosperous economy requires a skilled and resilient labour force. Jobs, Economy and Trade supported Albertans by providing training and re-training programs and attracting workers in areas of labour shortages and high demand. The Alberta is Calling Moving Bonus will support up to

2,000 workers in select occupations who moved to Alberta in 2024 through a refundable tax credit. The ministry also looked ahead to future labour needs by creating and releasing a 10-year occupational outlook to give employers, workers and educators the vital information they need. Alberta's government also supported Alberta's north through the Northern Alberta Development Bursary program, which provided financial assistance to students in select occupations who commit to working in northern Alberta once they graduate.

In addition to having a skilled labour force, Alberta's government is committed to ensuring Albertans are working in safe, fair and healthy workplaces. Jobs, Economy and Trade continued to update the Occupational Health and Safety Code to ensure workplace health and safety rules keep pace with changing workplaces, best practices and technology. Changes went into effect for portions of the code dealing with harassment and violence, explosives and gas and oil wells, along with administrative changes to correct errors and align standards. The ministry was able to complete more health and safety inspections this year, which helps employers and workers ensure they are in compliance with the rules. Finally, the ministry continued to provide education resources for employers and workers, some of which are available in multiple languages.

Jobs, Economy and Trade also continued to resolve employment standards complaints in a timely manner and reduced the time to resolve complaints despite an increase in complaint volume during 2024-25. The ministry worked with other provincial ministries, agencies and federal organizations to address human trafficking and ensure workers are not being exploited. On the workers' compensation front, the ministry was pleased to bring forward a regulation that made wildland firefighters eligible for the Alberta Heroes' Fund for First Responders (Heroes' Fund). The Heroes' Fund provides a one-time, tax-free payment of \$100,000 to eligible families of first responders who lose their lives as a result of their duties. While the payment cannot bring back their loved ones, it may help ease the burdens for families of fallen wildland firefighters.

In 2024-25, the ministry continued to support high-quality, inclusive and affordable child care for Alberta families. This empowered parents and caregivers to participate in training, pursue an education or enter the workforce to improve their economic well-being. The ministry saw increases in the number of licensed spaces and child care providers, which created more opportunities for families to access quality, affordable child care. This past year marked the first full year of advanced payments to child care providers to relieve financial pressures. The ministry also launched the Inclusive Spaces Program Grant to support licensed child care providers to create more spaces for children with developmental or cultural needs and the Building Blocks Capital Grant to help with the creation of new child care spaces. Finally, the ministry took steps to implement a flat \$15 per day, per child, fee that came into effect on April 1, 2025.

I am proud of Jobs, Economy and Trade's achievements in 2024-25 and the role the ministry played in advancing the Alberta advantage. I look forward to continuing the ministry's work to foster economic growth, further diversify our economy, create jobs and economic opportunities for Alberta families.

[Original signed by]

Honourable Joseph Schow
Minister of Jobs, Economy, Trade and Immigration

Management's Responsibility for Reporting

The Ministry of Jobs, Economy and Trade includes:

- The Department of Jobs, Economy and Trade;
- Workers' Compensation Board – Alberta;
- Northern Alberta Development Council;
- Alberta Labour Relations Board; and
- Appeals Commission for Alberta Workers' Compensation.

The executives of the individual entities within the ministry have the primary responsibility and accountability for the respective entities. Collectively, the executives ensure the ministry complies with all relevant legislation, regulations and policies.

Ministry business plans, annual reports, performance results and the supporting management information are integral to the government's fiscal and strategic plan, annual report, quarterly reports, and other financial and performance reporting.

Responsibility for the integrity and objectivity of the accompanying ministry financial information and performance results for the ministry rests with the Minister of Jobs, Economy, Trade and Immigration. Under the direction of the Minister, I oversee the preparation of the ministry's annual report, which includes the financial information, performance results on all objectives and initiatives identified in the Ministry Business Plan and performance results for all ministry-supported commitments that were included in the 2024-27 Government of Alberta Strategic Plan. The financial information and performance results, out of necessity, include amounts that are based on estimates and judgments. The financial information is prepared using the government's stated accounting policies, which are based on Canadian public sector accounting standards. The performance measures are prepared in accordance with the following criteria:

- Reliable – information used in applying performance measure methodologies agrees with the underlying source data for the current and prior years' results.
- Understandable – the performance measure methodologies and results are presented clearly.
- Comparable – the methodologies for performance measure preparation are applied consistently for the current and prior years' results.
- Complete – outcomes, performance measures and related targets match those included in the ministry's *Budget 2024*.

As Deputy Minister, in addition to program responsibilities, I am responsible for the ministry's financial administration and reporting functions. The ministry maintains systems of financial management and internal control which give consideration to costs, benefits and risks that are designed to:

- provide reasonable assurance that transactions are properly authorized, executed in accordance with prescribed legislation and regulations and properly recorded so as to maintain accountability of public money;
- provide information to manage and report on performance;
- safeguard the assets and properties of the province under ministry administration;

- provide Executive Council, the President of Treasury Board and Minister of Finance and the Minister of Jobs, Economy, Trade and Immigration the information needed to fulfill their responsibilities; and
- facilitate preparation of Ministry business plans and annual reports required under the *Sustainable Fiscal Planning and Transparency Act*.

In fulfilling my responsibilities, I have relied, as necessary, on the executives of the individual entities within the ministry.

[Original signed by]

Christopher McPherson
Deputy Minister of Jobs, Economy, Trade and Immigration
June 3, 2025

Results Analysis

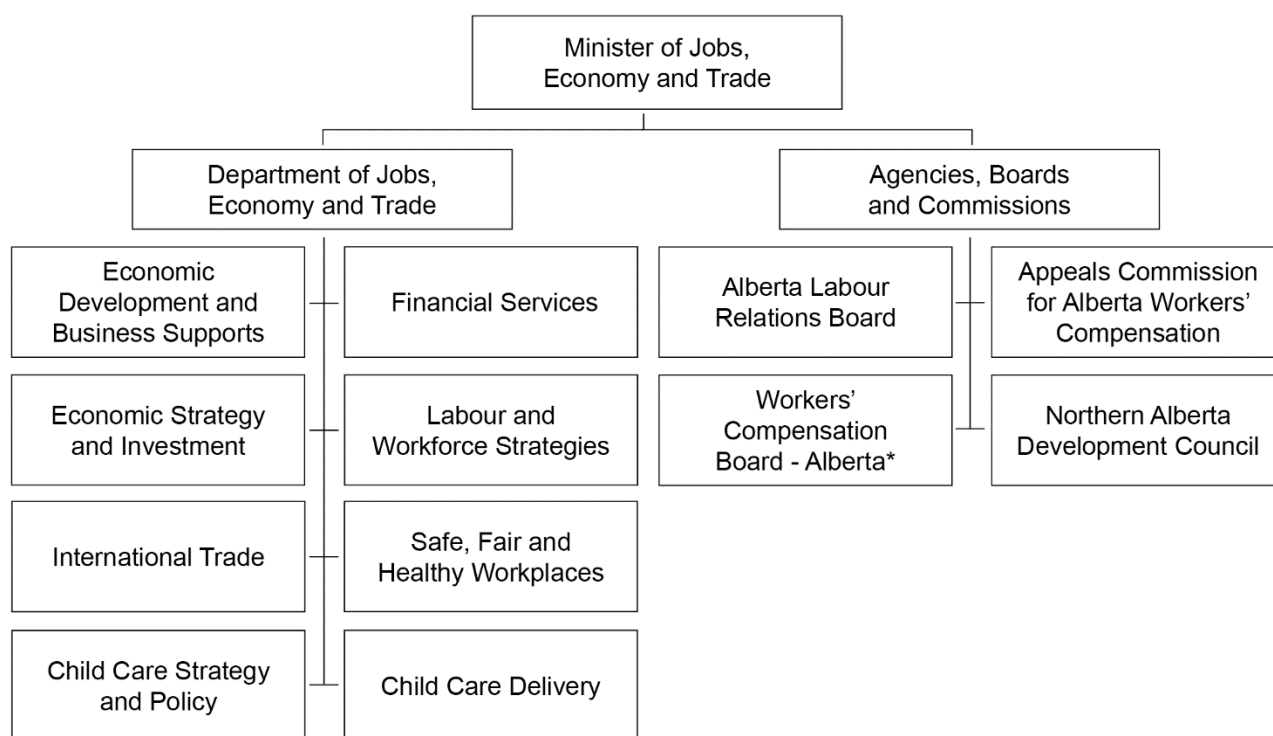
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Ministry Overview

Organizational Structure

The Ministry of Jobs, Economy and Trade enhances Alberta's competitive advantage by creating the conditions to help more Albertans prosper. This includes delivering policies and programs that enhance trade and economic development to grow and diversify the economy; attracting and developing a highly skilled workforce; promoting safe, fair and healthy workplaces; streamlining services for workers, investors and employers; and ensuring high quality and affordable child care is available to all Albertans. The ministry's agencies, boards and commissions provide independent and impartial interpretation of Alberta's labour laws; support a sustainable workers' compensation system through delivery of independent adjudication services; and support Northern Alberta communities in strengthening their diverse economies.



* The Workers' Compensation Board – Alberta is a separate entity that is also accountable to the minister. The WCB has its own budget and reporting processes.

Department of Jobs, Economy and Trade

The Department of Jobs, Economy and Trade consists of the areas described below:

Deputy Minister's Office

The Deputy Minister's Office leads the department, provides advice and support to the minister and is the link to the Minister's Office. It ensures the work of the department meets the goals and objectives outlined in the business plan and the priorities provided to the minister by the Premier. The Deputy Minister's Office also oversees operations and program delivery for the department. The Deputy Minister supports the Deputy Minister of Executive Council by contributing to policy development, planning and implementing cross-ministry initiatives, in addition to advocating for new ways to achieve government-wide goals.

Economic Development and Business Supports

The Economic Development and Business Supports division is focused on driving and operationalizing the Government of Alberta's regional economic development agenda through policies, strategies and programs that foster regional economic development and support the vibrancy of small business. The division supports the Parliamentary Secretary for Small Business and Northern Development, the Northern Development Ministers' Forum and is secretariat for the Northern Alberta Development Council. The division works with partner organizations, like Business Link and Futurpreneur, to connect small businesses and entrepreneurs to the advice, programs and funding they need to help them start, grow or succeed. Department programming includes Biz Connect, a pathfinding service that provides information and referrals to organizations that give advice and coaching, financing, training and information to help small businesses start, grow and succeed. The Northern Alberta Development Bursary program provides bursaries that help to build strong and resilient communities in Alberta's north. The Northern and Regional Economic Development program provides grants to municipalities, Indigenous communities and not-for-profits with an economic development mandate. The division also delivers the Film and Television Tax Credit program and other grants and programs that support regional economic development, diversification and growth.

Economic Strategy and Investment

The Economic Strategy and Investment division is focused on ensuring that the Government of Alberta's strategies and policies support economic growth and job-creating investment. The division plays a key role in ensuring Alberta remains an attractive and highly competitive investment environment for sectors across the economy. The division engages with industry, other levels of government and partners in the investment ecosystem to inform strategies, policies and initiatives that support Alberta's future prosperity and builds strategic capacity and alignment across investment policy. It also coordinates high-value economic development, providing pathfinding and concierge services to investors. The division also undertakes economic modelling and data analytics to identify sectoral and regional opportunities, estimate economic impacts and guide thinking regarding future strategies and policies for Alberta, informing the work of multiple departments across government. Further, the division publishes accessible and timely economic data to support private sector investment decision making and the economic development work of agencies across the province. The division also develops and delivers mandated economic and industry-focused strategies and policies designed to encourage the growth of priority sectors. The division delivers the Investment and Growth Fund to encourage high-value private investments that create jobs and grow the economy.

International Trade

The International Trade division supports a government-wide approach to promoting trade and defending and advancing Alberta's trade interests. Core division functions include enhancing Alberta's trade market access in collaboration with partner ministries; delivering programs and services to help Alberta businesses diversify into new international markets; engaging key stakeholders, including businesses and other governments, to promote and support export expansion; and advancing and defending Alberta's interests with the federal government in the negotiation, implementation and ongoing management of international trade agreements. The division provides comprehensive support to the Minister with respect to trade. This ensures responsiveness within the trade ecosystem to create a streamlined approach and enable the implementation of priorities to enhance trade activities for Alberta companies, associations, the Government of Alberta and international stakeholders. The division is actively involved in supporting inbound delegations and outbound missions, participating in trade policy negotiations and related issues, as well as providing program and operational support.

Effective April 1, 2025, the Internal Trade unit moved from Executive Council to the Ministry of Jobs, Economy and Trade to consolidate responsibilities for trade.

Labour and Workforce Strategies

The Labour and Workforce Strategies division develops workplace laws and policies, as well as supports the resolution of labour disputes, providing mediators and arbitrators to assist unions and employers in resolving disputes. Additionally, the division informs and delivers employment and training programming supports for workers and employers. The division develops policies and strategies to align labour supply and demand and to ensure Alberta's workplaces are safe and healthy and operate within a fair legislative framework. Labour and Workforce Strategies plays a key role in preparing Alberta's workforce for the future. The division further contributes by analyzing economic and labour trends, investigating emerging labour market issues and utilizing labour market data to forecast future conditions and inform policy decisions. The division develops forward-looking policies and programs to equip the workforce with emerging skills aligned to future labour market needs. In collaboration with other provincial departments and the federal government, the division coordinates labour market programming, including overseeing the implementation of provincial Labour Market Transfer Agreements and monitoring the labour market to adjust programming as needed. The division also provides the ministry's legislative services, public accountability functions and corporate services for facilities and administration, emergency management and business continuity.

Safe, Fair and Healthy Workplaces

The Safe, Fair and Healthy Workplaces division enables safe, fair and healthy workplaces by using evidence to inform prevention, education and enforcement activities. The division collaborates with employers, workers, industry associations and labour groups to promote an informed and knowledgeable workforce regarding shared workplace rights and responsibilities. The division is also responsible for monitoring compliance with Employment Standards and Occupational Health and Safety legislation using risk-based approaches and responding to complaints, incidents and injuries. In addition, the division has established a prevention framework to align health and safety system resources, leading to a reduction of injuries and illnesses within Alberta workplaces.

Child Care Strategy and Policy

The Child Care Strategy and Policy division is responsible for leading the transformation of Alberta's early learning and child care system. This includes the development of strategic and program policy to inform the delivery of child care programs and supports. Further, the division implements initiatives that support and advance early childhood development priorities in alignment with the Canada-Alberta Canada-Wide Early Learning and Child Care Agreement and Canada-Alberta Early Learning and Child Care Agreement. The Child Care Strategy and Policy division also oversees early childhood educator (ECE) certification to support the recruitment and retention of a qualified workforce.

Effective May 16, 2025, the Child Care Strategy and Policy division moved from the Ministry of Jobs, Economy and Trade to the Ministry of Education and Childcare.

Child Care Delivery

The Child Care Delivery division oversees the licensing and monitoring of child care programs regulated under the *Early Learning and Child Care Act* and provides a range of funding supports to the child care sector. This includes providing funding to licensed child care programs to enable affordable child care for families, providing wage top-ups and professional development supports for early childhood educators and administering the Child Care Subsidy Program to further reduce child care costs for eligible families.

Effective May 16, 2025, the Child Care Delivery division moved from the Ministry of Jobs, Economy and Trade to the Ministry of Education and Childcare.

Financial Services

The Financial Services division leads the development of the ministry's budget and provides financial advice and support related to planning and forecasting. It oversees the preparation and implementation of ministry financial statements, financial compliance and accountability, contract and grant management policy, as well as financial processes and policies.

Agencies, Boards and Commissions

The Ministry of Jobs, Economy and Trade includes the following agencies, boards and commissions:

Alberta Labour Relations Board

The Alberta Labour Relations Board is an independent and impartial tribunal responsible for the day-to-day interpretation and application of Alberta's collective bargaining laws. The Board administers the *Labour Relations Code*, the *Public Service Employee Relations Act*, the *Police Officers Collective Bargaining Act* and certain matters under the *Public Education Collective Bargaining Act*. The Alberta Labour Relations Board also hears appeals under the *Occupational Health and Safety (OHS) Act* and *Employment Standards Code* and adjudicates remedies for reprisals under the *Public Interest Disclosure (Whistleblower Protection) Act*. The Board processes applications and conducts hearings on matters arising from both the private and public sectors.

Appeals Commission for Alberta Workers' Compensation

The Appeals Commission for Alberta Workers' Compensation consists of an independent tribunal that is the final level of appeal for the Workers' Compensation Board (WCB) and two independent programs: the Advisor Office, which provides free-of-charge advice and advocacy services to workers and employers in Alberta, and the Medical Panels Program, which convenes medical professionals to answer medical questions posed by the Appeals Commission or WCB. All components of the Appeals Commission are supported by an internal Secretariat which provides shared services and supports cost savings. The Appeals Commission is committed to a fair, client-focused appeal experience. The Appeals Commission's mission is to understand its clients' needs, offer them user-friendly resources and guide them through the appeal process, while creating a safe and respectful place to be heard. It provides clear, timely, independent and unbiased decisions from the Appeals Commission, advice and representation from the Advisor Office and reports from the Medical Panels Program.

Northern Alberta Development Council

The Northern Alberta Development Council identifies, promotes and advises on practical measures to advance economic and social development in northern Alberta. It provides a northern lens on existing and proposed government services and programs, while facilitating opportunities for stakeholders to connect and collaborate on northern issues of common interest.

Workers' Compensation Board – Alberta

The Workers' Compensation Board – Alberta (WCB) is an employer-funded, non-profit organization legislated to administer the workers' compensation system for the province's employers. The WCB is an independently-funded entity that is accountable to the Minister of Jobs, Economy and Trade and operates as an insurance enterprise. In Canada, workers' compensation is a no-fault disability insurance system that protects both employers and workers against the economic impact of work-related injuries and occupational disease.

Key Highlights

The Ministry of Jobs, Economy and Trade focused on accomplishing four outcomes identified in the 2024-27 Ministry Business Plan:

- Alberta's economy is prospering.
- Alberta has a skilled and resilient labour force.
- Albertans are safe at work and treated fairly in the workplace.
- Parents and guardians have access to high quality, inclusive and affordable early learning and child care options.

Key highlights and results achieved by the Ministry of Jobs, Economy and Trade in 2024-25 include:

- Working in collaboration with Lufthansa Technik Canada, the department successfully provided investment concierge services, contributing to a positive final investment decision. In February 2025, Lufthansa Technik Canada announced a new \$120 million aerospace maintenance facility at the Calgary airport, which will create up to 160 permanent jobs and 170 construction jobs. The investment was a key catalyst for WestJet to enter into a 15-year, multi-billion-dollar maintenance contract with Lufthansa Technik Canada.
- The department developed and launched the Alberta Site Selector Tool, an online service that helps businesses and investors find and evaluate suitable properties to expand or locate their business in communities across Alberta by consolidating regional socio-economic data, the location of relevant infrastructure and property listings. This tool supports the department's strong focus on job creation, investment attraction and economic diversification as well as our mandate to enhance pathfinding services and other business-attraction initiatives.
- Alberta businesses, municipalities, Indigenous communities and industry associations were supported through the Alberta Export Expansion Program, where 344 applications for grants, from 195 organizations, were approved in 2024-25. This program provided more than \$985,000 in 2024-25 to help these organizations access international markets and attract global buyers.
- The department led 28 international trade missions for companies across the province. Alberta companies and trade-related organizations participated in over 450 engagements, with an average of 16 companies per mission. They benefited from targeted business-to-business meetings, information sessions and networking opportunities.
- The Northern Regional Economic Development program provided \$9.8 million in funding to support 81 projects that will drive economic development and diversification in communities across the province.
- The department developed and opened an online application portal for the Alberta is Calling Moving Bonus. This is a one-time, \$5,000 refundable tax credit to attract out-of-province workers to Alberta by offsetting the costs associated with relocation. The \$10 million budgeted will support up to 2,000 skilled tradespeople who moved to Alberta between May 1 and December 31, 2024.
- The Alberta Industry Skills grant invested \$5.2 million in industry-led training projects that aim to equip more than 850 Albertans with in-demand skills for high growth sectors, including aviation and aerospace, construction and technology.

- The department conducted 10,947 occupational health and safety inspections and 6,545 re-inspections, compared to 9,801 inspections and 5,975 re-inspections in 2023-24, as part of an evidence-based compliance approach in support of safe, fair and healthy workplaces.
- Child care fees were reduced to an average of \$15 a day, enabling greater workforce participation and economic engagement for families. Child care capacity was expanded across Alberta, reaching approximately 2,700 licensed programs and approximately 142,600 total spaces for children up to kindergarten age.
- Alberta's early childhood educator (ECE) workforce was strengthened by supporting the growing demand for high-quality child care, with approximately 3,000 newly certified ECEs, bringing the total to about 28,500 ECEs across the province.
- The department, including its agencies, boards and commissions, has reduced its regulatory requirements by 44.7 per cent since the red tape reduction initiative began in May 2019. This result exceeds the target of 33 per cent.

The Ministry of Jobs, Economy and Trade remains committed to regulatory approaches and program delivery that reduces unnecessary government oversight and emphasizes outcomes, to improve access to government services, attract investment, support innovation and competitiveness and grow Alberta businesses.

Key Highlights – Financial Results

In 2024-25, the ministry's consolidated expense was \$1,860 million, \$303 million higher than 2023-24 and \$1.2 million lower than budgeted.

- \$94 million for Workforce Strategies, including \$14.4 million for the Canada-Alberta Job Grant resulting in more than 6,508 Albertans approved for training; \$25.3 million for Training for Work, which supported approximately 4000 Albertans; and \$5.1 million for the Aviation Skills Grant to help workers gain new skills and support employers to develop the workforce they need to grow their businesses.
- \$68 million for Safe, Fair and Healthy Workplaces, including approximately \$52.3 million for the occupational health and safety program, where 10,947 inspections and 6,545 re-inspections were conducted and over 14,454 OHS orders were issued; and \$12.8 million for the employment standards program, where 87 per cent of the approximately 5,008 complaints received were completed within 180 days.
- \$119 million for Economic Development and Trade, including \$55.3 million for the Film and Television Tax Credit supporting 34 productions; \$9.8 million for the Northern and Regional Economic Development program supporting 81 projects throughout Alberta; and \$4.2 million for the Investment and Growth Fund to support projects that will contribute to job creation and capital investment in sectors across the province.
- \$1,558 million for Child Care, including \$797 million in affordability grants were provided to licensed childcare providers to reduce childcare fees for children enrolled in child care spaces in daycare facilities, family day homes and preschools; and \$194 million in child care subsidies helping to offset the cost of care for the families of 67,500 children. The additional amount was used to fund several areas within child care, including professional development, space creation grants and wage top-ups, among other supports.
- \$18.4 million for the Appeals Commission for Alberta Workers' Compensation. 782 appeals were received and the average number of days from the hearing to the decision issued date was 24.
- \$4.8 million for the Alberta Labour Relations Board. The Board received 734 applications and conducted 791 hearings during the year.

In 2024-25, the ministry's revenue was \$1,347 million, \$264 million higher than 2023-24 and \$63 million higher than budgeted.

Discussion and Analysis of Results

Actions that support the priorities of the Government of Alberta Strategic Plan

Key Priority one: Boosting Alberta's Advantage

Objective one: Growing Alberta's advantage

Action: Addressing Alberta's labour shortages through initiatives such as the Alberta is Calling Attraction Bonus. The attraction bonus will provide a one-time payment for eligible workers to relocate to Alberta to work in the skilled trades and promote Alberta as a destination of choice for skilled talent from both domestic and international markets.

Objective two: Connecting Albertans to jobs

Action: Increasing access to safe, affordable, high-quality childcare. In 2024-25 the government is supporting the creation of more than 15,300 licensed child care spaces through a mix of private (for-profit) and not-for-profit providers in areas where they are most needed. Alberta's government is also meeting the growing demand for skilled early childhood educators through certification and professional development, promoting early learning and child care as viable career choices.

Objective three: Strengthening economic activity and attracting investment

Action: Making Alberta one of the top 10 petrochemical producers in the world through private sector investment. Dow is investing nearly \$9 billion in Alberta through the Path2Zero project, which will supply certified low- to zero-carbon emissions polyethylene and ethylene derivatives to customers around the globe. This is one of the largest private sector investments in the province's history and will create 6,000 jobs during peak construction and about 400 to 500 full-time jobs when fully operational.

Action: Growing Alberta's film and television industry and securing Alberta's position as a filmmaking production hub through targeted incentives, including the Alberta Made Production Grant, which covers 25 per cent of eligible Alberta production costs to a maximum of \$125,000, and the Training and Mentorship Incentive which provides an additional top-up of up to \$35,000 for training and mentorship, as well as the Film and Television Tax Credit. For every dollar of government support towards a production, the industry generates four dollars of investment back into the province.

Action: Enhancing Alberta's trade and expanding exports through the Alberta Export Expansion Program (AEEP), by delivering funding to help export-ready companies and non-profit organizations enhance access to international markets and attract global buyers. In 2023-24, approximately 200 Alberta businesses, municipalities, Indigenous communities, and industry associations were supported through AEEP to access international markets and attract global buyers.

Detailed reporting found on pages 21, 22-23, 27, 34, 65-66, 68-69

Outcome One: Alberta's economy is prospering

The ministry creates the conditions where business, investment and trade can thrive, creating jobs and economic opportunity for Albertans. Streamlining services enhances Alberta's competitive advantage and supports economic growth. It also protects workers, reduces regulatory burden and promotes ease of access to services for Albertans and businesses.

Key Objectives

1.1 Engage key stakeholders to promote and support investment attraction efforts, deliver programs and tailored services for prospective investors and ensure Alberta is a highly competitive destination.

Investment Competitiveness

Amid significant global economic uncertainty, particularly from rapidly evolving U.S. tariffs, the department plays a critical role in supporting Alberta's investment competitiveness. By providing detailed analysis of U.S. economic policy changes and their implications for Alberta's economy, the department delivers essential insights that help government and industry navigate heightened risks to investor confidence. To ensure these insights are relevant and actionable, the department collaborates closely with industry stakeholders, notably through the Alberta Trade Advisory Council, aligning the department's analysis with current industry perspectives. This proactive approach enables Alberta to respond effectively to global uncertainty, maintain its competitive edge and attract investment even as external conditions remain volatile.

The department is advancing Alberta's investment competitiveness by supporting initiatives to enhance the movement of goods, a key driver of economic growth.

- An initiative central to these efforts is the \$3 million grant committed to the Opportunity Calgary Investment Fund Ltd. in March 2024 to support the creation of a transportation and logistics centre of excellence in Calgary and associated programming through to March 2029. This proposed hub will bring together industry leaders, technology companies, service providers, government and academia to collaborate on technological adoption, market expansion and supply chain optimization.
- Alberta's government continues to champion trade and economic activity-enabling infrastructure for Alberta through formal Memorandum of Understanding agreements with the Port of Vancouver and Port of Prince Rupert, focused on enabling investment attraction, trade diversification and economic growth.
- In 2024-25, Alberta's government entered into research studies with the Prince Rupert Port Authority and Vancouver Fraser Port Authority to identify export potential and supply chain capabilities that can support Alberta producers and shippers in utilizing new terminal infrastructures located in Canada's West Coast ports, such as the Ridley Island Energy Export Facility, CANXPORT, among other major projects.

Alberta's government sponsored Canada's Productivity Summit, hosted by the University of Calgary, in October 2024. This event demonstrated the mounting consensus that low productivity growth has reached a crisis point in Canada and action is needed in multiple areas including regulatory reform, streamlined project approvals, reducing interprovincial trade barriers and making our tax system more competitive.

A key insight from the Summit is the key role that machinery and equipment investment as well as technology adoption play in enhancing productivity.

- In October 2024, the department issued a \$150,000 grant to the Edmonton Chamber of Commerce to support the development of a strategy and implementation plan for the application of artificial intelligence in the construction/engineering sector in Edmonton.
- In March 2025, the department approved a \$5.03 million grant to the Canadian Manufacturers and Exporters for a pilot project to support technology adoption and productivity enhancements in Alberta's manufacturing sector.

The department is taking concrete steps to support economic growth and job creation in the defence sector.

- The department provided a \$350,000 grant to Edmonton International Airport to conduct a comprehensive assessment of the potential for attracting defence and air force supply chain investments. This initiative aligns with Alberta's strategic goals of economic diversification and strengthening the aerospace, defence and manufacturing sectors.
- The department also initiated planning with the Alberta Aviation and Aerospace Council and other partners to host the Alberta Defence Roundtable at the May 2025 Alberta Aviation, Aerospace and Defence Summit.

Investment and Growth Fund

The Investment and Growth Fund (IGF) is a targeted investment incentive program to encourage high-value private sector investments in Alberta that create new jobs and grow the economy. Since program inception in 2021, \$28.8 million in IGF grants have been awarded to 13 projects. Cumulatively, these 13 grants are expected to support over 1,250 permanent full-time jobs and more than 1,000 temporary jobs, with total capital spending of more than \$821 million in Alberta. Based on the grant funding to capital spending ratio of projects announced to date, for every \$1 dollar in IGF grants awarded, \$29 will be spent in the province.

Through the IGF, Alberta supported four major investments in 2024-25 with \$4.2 million in grants, including Logistik Unicorp's hemp processing facility in Elk Point, NewCold's food storage facility in Coaldale, Lufthansa Technik Canada's aircraft engine maintenance and repair facility in Calgary and Crust Craft's bakery expansion in Edmonton. These projects are projected to support a combined 261 permanent full-time jobs and 445 temporary jobs for Albertans.

The department conducted an in-depth review of the IGF and developed a comprehensive approach to align the program with the government's productivity goals and make the program more self-sustaining. The renewed IGF will be launched in 2025-26.

Investment Concierge Services

The department provides dedicated concierge support for select, high-impact job-creating investments with the goal of securing positive final investment decisions (FID), while maximizing economic and labour benefits for the province. Concierge services are:

- delivered in partnership with investment attraction agencies, other orders of government and departments;
- focused on removing barriers to reaching positive FID for large, transformational investments with complex cross-ministry needs, significant industry implications and/or substantial government program, policy or intergovernmental implications; and
- focused on manufacturing, logistics and supply chains, defense and aerospace industries and other sectors with significant economic impacts.

In 2024-25, the department provided concierge services to the following job-creating investors resulting in key positive investment decisions:

- In May 2024, Vopak and AltaGas announced a positive final investment decision on the Ridley Island Energy Export Facility at the Port of Prince Rupert. The capital cost of the project is valued at \$1.35 billion and will improve market access for Canada's energy sector by facilitating the export of liquefied petroleum gases, with initial export capacity of approximately 1.7 million tonnes per year once the facility is in operation by the end of 2026. The department's concierge services supported federal advocacy on funding needs and the creation of a trilateral partnership with the Government of British Columbia and the Prince Rupert Port Authority, which led to the project's final investment decision.
- In February 2025, Lufthansa Technik (LHT) Canada announced a new \$120 million aerospace maintenance facility at the Calgary airport, which will create up to 160 permanent jobs and 170 construction jobs. Lufthansa Technik also announced that it was establishing its Canadian headquarters in Calgary. The investment was a key catalyst for WestJet to enter into a 15-year, multi-billion-dollar maintenance contract with LHT for extensive maintenance, repair and overhaul services for its engines. The department's concierge services provided detailed analysis to support the evaluation of Alberta's competitiveness against a competing jurisdiction. The concierge services also involved federal advocacy for financing support, program funding from the department and other partners and extensive project advisory support for Lufthansa Technik and the Calgary Airport Authority.

Accessible Data Tools for Businesses and Investors

Launched in April 2024, Alberta's Site Selector Tool is a new, best-in-class online investment service that consolidates information on property listings with infrastructure and socio-economic data from the Alberta Regional Dashboard into a user-friendly interface. The benefits of this tool are twofold: it gives businesses and investors access to the data they need to make informed decisions about expanding or setting up a business in Alberta and it gives municipalities and economic developers a platform to raise the profile of opportunities in their communities. This tool supports the department's strong focus on job creation, investment attraction and economic diversification as well as our mandate to enhance pathfinding services and other business-attraction initiatives.

To date, 145 municipalities have been involved in providing contact details to include on the tool's site listing pages. Since its launch, various features have been added to the Alberta Site Selector Tool, including the ability to share and add properties to a list of favourites, as well as the ability to drop a pin on the map and generate a page with municipal data and location-specific data. Custom and shareable views and new statistics and infrastructure layers such as labour force by occupation and industry, power generation and fibre internet are also features of the tool, among others. The Alberta Site Selector Tool can be found online at: <https://regionaldashboard.alberta.ca/#/site-selector>.

The department also provides a suite of related, publicly accessible data applications, including the Alberta Economic Dashboard, Alberta Regional Dashboard, Alberta Major Projects and Export Alberta. The department's data applications give Alberta a competitive advantage for attracting investment. They help economic developers across the province promote their regions, investors analyze investment opportunities and guide Alberta businesses through the export process, including identifying export opportunities for their products.

1.2 Deliver client-centered programs and tools to support Alberta's economic growth and diversification, including the Alberta Film and Television Tax Credit and support small businesses to be resilient and competitive.

Film and Television Tax Credit

The Film and Television Tax Credit (FTTC) program aims to grow Alberta's film and television sector by providing incentives for productions to film in Alberta. The program continues to support a thriving Alberta film and television industry. To participate in the program, productions must first apply to the program and be authorized to participate, applying for their tax credit certification once filming is complete.

Film and Television Tax Credit			
	2022-23	2023-24	2024-25
Number of productions authorized	62	43	39
Total value of Alberta investment expected	\$353 million	\$293 million	\$219 million
Number of productions approved for tax credits	24	36	34
Total value of tax credits approved during the year	\$26.7 million	\$103.3 million	\$55.3 million
Total value of Alberta investment (expenditures) from productions with approved tax credits	\$112.4 million	\$443.4 million	\$235.5 million
*Tax credit requests may not be received in the same year that a production is authorized to participate in the program. The tax credit request occurs within 42 months of authorization.			

In 2024-25, 44 FTTC applications were received and 39 applications were authorized to participate in the program. The authorized productions are expected to spend \$219.16 million in Alberta, have a tax credit value of approximately \$52.86 million and support more than 1,900 jobs in the province. A total of 41 tax credit requests were received in 2024-25 and 34 tax credit letters were issued with a total value of \$55.3 million.

To enhance the competitiveness of the FTTC program, the department introduced changes to the program in June 2024 to:

- widen the program's application window, creating greater administrative flexibility and enabling productions to get their tax credits earlier;
- ensure the program has clear rules, appropriate oversight and less red tape; and
- attract new production genres and provide consideration for filming in diverse parts of Alberta, including rural areas.

Biz Connect

Biz Connect is a pathfinding service that provides support to Alberta's small businesses and entrepreneurs and helps them start, grow and succeed. It serves as a direct line of communication between small businesses and entrepreneurs and the department, helping businesses navigate services and programs available through over 300 small business organizations. It provides timely, targeted and relevant referrals and business supports, including how to access advice, financing and training. Referrals to partner organizations include small business service providers, business associations, chambers of commerce, financial institutions, post-secondary institutions, non-profit organizations offering loans and all levels of government.

In 2024-25, the Biz Connect team received 620 inquiries. Of these, 340 dealt with funding, grants and access to capital, 205 were regarding questions around entrepreneurs, start-up and business development, four were for Indigenous supports and grants for business and 71 were categorized as general/other. Inquiry numbers have dropped significantly since the Small Business Resources webpage was updated in summer 2024. The updated webpage makes it easier for stakeholders to navigate to resources applicable to their situation and needs.

Business Link

Business Link is a non-profit organization that helps Alberta's small businesses start and succeed. They provide free one-on-one coaching and advice for entrepreneurs and small business owners in-person and virtually. They help small business owners learn how to navigate the startup process, access market research, attend events and webinars, find online resources and build a network. They also provide support for Indigenous and immigrant/newcomer entrepreneurs. In 2024-25, the department provided \$1.5 million to Business Link through a grant to support their operations and delivery of their services. In 2024-25, 5,304 clients were served, including 462 Indigenous clients and 1,367 newcomer clients.

Futurpreneur

Futurpreneur is a national, non-profit organization that provides seed financing, mentoring and other support tools to young entrepreneurs aged 18 to 39. The organization’s loan program provides up to \$75,000 in collateral-free, low-interest loan financing (a combination of \$25,000 from Futurpreneur and up to \$50,000 from the Business Development Bank of Canada) specific to young entrepreneurs. A single application process, adjudicated by Futurpreneur, facilitates access to these funds.

In 2024-25, Futurpreneur supported the creation of 105 new businesses and assisted four business acquisitions. Futurpreneur also held one in-person and one online succession planning workshop. Businesses that Futurpreneur has helped through their loan and mentorship program include WildRoots Bistro in St Albert, focusing on local ingredients; Garderie Les Petits Yogis, a child care centre in Beaumont offering a program to improve emotional intelligence; and TriFit Training, a personal training and group fitness gym in Airdrie.

In 2024-25, the department approved a new three-year grant to Futurpreneur totaling \$900,000 (\$300,000 per year for three years), a 20 per cent funding increase over the prior three-year agreement to support their operations and expand delivery of their services.

Red Tape Reduction

In support of the government-wide red tape reduction initiative, the ministry, including its agencies, boards and commissions, has reduced its regulatory requirements by 44.7 per cent since the red tape reduction initiative began in May 2019. This result exceeds the target of 33 per cent.

Legislation and regulations account for 45.9 per cent of the ministry’s baseline requirements, while forms and policies account for 54.1 per cent. Of the 39,363 baseline requirements, 7,332 belong to the ministry’s agencies, boards and commissions.

Red Tape Reduction

The ministry’s baseline count (including agencies, boards and commissions) is 39,363 regulatory requirements including 18,078 regulatory requirements under legislation and regulation and 21,285 in forms and policies.

Having surpassed the 33 per cent reduction target in 2022-23, no significant regulatory reductions or additions occurred in 2024-25. However, the ministry remains committed to regulatory approaches and program delivery that reduce unnecessary government oversight and emphasize outcomes to improve access to government services. Over the course of the year, the ministry made a number of improvements to make things easier for Albertans and businesses, including streamlining the Film and Television Tax Credit (page 22-23) and the Alberta Export Expansion Program (page 27).

1.3 Promote Alberta's trade interests on the global stage and support Alberta businesses to diversify into new international markets and advance and defend Alberta's interests in negotiation of international agreements to enhance trade and investment.

Promote Alberta's Trade Interests

The department is committed to working with international and national partners to advance shared interests, creating new opportunities for people and businesses in Alberta and globally. The focus on promoting Alberta, by pursuing new markets and trading partners, has increased since the change in administration in the United States in early 2025.

With actual spending of approximately \$1.1 million (including travel and other expenses, such as booth costs), the department led 28 international missions for companies across the province. Alberta companies and trade-related organizations participated in over 450 engagements, with an average of 16 companies per mission. They benefited from targeted business-to-business meetings, information sessions and networking opportunities.

Minister Jones led six international trade missions in 2024-25:

- United Kingdom, June 2024: This mission included participation in Canada Day London celebrations and promoting trade and investment with the United Kingdom;
- Argentina, October 2024: This mission included participation at Argentina Oil and Gas Patagonia 2024, with a delegation of 10 Alberta organizations, as well as government and industry meetings;
- United Arab Emirates (UAE), November 2024: This mission included the Abu Dhabi International Petroleum Exhibition and Conference, with approximately 70 Alberta organizations, as well as government and industry meetings;
- Indonesia and the Philippines, December 2024: This Team Canada trade mission included attendance from 27 Alberta organizations in clean tech, energy security and agriculture technology;
- UAE, February 2025: This mission included attendance at Investopia 2025, which fosters global economic partnerships and investment; and
- Germany, March 2025: This mission was anchored around Hannover Messe 2025, the world's largest industrial and advanced manufacturing event and included more than 50 Alberta companies and trade-related organizations.

Additionally, the department led 22 non-ministerial trade missions supporting a variety of sectors at events around the world, including BioJapan, Arab Health and Mobile World Congress. To further advance Alberta's trade priorities and interests in global markets, the department actively engages with international governments (diplomatic officials such as Ambassadors, Consuls General and High Commissioners) to strengthen business ties, discuss alignment of trade interests and foster healthy and productive relationships with other jurisdictions. Proactive and strategic engagement with jurisdictions facilitates trade relations and bilateral economic cooperation, promotes exports and imports and attracts foreign investment. In 2024-25, the department participated in 23 diplomatic meetings informed and guided by key factors such as:

- engaging with countries that represent significant export destinations for Alberta;
- strategic interests between Alberta and the country or region, aligning with broader economic and trade priorities;
- building off of existing relationships and establishing new relationships;

- recent or upcoming missions that provide opportunities to build on established momentum; and
- maintaining and strengthening trade ties, with the goal of identifying mutually beneficial opportunities for trade expansion and collaboration.

In 2024-25, the department promoted Alberta as a premier trade and investment environment by hosting international delegations at the annual Global Energy Show, held June 11-13, 2024 at Calgary's BMO Centre. The department engaged with delegations from Argentina, Brazil, Colombia, Mexico, Turkey, Kazakhstan, Nigeria and Ghana, as well as led meetings, seminars and engagements with these and other nations to expand trade relationships, promote Alberta companies and foster economic cooperation.

To further promote Alberta's trade interests, the department actively engages with key players in the trade ecosystem. In 2024-25, the department initiated Trade Team Alberta, a collaborative forum comprised of the largest federal, provincial and regional trade partners in Alberta. This group coordinates trade activities through a Team Alberta approach, promoting the province's trade interests and positioning Alberta as a valuable trade partner. Trade Team Alberta shares trade information and intelligence, coordinates priority trade missions and events and explores opportunities for collaboration. The forum aims to deliver coordinated, customized services, programs and tools to help Alberta companies grow through increased exports, diversification and expansion into new markets.

Alberta's Trade Policy Interests

The department coordinates the government's engagement in international trade negotiations, the implementation of finalized international trade agreements and the ongoing management of Alberta's interests under these agreements. Alberta currently benefits from Canada's 15 in-force international trade agreements, covering 51 countries. This includes agreements with significant trade partners in North America, the Indo-Pacific and Europe, including the Canada-U.S.-Mexico Agreement, the Comprehensive and Progressive Agreement for Trans-Pacific Partnership and the Canada-European Union Comprehensive Economic and Trade Agreement. Alberta pursued its interests in collaborative domestic discussions and sought strong Federal-Provincial-Territorial engagement on United States relations following the U.S. Presidential election in November.

Trade Negotiations

In 2024-25, the department promoted Alberta's economic and jurisdictional interests in active negotiations with Indonesia, Ecuador and the Association of Southeast Asian Nations. In December 2024, Canada and the Philippines announced the launch of exploratory discussions towards a Free Trade Agreement negotiation. Efforts by the department included analysis of provincial economic and jurisdictional interests, stakeholder engagement, intergovernmental dialogue and virtual and in-person involvement in trade rounds.

Trade Strategic Grants

The department provided an additional \$2.3 million to enter into an agreement with Calgary Economic Development. This brought the total funding to \$2.8 million to administer the Trade Accelerator Program for 2025-30 and establish a new levelling up market diversification program for Alberta companies to build export capacity and expand to new markets. These programs serve a vital role in enhancing the export readiness of small and medium-sized enterprises, which is a critical driver of Alberta's economic growth and diversification.

Alberta Export Expansion Program

The Alberta Export Expansion Program provides funding to export-ready small and medium-sized enterprises, including non-profit organizations, to travel to global markets to promote their products, make business connections and explore partnership opportunities.

Alberta businesses, municipalities, Indigenous communities and industry associations were supported through the Alberta Export Expansion Program, where 344 applications for grants, from 195 organizations, were supported in 2024-25. This program granted more than \$985,000 in 2024-25 to help these organizations access international markets and attract global buyers.

In spring 2024, Alberta's government made improvements to the Alberta Export Expansion Program to better serve Alberta businesses. Changes reduced red tape, streamlined administration, simplified funding amounts and clarified criteria for the program. Overall, these changes mean companies spend less time completing their application and, if approved, receive funding faster, so they can better use their time to build their businesses, create jobs and export to new markets.

1.4 Collaborate with community leaders, industry and business to diversify and grow their regional economies.

Alberta's government supports regional economies in a variety of ways including funding local and regional economic development organizations offering a suite of programs, tools and resources to create job growth and diversify Alberta's economy.

Regional Economic Development Services

Alberta's Regional Economic Development Specialists (REDS) provide economic development practitioners and business service providers with targeted advice and support. These specialists have local knowledge of the economic opportunities and challenges facing Alberta's regions. Through one-on-one consultation, regional and community meetings, webinars and collaborative roundtable discussions, REDS offer the following core services:

- advisory services and outcome-based planning;
- economic information and best practices;
- pathfinding support; and
- tools and resources.

The REDS operate out of 10 offices across the province and provide economic development services to all regions in Alberta.

In March 2025, the department provided a \$426,700 non-program grant to the Edmonton Chamber of Commerce for the development and delivery of a State of the Region report and the implementation of recommendations for Edmonton World Trade Centre activities.

Additionally, in March 2025, the department provided a \$560,000 non-program grant to Edmonton Global for the development of sector-specific investment attraction videos and a digital asset library with enhanced investor tools.

Growth and Development of Alberta's Airports

An affordable, efficient and well-connected air transportation network has a critical role to play in Alberta's economic competitiveness. It enables growth in key economic sectors that rely on the effective movement of people and goods across Canada and to key international markets. Alberta has unique competitive advantages that make it an ideal location for our aviation and aerospace industries to grow.

Beginning in 2023-24, the department, in partnership with the ministries of Transportation and Economic Corridors and Tourism and Sport, provided Regional Airport Development grants totaling \$1.1 million to support 10 airport improvement business case and feasibility study projects. The funded projects were completed in 2024-25 and will support the growth of Alberta's regional airports by enabling them to identify, explore and prioritize improvements and opportunities that will foster connectivity and increase their economic competitiveness.

In 2024-25, Alberta's government provided a one-time, \$500,000 non-program grant to the Edmonton International Airport to advance the province's commitment to attracting defence investment opportunities in the province. Work included identifying key defence investment opportunities and assessing their economic impact on the Edmonton regional economy. Additionally, strategic recommendations were developed to enhance the Edmonton region's competitiveness in attracting defence investments. Further, the Edmonton International Airport will undertake an aviation skills training study, which will identify opportunities to develop aviation skills training capacity in the province. This will include assessing market potential for commercial pilot and flight crew training and engagement with post-secondary institutions on developing accredited and industry experience integrated training programs.

Northern and Regional Economic Development Grants

The Northern and Regional Economic Development Grant (NRED) program helps attract private investment and supports economic growth and diversification across Alberta by providing up to \$300,000 in funding to projects that enhance business supports, improve investment readiness and build capacity for regional economic development. Over 225 projects have been supported since program inception in 2022.

To ensure Alberta's regional economies can continue to prosper, the NRED program provided \$9.8 million to 81 unique projects in 2024-25. This included \$2.7 million to 27 municipal projects, \$4.8 million to 41 projects led by not-for-profits, \$1.4 million to eight First Nations projects and \$0.9 million to five Métis projects. Twenty-nine of these projects, with total grant funding of \$3.8 million, are in northern communities. The third application intake for the grant concluded on December 6, 2024, with 143 eligible applicants seeking \$16,878,894 in funding.

Through NRED grants, Alberta's government allows communities to apply for programming that suits their unique needs. Some of the 2024-25 projects funded through the NRED program include:

- Town of Taber: \$17,500 for its "Think Taber" project to attract global investment to the community;
- Slave Lake Regional Tourism Society: \$38,400 for a regional promotional project;
- NeurAlberta Tech's project: \$250,000 to unite students, graduates, Subject Matter Experts and partners to drive innovation in neurotechnology and Artificial Intelligence;
- Chiniki First Nation: \$281,300 for infrastructure planning for an Indigenous affordable housing plan; and

- Lethbridge Economic Development Initiative Society was awarded two grants: one for \$50,000 and one for \$97,600, for building creative industries and for business retention programming.

Northern Alberta Development Council

The Northern Alberta Development Council (NADC) identifies, promotes and advises on practical measures to advance economic and social development in northern Alberta. It provides a northern lens on existing and proposed government services and programs, while facilitating opportunities for stakeholders to connect and collaborate on northern issues of common interest.

The NADC Chair, MLA for Fort McMurray-Wood Buffalo Tany Yao, has submitted NADC's report with recommendations on advancing northern development to Minister Jones on March 31, 2025. The report is under review and government will respond to the recommendations in 2025-26.

Northern Alberta Development Bursary Program

The Northern Alberta Development Bursary (NADB) program encourages students to train for jobs that are in demand in northern Alberta and includes a return service component as a condition of support. The bursary program is administered by the department in partnership with Education and Advanced Education. Applicants can apply to the NADB bursary; the First Nations, Métis and Inuit bursary; one of the Speciality bursaries (Medical and Dental, Nurse Practitioner, Pharmacy, Veterinary Student); the Northern Student Teacher Bursary, or the Bursary Partnership Program.

The NADB program awarded \$2,383,000 in bursaries supporting 315 students in 2024-25. The NADB and Specialty streams were the most accessed programs supporting 119 recipients who will pursue careers in high demand fields across northern Alberta. The First Nations, Métis and Inuit stream, supporting 94 recipients. There was an increase from 56 to 65 bursary recipients indicating more businesses and organizations are taking advantage of the Bursary Partnership Program to support students in the north. In 2024-25, the overall program return of service rate was 75.62 per cent. The program has been consistently successful in attracting and retaining a skilled workforce in northern Alberta's high-demand industries with success rates above 75 per cent (including 76.26 per cent in 2022-23 and 75.44 per cent in 2023-24).

In 2024-25, \$954,500 supported 94 First Nations, Métis and Inuit students through the First Nations, Métis and Inuit (FNMI) stream of the Northern Alberta Development Bursary program. The FNMI stream accounted for 30 per cent of the Northern Alberta Development Bursaries awarded in 2024-25. Applications to the FNMI stream grew by 48 per cent in 2024-25 from the previous year.

Northern Alberta Development Bursary Program			
	2022-23	2023-24	2024-25
Total recipients	235	321	315
Total funds distributed	\$1,502,450	\$2,537,750	\$2,383,000
NADB stream recipients	75	120	103
NADB-Specialty stream* recipients	6	14	16
First Nations, Métis and Inuit stream recipients	67	97	94
Northern Student Teacher Bursary recipients**	25	37	37
Bursary Partnership Program recipients	62	53	65
Health Care Practicum recipients***	52	49	38
* The sub-sets of the Specialty bursaries include Medical and Dental (3 in 2024-25), Nurse practitioner (4 in 2024-25), Pharmacy (6 in 2024-25) and Veterinary (3 in 2024-25) recipients.			
** Alberta Education provides Jobs, Economy and Trade reporting data for the Northern Student Teacher Bursary Program.			
***The Health Care Practicum Program is administered by the department. Funding is provided by Alberta Health Services and recipients are not counted in the NADB bursary totals.			

Jobs, Economy and Trade: Performance Measure 1.a:**Net investment in Alberta film and television productions for every \$1 of Alberta Film and Television Tax Credits (\$ dollars)**

Prior Years' Results				2024-25 Target	2024-25 Actual
2020-21	2021-22	2022-23	2023-24		
N/A	4.0	4.2	4.3	4.0	4.3

This measure reflects the associated Alberta expenditure for every \$1 in tax credit issued to eligible productions. This demonstrates the efficacy of Alberta's Film and Television Tax Credit program to attract investments for every dollar in tax credit spent, indicating economic contributions to this sector in Alberta, in alignment with government's commitment to grow cultural industries (including areas such as book publishing, magazine publishing, sound recording and film production).

Film and Television Tax Credit		
	2023-24	2024-25
Total value of Alberta investment expected from productions with approved tax credits	\$443.4 million	\$235.5 million
Total value of tax credits approved during the year	\$103.3 million	\$55.3 million
Net investment for every \$1 of Alberta Film and Television Tax Credits (\$ dollars)	\$4.30	\$4.26
*Tax credit requests may not be received in the same year that a production is authorized to participate in the program. The tax credit request occurs within 42 months of authorization.		

The 2024–25 fiscal year was a strong year for the program from a net investment ratio standpoint. Several major studio-backed productions completed filming and received tax credits in the province, showcasing Alberta's ability to attract medium to large-scale projects. Of the 34 productions supported during the year, 13 (38 per cent) qualified for a 22 per cent tax credit. The higher than anticipated net investment ratio of 4.3 was driven by the substantial Alberta expenditures of these 13 productions, which totaled \$189.9 million. The remaining 21 productions received a 30 per cent tax credit (Alberta owned productions) and accounted for \$45.7 million in Alberta spending.

As the measure reflects a backward-looking ratio, a future decline in the net investment ratio is anticipated. This expectation is based on a broader slowdown in the film and television industry, driven by budget constraints among major U.S. studios.

Jobs, Economy and Trade: Performance Indicator 1.b:
Year-over-year change in Alberta’s economic activity (per cent)

Prior Years’ Results				2023-24
2019-20	2020-21	2021-22	2022-23	
-5.26	7.22	5.64	1.43	2.14

The indicator demonstrates the department’s success in enabling a nationally and internationally competitive investment environment. The indicator also gives context to the department’s performance in contributing to economic growth, while providing a broad picture of the state of Alberta’s economy. The Alberta Activity Index (AAX) combines nine economic indicators into a single index to give a summary of Alberta’s economic activity.

Alberta’s economic activity has recovered its pandemic losses and grown to surpass pre-pandemic levels. AAX has been on an upward trend since the lowest point Alberta experienced in April 2020. Although its growth slowed in 2022-23, economic activity showed signs of improvement in 2023-24.

Economic activity was driven by growth in employment, housing starts, new drilling activity, new truck sales and oil production. Average weekly earnings showed muted year-over-year growth. Conversely, declines in manufacturing shipments, wholesale trade, and retail sales in some months may have subdued growth in the AAX during this period.

The Government of Alberta’s Budget 2025 Economic Outlook notes that changes in U.S. trade policy and the introduction of retaliatory tariffs are expected to dampen economic activity in 2024-25. This slowdown may be reflected in indicators such as manufacturing shipments, wholesale and retail trade sales, and new truck sales.

Alberta Activity Index Annualized Results*				
October 2020	October 2021	October 2022	October 2023	October 2024
259.8	278.6	294.0	298.5	304.9
*The base period for Alberta Activity Index values is January 1981 (i.e., January 1981=100).				

Jobs, Economy and Trade: Performance Indicator 1.c:
Value of Alberta's non-residential capital investment (\$ million)

Prior Years' Results				2024
2020	2021	2022	2023	
48,641	55,797	70,108	72,127	72,921

Capital investment is a sign of a growing, healthy economy. As companies expand, they purchase property, build facilities and buy equipment. This contributes to Alberta's Gross Domestic Product and improves Alberta's long-term economic performance.

Alberta non-residential investment was \$72,921 million in 2024, an increase of 1.1 per cent from 2023. Mining, quarrying and oil and gas extraction accounted for 42.6 per cent (\$31.0 billion) of total capital investment in Alberta, followed by transportation and warehousing (9.9 per cent or \$7.2 billion) and utilities (9.4 per cent or \$6.9 billion).

Investment in mining, quarrying, oil and gas extraction increased by 3.4 per cent from 2023, buoyed by higher sustaining capital from rising bitumen production along with strong drilling activity. Significant increases were seen in manufacturing (up 41.9 per cent to \$4.8 billion), supported by major projects such as Air Products' Hydrogen Facility, Imperial's Renewable Diesel Refinery, McCain's Potato Processing Plant and CGC's Wallboard Manufacturing Plant. Increases were also seen in public administration (up 23.3 per cent to \$5.9 billion), educational services (up 20.0 per cent to \$1.6 billion), accommodation and food services (up 15.0 per cent to \$436.9 million) and construction (up 10.5 per cent to \$2.8 billion).

Gains in manufacturing were primarily due to increases in food manufacturing (up 105.2 per cent to \$741.5 million), chemical manufacturing (up 71.2 per cent to \$2.0 billion) and petroleum and coal product manufacturing (up 20.2 per cent to \$1.1 billion).

Outcome Two: Alberta has a skilled and resilient labour force.

Ensuring workers have skills and knowledge helps them succeed in the workforce and also helps businesses and the economy grow and thrive.

Key Objectives

2.1 Implement initiatives to address Alberta's current and longer-term labour market challenges.

Alberta is Calling

The Alberta is Calling Moving Bonus is a one-time, \$5,000 refundable tax credit to attract out-of-province workers to Alberta by offsetting the costs associated with relocation. The Moving Bonus is intended to fill skilled trade shortages in critical sectors like construction and oil and gas, with applications considered on a first-come, first-served basis.

A budget of \$10 million is available to support up to 2,000 skilled tradespeople who moved to Alberta between May 1 and December 31, 2024 and meet all other eligibility criteria. An online application portal has been developed that supports seamless interactions with the Government of Alberta. The portal opened for application intake in May 2025.

Ministry-Specific Job Attraction Strategy

The Ministry-Specific Job Attraction Strategy, developed in collaboration with economic ministries across government, targets skilled workers to address labour market shortages in critical sectors. The strategy aims to raise awareness for young Albertans (aged 16 to 24) and adults changing careers about the skilled trades and professions available in each economic sector including pathways for education, apprenticeship and training. Engagement with internal and external stakeholders is currently underway and the strategy is anticipated to be completed in fall 2025.

As part of this effort to strengthen the labour market and address labour gaps, the department partnered with the Alberta Chambers of Commerce and Alberta Post-Secondary Network to support Phase 2 of the Talent Development Taskforce. Through a \$2.4 million grant over the next three years, the Alberta Chambers of Commerce will take the next step in addressing skill shortages and support job attraction by introducing a Talent Pipeline Management (TPM) system in Alberta. Built by business, for business, the TPM system provides employers and their education and workforce partners with strategies and tools to co-design talent supply chains. Phase 2 of the Talent Development Taskforce's project is intended to train and certify 35 TPM practitioners across Alberta, deliver two workforce acceleration summits to initiate TPM strategies in Alberta's high-demand sectors and continue to enhance Alberta's labour market information system with near real-time employer and post-secondary student feedback mechanisms.

Labour Market Information

The department is responsible for collecting, disseminating and analyzing information about Alberta's labour market. To achieve this, the department releases publicly available labour market reports to support informed decision-making by various users, including businesses, investors and post-secondary institutions. These reports can be found online at: <https://www.alberta.ca/labour-market-information>. This information is also used by students who are trying to determine a career path, career researchers, training providers who are developing new programs for job seekers and employers making decisions about workforce planning, hiring and compensation. The department provides monthly reports on current labour market conditions, quarterly reports on job vacancies and forecasts of Alberta's occupational demand and supply. In July 2024, the department released the 2023-33 Alberta Occupational Outlook, which provides a forecast of labour shortages and surpluses for occupations in Alberta over the next 10 years.

To address gaps in available business and employment information, the department partnered with the City of Edmonton in March 2024 to conduct a multi-year Edmonton Business Census pilot project. Open data and findings of the 2024 Business Census are available on the City of Edmonton website:

<https://gis.edmonton.ca/portal/apps/storymaps/stories/9123139c578d424e9d8d94e858f472fb>.

The department is also working to improve labour market information to better respond to emerging issues and challenges specific to the province. In September 2024, the Government of Alberta supported the official launch of the Alberta Centre for Labour Market Research at the University of Alberta after committing a total of \$1.2 million to the project over three years. The centre is comprised of 26 researchers from post-secondary institutions across the province with a mandate to provide Albertans with balanced, independent and credible research and analysis on labour market issues affecting the province.

Other initiatives include a labour market information subscription service launched in May 2024 for users to receive labour market information publications by email. Since its launch, over 3,000 subscriptions to 20 labour market information products have been received.

2.2 Deliver responsive training and employment programs that enable workers and businesses to succeed in a dynamic economy.

Training for Work

Training for Work programs provide training opportunities to help unemployed and underemployed Albertans develop the skills necessary to find work, improve their employment situation and increase their ability to adapt to a changing labour market. The department delivers training for work programs throughout the province, including priority sectors such as construction, transportation, agriculture, energy and business and accounting, with input from local employers on training and hiring needs. Training for Work programs are divided into five streams, including: Workplace Training, Immigrant Bridging, Self-Employment, Transition to Employment Services and Integrated Training.

Training for Work programs invested \$25.3 million in over 65 urban and rural communities across Alberta in 2024-25. Twenty-eight new contracts with business and industry partners began, including employment services for unemployed Albertans aged 45+ in Lethbridge and Medicine Hat, in addition to a new Early Childcare Educator program in Edmonton.

In 2024-25, 4,089 participants began training and employment programs. In total, 87 contracts actively delivered training and employment programs in 2024-25, compared to 88 contracts in the 2023-24 fiscal year. In 2024-25, 70.7 per cent of participants were employed or in further training or education 90 days after training.

Program success is impacted by targeted engagement with individuals, business and industry, training providers, communities and other levels of government. Training for Work programs measure employment outcomes through established program performance evaluation criteria to satisfy provincial and federal requirements as part of Labour Market Transfer Agreements.

Canada-Alberta Job Grant

The Canada-Alberta Job Grant is a federal-provincial partnership that allows employers and government to share the cost of training employees. Grants are available to eligible employers to offset the costs of training new and existing employees to meet the needs of job creators and the broader Alberta economy. Employers across the province and in all sectors are eligible for the Canada-Alberta Job Grant.

Canada-Alberta Job Grant			
	2022-23	2023-24	2024-25*
Albertans approved for training*	11,259	12,172	6,508
Employer applications approved	9,352	8,783	4,108
Unique employers approved	3,298	3,747	1,922
Funds committed	\$29.8M	\$26.8M	\$14.4M
Data is extracted from administrative databases and is current as of time of publishing. *An individual Albertan may have participated in more than one training course. **The program closed for applications in August 2024 due to a reduction in federal funding.			

In 2024-25, \$14.4 million was used to support 1,922 employers to train 6,508 new and existing employees. Of these, 93 per cent of employers were small or medium-sized businesses. The sectors that made the most use of the program were oil and gas, construction, professional, scientific and technical services and manufacturing.

The Canada-Alberta Job Grant closed for applications on August 7, 2024, due to reduced funding under the Canada-Alberta Labour Market Transfer Agreement. Applications submitted prior to the closure will continue to be processed. The program is under review, with a modified program expected to be launched in 2025-26.

Workforce Partnership Program

The Workforce Partnership Program provides grant funding to employers, industry and sector associations, regional organizations and Indigenous organizations to support workforce development and labour market adjustment strategies. Effective partnerships improve the capacity of organizations to deal with workforce demands and support economic growth on regional and provincial levels. A program priority is to build industry and employer capacity to attract and retain newcomers, youth, Indigenous peoples, women, mature workers and people living with disabilities.

In 2024-25, a total of \$2.9 million supported 42 workforce partnership grants, including 10 sector and 32 community-based grants. Projects include:

- Alberta Hotel and Lodging Association's Building a Thriving Workforce project will address labour shortages in the hotel industry by connecting hotels with skilled workers, exploring recruitment strategies for youth and providing tools and resources to improve human resource practices of employers.
- Alberta Food Processors' Association Toolkits to Support Newcomer and Youth Integration project will create employer toolkits for youth and newcomers to address ongoing labour shortages in the sector.
- BILD Alberta's Skilled Youth Campaign will launch a targeted digital awareness and education campaign to engage youth with career opportunities in residential construction.
- The Municipality of Jasper's Business Recovery project will help Jasper businesses rebuild and adapt following the 2024 wildfire. Business owners and managers will benefit from advice and practical strategies for business recovery, staff attraction and retention.
- The City of Fort Saskatchewan's Inclusion in the Heartland project will bring together employers and representatives from underrepresented groups with a goal of enhancing recruitment and retention efforts from a wider pool of qualified candidates.
- The Lloydminster Construction Association's Try-a-Trade project will allow employers to showcase skilled trades opportunities through hands-on learning in a variety of trades.
- Cypress County's Ag Connections Conference will bring together producers, educational institutions and industry organizations to address succession planning, competition for talent and available sources of skills and labour.

A complete list of all grants is posted online at: <https://www.alberta.ca/workforce-partnerships-grants.aspx>.

Alberta Industry Skills Grant

The Alberta Industry Skills grant (AISG) is a new initiative that helps employers train their workers to fill in-demand jobs, particularly in industries with high employment demand. Through AISG, workers gain industry-certified, transferable skills that meet the needs of employers in Alberta's growing economy. In 2024-25, a total of \$5.16 million was invested in the following four projects:

- Alberta Aviation Council's Aviation Futures project will train for several in-demand roles in the aviation and aerospace sector through a combination of hands-on internships and classroom instruction.
- CWB Group's Expanding Non-Destructive Testing Certification project will provide training and certification in ultrasonic phased-array non-destructive testing, a leading-edge technology with applications across the construction, oil and gas and aerospace sectors.
- Technology Alberta's TechFIT Management Skills Training project will deliver essential non-technical skills training in competencies such as management, finance, innovation development and marketing. Equipping the workforce with these skills will help small and emerging tech firms overcome growth challenges.
- Thermal Insulation Association of Canada's Building Mechanical Insulation's Sustainable Future project will train Albertans in the foundational skills needed for long-term careers as heat and frost insulators to address an urgent need for skilled tradespeople in mechanical insulation occupations.

Skills Grants and Programs

The Aviation Skills Grant (ASG) provides for-profit and not-for-profit employers operating in the province's aviation and aerospace sector up to \$30,000 per trainee to help offset training costs for new or vacant positions. Over two years, ending in 2024-25, ASG invested \$11.2 million for 33 aviation and aerospace employers throughout the province to train 3,147 individuals for high-demand occupations, such as pilots, aircraft maintenance engineers, technicians and quality assurance personnel. Employers represented large and small operators from nine communities throughout the province. The workers and organizations funded through the ASG play an important role in supporting the growth and diversification of the province's aviation and aerospace industry.

Since the commencement of the Skills Development Stream of the Workforce Strategies Grant program (funded through Alberta at Work) in 2023, approximately 1,700 participants have been accepted into skills and employment training. Skill-stream grants will conclude in May 2025.

The Culinary Skills Training Program for Newcomers delivered by the Edmonton Newcomer Centre is an example of the positive effects that grant funding produces. This program continued to excel by enabling newcomers to familiarize themselves with the norms and expectations of Canadian food service workplaces while developing and applying their skills during a mentored work exposure in the industry. Supported by \$1.3 million in grant funding, the program has demonstrated strong and impactful outcomes. Of the 86 participants that have completed training, 70 have secured employment in the food service industry resulting in an 82 per cent job placement rate and exceeding the target of 70 per cent job placement for similar programs.

Indigenous Employment Training Partnerships

The Indigenous Employment Training Partnerships program funds Indigenous-led training and work experience projects, tailored to help unemployed or underemployed First Nations, Inuit and Métis peoples secure and maintain long-term employment. Locally created training projects target the needs of both participants and employers by addressing employee readiness and ensuring participants receive relevant skills training and certification. Projects may include additional support, such as the inclusion of community Elders in programming for cultural identity teachings. Projects offer a broad spectrum of training, which include Heavy Equipment Operator, Culinary Arts, Pipeline Workers, Health Care Aides, Introduction to Trades, Administration and Customer Service, Building Maintenance Worker and Service Rig Training.

Projects are developed in partnership with government, industry, employers and Indigenous partners to fill identified labour force needs. Current partners include various Metis Settlements, First Nations, Tribal Councils, urban Indigenous organizations and other Government of Alberta ministries. These include:

- A training project with Horse Lake First Nation's Service Rig Training, which provided five weeks of service rig training to 11 members in various positions. Phase 1 included an introduction to the industry for both the participants and family supports, in addition to classroom training including safety tickets. Phase 2 included the set up of an operational service on site, where hands-on training took place. Additional cultural training was provided including job safety, handling conflict, team building, cultural sensitivity and day-to-day struggles they may encounter. Seven partners including Horse Lake First Nation, industry and employers, EKWA Training Ltd. and the department supported a 100 per cent completion of training and the successful employment of all 11 members.

In 2024-25, 39 new Indigenous Employment and Training Partnerships projects started with a combined total of 1,029 participants. The Government of Alberta provided approximately 65 per cent of the combined total funding for projects, with 187 project partners providing the remaining 35 per cent of funding.

As projects may span multiple fiscal years, not all outcomes' data can be captured within the fiscal year period. Current outcomes data, as of March 31, 2025, is available for approximately 859 participants. Approximately 94 per cent of these participants have successfully completed training as of March 31 and 52 per cent have gained employment.

In fiscal year 2024-25, \$523,232 was spent to fund 15 new Indigenous Workforce Partnerships, including both Labour Market Partnerships and Workforce Attraction and Retentions Partnerships. For these Indigenous focused projects, the Government of Alberta provided approximately 52 per cent of the combined total funding through the Labour Market Transfer Agreement while project partners provided the remaining 48 per cent of the funding. Partnerships include:

- Lloydminster Chamber of Commerce hosted a partnership conference and job fair event to bring both Indigenous leaders and non-Indigenous decision-makers together to work on building economic and business partnerships. The job fair segment highlighted career paths to many sectors and employment opportunities with 400 participants (70 businesses) in attendance. This event, supported by local and regional First Nations and Metis Settlements as an introduction, resulted in individual and partnership outcomes.

- Blood Tribe Employment and Skills Training, in partnership with Green Planet Energy Analytics, provides community engagement events, as well as capacity building educational and training events, for workforce development. These events offer knowledge related to the green energy industry, practical hands-on learning opportunities and identify various pathways to employment. These sessions supported youth and the community in building deeper relationships and bridging the gap between industry and the Nation.

Coal Workforce Transition Program

The Coal Workforce Transition Program provides financial supports to workers in the coal industry impacted by the government decision to phase out coal-fired electricity. The program has multiple streams of support for workers, including:

- The Bridge to Re-employment relief grant, which provides financial assistance to workers searching for new jobs;
- The Bridge to Retirement relief grant, which provides financial assistance to coal workers who are close to retirement when laid off; and
- Relocation Assistance, which provides financial support for those who have moved at least 40 kilometers to start a new job.

In 2024-25, the program provided a total of \$2.6 million in financial support for employees affected by the phase-out of coal-fired electricity generation, compared to \$1.6 million in 2023-24. The amount distributed each year varies depending on upcoming plans for closures and conversions and associated workforce impacts. In the past year, 24 Albertans received a Bridge to Re-employment grant, while 17 Bridge to Retirement grants were issued. No relocation grants were issued in 2024-25.

**Jobs, Economy and Trade: Performance Measure 2.a:
Outcomes for Training for Work program clients**

Prior Years' Results				2024-25 Target	2024-25 Actual
2020-21	2021-22	2022-23	2023-24		
67.2%	75.5%	75.8%	74.3%	70%	70.7%

The percentage of Training for Work clients who report they are either employed, self-employed or in further education or training after leaving a Training for Work program partially assesses the effectiveness of these programs in helping participants meet these goals. Success is also affected by the engagement of individuals, business and industry, training providers, communities and other levels of government. Employment and/or training programs encourage attachment to the labour market.

In 2024–25, 70.7 per cent of participants reported being employed, self-employed, or engaged in further education or training after completing a Training for Work program. This is a 3.6 percentage point drop from the previous year's result of 74.3 per cent. However, the outcome still falls within the target level, meaning the program's performance remains on track despite the decline.

It is difficult to point to a single reason for the decrease in this year's performance results compared to the previous year. However, one likely factor is the rise in Alberta's unemployment rate in 2024, which indicated a more challenging job market. As a result, some program participants may have had a harder time finding or keeping employment after completing training.

In addition, an increase in training programs offered by other ministries and the federal government may create a short-term disruption as service providers adjust to a more competitive and evolving environment. The contractors may need time to adjust their services to stay aligned with the changing labour market and participant needs. To respond to this, the Training for Work program has already adjusted its planned Requests for Proposals. These adjustments are based not only on past program outcomes, but also on employer-based Labour Market Information, which helps ensure that training remains relevant to what employers are looking for in the job market.

Outcome Three: Albertans are safe at work and treated fairly in the workplace

Ensuring Albertans are treated fairly in the workplace and can return home safely from work helps workers and their families prosper. Dispute resolution helps ensure workers and employers can resolve issues in a timely fashion, ensures the effective application of Alberta's labour laws, and promotes fairness in Alberta's workers' compensation system.

Key Objectives

3.1 Work with stakeholders, employers and workers to implement changes to the Occupational Health and Safety Code to protect the health and safety of Alberta workers.

Occupational Health and Safety Code Review

In 2024-25, the department's three-year review plan to keep the Occupational Health and Safety (OHS) Code current continued. An updated and easier-to-understand OHS Code helps employers keep workers healthy and safe and supports Alberta's economy. Regularly updating the OHS Code allows it to keep pace with changing work practices, evolving technologies, emerging issues and interprovincial trade agreements that support harmonization and labour mobility. It also provides an opportunity to clarify work site party responsibilities and improve health and safety outcomes while enabling innovation, competitiveness and streamlining requirements.

On December 4, 2024, updates to Parts 27 (Violence and Harassment), 33 (Explosives) and 37 (Oil and Gas Wells), as well as miscellaneous changes to correct errors and align standards, came into effect. Until March 31, 2025, work site parties could comply with either the new provisions in the 2024 OHS Code or the previous provisions in the 2023 OHS Code. Starting March 31, 2025, work site parties must comply with the updated rules. The 2024 changes to the OHS Code were informed by an online public survey undertaken between February and April 2024. More than 780 responses were received; in general, 88 per cent of respondents supported the proposed changes.

3.2 Support a coordinated provincial occupational health and safety approach through education, prevention, inspections and investigations.

Occupational Health and Safety

Occupational health and safety legislation sets out the minimum health and safety standards for Alberta's workplaces. Effective health and safety management systems support workers' health and safety and help to reduce employer costs related to worker injury and illness. The department works with employers, workers, health and safety associations, industry associations and labour groups to promote a workforce that is informed and knowledgeable on workplace rights and responsibilities. Education and enforcement activities are complementary and both tools help work site parties achieve compliance with the legislation.

Occupational Health and Safety Compliance Activities

In 2024-25, the department conducted 10,947 inspections and 6,545 re-inspections, compared to 9,801 inspections and 5,975 re-inspections in 2023-24, an increase of 1,146 and 570 respectively. These increases reflect meeting both a rise in demand for service as well as efforts by Occupational Health and Safety (OHS) to streamline various business processes to enable more proactive inspections to occur.

The proactive inspections program provides support to high-risk sectors or employers, focusing on selected industries and emerging trends. The department chooses employers and sectors with relatively high injury and illness rates, high frequency of incidents or complaints, or persistently low rates of compliance to look for emerging trends. The proactive inspections program enhances employers' awareness of their responsibilities under the *Occupational Health and Safety Act*, Regulation and Code. The program aims to protect workers' health and safety by identifying and controlling hazards; enhancing awareness among employers and workers with respect to their relevant rights and responsibilities; and providing knowledge to vulnerable workers regarding their rights pertaining to OHS legislation.

Reactive inspections are conducted to respond to complaints made by workers or members of the public, referrals from other agencies or dangerous work refusals.

In 2024-25, 26 per cent of OHS inspections were proactive and 74 per cent were reactive. A shift towards a greater number of proactive inspections is part of OHS's broader strategy to target compliance and enforcement efforts and resources to where they are most needed and have the greatest opportunity for meaningful impact.

Occupational Health and Safety			
	2022-23	2023-24	2024-25
Inspections conducted	9,561	9,801	10,947
Re-inspections conducted	4,146	5,975	6,545
OHS orders written	9,099	12,594	14,454
Unique work sites visited	7,092	7,548	8,532
New businesses contacted for the first time	12,342	14,603	15,849
Online resources viewed	652,794	696,188	698,704

OHS officers issued 14,454 orders in 2024-25, compared to 12,594 in 2023-24. OHS officers use a risk-based approach to compliance, focusing on issues with the highest risk of worker injury to monitor work site party compliance. Employers receive OHS orders when there is evidence of non-compliance with OHS legislation. OHS orders include compliance orders, stop work orders and stop use orders.

Occupational Health and Safety Contact Centre

The Occupational Health and Safety (OHS) Contact Centre helps provide Albertans with information related to OHS legislation. The contact centre also receives complaints and incident notifications through telephone calls and emails.

In 2024-25, the OHS Contact Centre received 12,977 telephone inquiries (13,155 in 2023-24) and 4,522 email inquiries (5,143 in 2023-24) from both workers and employers seeking additional information and guidance. OHS continues to make efforts to ensure that public facing webpages and resource documents provide Albertans answers to the most common questions.

Occupational Health and Safety Contact Centre			
	2023-23	2023-24	2024-25
Telephone inquiries	15,446	13,155	12,977
Email inquiries	5,095	5,143	4,522
Total inquiries	20,541	18,298	17,499

Surveillance, Research and Potentially Serious Incidents Program

The *Occupational Health and Safety Act* requires prime contractors or employers (if there is not a prime contractor) to investigate potentially serious incidents (PSIs) that occur on work sites. Once the investigation is complete, a report is submitted via the OHS Online Incident Reporting service. A worker may also choose to report an incident to the OHS Contact Centre. A PSI is reportable when the incident had a likelihood of causing serious injury or illness and there is a reasonable cause to believe that corrective action may need to be taken to prevent reoccurrence. A PSI is not limited to workers. If someone who is not a worker is involved, the incident is considered to be a PSI if it resulted from work activities at the work site or could have happened to a worker.

Aggregate PSI data summary reports are shared monthly with external health and safety associations and are used to inform program delivery within the department. Quarterly PSI data is provided to Energy Safety Canada as part of an information sharing agreement. Department staff worked to raise awareness of PSIs through presentations to health and safety associations and Certificate of Recognition Certifying Partners.

In 2024-25, 514 PSIs were submitted, with 27 serious incidents identified. The department continues to distribute monthly PSI awareness correspondence, amounting to 2,344 emails or paper letters sent, in 2024-25, to employers that may have an unreported PSI, based on Workers' Compensation Board claims data. Following correspondence, 4.9 per cent of employers submitted a PSI.

Education and Outreach of Occupational Health and Safety Information Resources

The Occupational Health and Safety Prevention Initiative clarifies priorities of the Alberta OHS system based on evidence and consultation with all parties, including employers, health and safety associations, labour organizations, service providers, the Worker's Compensation Board, government and workers, among others who all have a role to play in ensuring the system works as needed. The initiative supports the use of best practices for an effective OHS system through education campaigns based in user-centered design and knowledge translation principles.

The long-term goals of the initiative are:

- workplaces engage in behaviour that supports preventing priority diseases in and outside of their workplace;
- reducing incidents of slips, trips and falls, musculoskeletal disorders injuries and psychosocial disease and injuries;
- system partners increase participation in educational opportunities to prevent priority diseases and injuries; and
- increasing sharing and partnership of system partners' resources for coordination and alignment.

In 2024-25, the department connected with 47 organizations, attended 40 events and engaged with an estimated 6,000 participants. These activities support an understanding of and compliance with Alberta's OHS legislation, raise awareness and increase understanding of OHS best practices.

Supporting Psychological Health in First Responders Grant

The Supporting Psychological Health in First Responders Grant (SPHIFR) program provides grants to improve services for first responders who are living with or are at risk of developing post-traumatic stress injuries (PTSI). Services that the grants support include early intervention and resilience building. The grant program has two streams: services, which focuses on supporting not-for-profit organizations in the delivery of services to first responders; and applied research, which supports research to inform prevention or interventions for PTSIs. The budget for the program is \$1.5 million per year. In 2024-25, 59 SPHIFR applications were received were accepted. Six services-stream and six applied research stream applications were approved for funding. One of the services-stream and two of the research stream recipients have received SPHIFR funding in the past, highlighting their commitment and excellence in supporting the mental health of first responders and emergency workers. Applicants estimate that the mental health of over 3,500 first responders and emergency workers in Alberta will be directly or indirectly supported through SPHIFR funding in this cycle of the program.

Heroes’ Fund

The Heroes’ Fund recognizes the sacrifices of first responders who die as a result of performing their duties. A one-time, tax-free payment of \$100,000 is provided to eligible families of first responders, including police officers, firefighters, paramedics, sheriffs and provincial correctional officers. Payments administered from the Heroes’ Fund are separate from regular workers’ compensation fatality benefits.

On April 29, 2024, the Heroes’ Fund eligibility was expanded to include the families of fallen wildland firefighters. The expansion saw eligibility extended to workers who fight, suppress or extinguish a wildfire, such as firefighters on the ground and helicopter and water bomber crews.

The Heroes’ Fund supported 18 families in 2024-25 (with total funding of \$1.8 million), compared to 12 families in 2023-24. The fund pays for fatality benefits in the year in which they are accepted versus when deaths may have occurred; WCB-Alberta’s adjudication process can take time and invoices can be received by the department at a later date. The Government of Alberta created a regulation to increase funding so that all eligible families received the payment. The Heroes’ Fund has supported 76 families since its creation.

Engaging New Businesses

Contacting newly established businesses provides an opportunity to proactively engage and educate employers on OHS and employment standards requirements and build effective programs. Beginning in 2021-22, the new employer contact program began contacting all newly registered Workers’ Compensation Board employers by email. The email included an information package with important OHS and Employment Standards legislated requirements for new businesses. Employers are invited to contact the OHS Contact Centre if they have questions or need more information. A total of 15,849 emails were delivered to new employers in 2024-25.

New Employer Contact Program			
	2022-23	2023-24	2024-25
Number of new employers contacted	12,342	14,603	15,849

Partnerships in Injury Reduction – Certificate of Recognition Program

Partnerships in Injury Reduction is a voluntary program where Certifying Partners/safety associations, industry, the Workers’ Compensation Board (WCB) and government collaborate to support employers to build effective health and safety management systems. Under the program, employer participants register and receive training from one of 10 Certifying Partners, implement or improve their health and safety management systems and then undergo an audit conducted by an auditor who is trained and certified by their Certifying Partner. If the employer successfully passes the audit, a Certificate of Recognition (COR) is jointly issued by the department and the Certifying Partner. By improving health and safety, the social and financial costs of workplace injury and illness are reduced.

Certificate of Recognition Holders			
	2022-23	2023-24	2024-25
Number of COR holders	10,230	9,834	9,888
Number of workers covered under COR	761,797	749,316	822,433
% of workforce covered	39.9%	37.3%	40.1%

As of March 31, 2025, there are 9,888 COR holders across Alberta covering about 40.1 per cent of the total Alberta workforce (reported to the WCB in 2024). This represents a 2.8 per cent increase from the previous year. Partnerships in Injury Reduction also conducted four quality assurance audits and 70 on-site audit reviews in 2024-25.

Occupational Health and Safety Investigations

In 2024-25, investigations were initiated for 721 reportable incidents including traumatic incidents and fatalities. This is a considerable increase from the 586 reportable incidents in 2023-24. This rise in numbers is likely attributable to a higher number of actual incidents occurring, but is also a result of dedicated efforts by OHS to increase worksite party awareness of serious incident reporting requirements and active work to address the historic issue of underreporting and report suppression. The work being done by OHS to address underreporting is anticipated to have a corresponding upward effect on the number of serious incidents reported. As such, this year’s number represents some success in those efforts to tackle underreporting and is also more reflective than previous years of the true number of serious incident occurrences in Alberta.

Charges were laid in 18 cases against work site parties in violation of the *Occupational Health and Safety Act*, Regulation and Code, compared to 19 in 2023-24. These charges represent the most serious OHS infractions. Convictions in the year resulted in monetary fines totaling \$5.77 million (compared to \$3.60 million in 2023-24). The amount of each monetary fine can fluctuate based on the type of infractions and the number of convictions each year. These fines ranged from \$90,000 to \$1.25 million. The number of charges laid depends on several factors, including the number of serious incidents that occur. The fine amounts depend on the specific facts of each case, including instances of noncompliance and whether it can be proven that it was reasonable for the work site party to address the unsafe work conditions leading to the incident. OHS recommends charges when it is believed that there are reasonable and probable grounds for the offences that have been identified as a result of the investigation.

The *Occupational Health and Safety Act* has provisions for the courts to consider when sentencing work site parties. Having regard for the nature of the offence, the courts may impose a creative sentence where fines are directed towards projects, programs, research or education that will further the goal of achieving healthy and safe work sites. In some instances, work site parties are also placed on enhanced regulatory supervision with probation-like conditions that can include public acknowledgement of the offence, specific health and safety training courses and an external audit of their health and safety management program.

Creative sentencing was initiated 10 times in 2024-25. From these sentences, a total of \$3.64 million (included in the \$5.77 million in fines referenced above) was ordered to be paid to not-for-profit organizations, educational institutions and to health and safety associations to further the goal of achieving healthy and safe works sites. In 2024-25, two companies were placed on enhanced regulatory supervision (corporate probation) and were required to comply with specific conditions (e.g., publicly acknowledge the offense, undertake specific health and safety training courses). In addition, there were no charges laid regarding a breach of Enhanced Regulatory Supervision conditions.

Occupational Health and Safety Specialized Professional Services

Specialized Professional Services (SPS) strives to reduce occupational related illness and injuries in Alberta by supporting OHS program delivery and external stakeholders with technical and subject matter expertise (SME). SPS supports inspection and investigation activities by providing technical expertise in the fields of engineering, occupational medicine, occupational hygiene, ergonomics and mining. Key activities include providing SME for complex inspections and investigations, expert witness services in support of prosecutions, administration and delivery of regulated programs, review and issuance of legislative variances and support for legislation development. In 2024-25, SPS completed:

- 265 activities in support of regulated programs;
- 573 SME support activities for compliance and investigation units; and
- 40 legislative support activities.

The department issued 40 legislative tools in 2024-25. These tools included allowances, approvals, acceptances and inter-jurisdictional recognitions. Issuing these tools enabled employers to reduce legislative burden while still protecting workers.

3.3 Work with employers and employees to promote compliance with employment standards by providing timely complaint resolution, effective enforcement and assistance to vulnerable workers.

Employment Standards Code

The *Employment Standards Code* sets out the minimum employment rules that apply to most workplaces in Alberta. These standards are designed to protect employees and promote fair treatment in the workplace. They apply to the majority of employers and employees in the province, excluding those in federally regulated industries such as banking, air transportation and telecommunications. Standards include minimum wage, overtime pay, vacation pay, general holiday pay, termination pay and various protected leaves. Employees are encouraged to address employment standards concerns within their workplace when possible. If resolution cannot be reached, individuals have the option to file a formal complaint or submit an anonymous tip. Upon receiving a complaint, Employment Standards will either facilitate a resolution through a complaint resolution process or proceed with a formal investigation to ensure compliance with the legislation.

In certain circumstances, an individual employer, a group of employers or an employer association may apply to the Director of Employment Standards for a variance or exemption from specific provisions of the Code.

Timely Complaint Resolution

Employment Standards officers support workers and employers to resolve complaints if there is belief that minimum standards have not been met. Officers work to resolve complaints in a timely manner focusing on voluntary resolution through high-quality, administratively fair investigations.

Each complaint is unique and complex investigations require additional time and resources. While the department strives for timely completion, officers must ensure in all cases that investigations are thorough, of high quality and fair to all parties.

Employment Standards Complaint Resolution			
	2022-23	2023-24	2024-25
Complaints received	4,140	4,565	5,008
Complaints completed	3,259	4,315	5,591
Complaints concluded*	3,324	4,351	5,433
Percentage of complaints completed within 180 days	93%	79%	87%
Average number of days to begin an investigation	45	91	72
Average days to resolve a complaint	101	143	110
*Complaints are not always resolved in the same fiscal year they are received.			

In 2024-25, 87 per cent of employment standards complaints received were completed within 180 days of the date received, which is an improvement of eight percentage points from the previous year. This improvement was a result of operational efficiencies including an early resolution pilot process and streamlining of investigative processes. This was accomplished even with a 10 per cent increase in complaint volume from the previous year. Complaint volumes have increased at least 10 per cent year-over-year for the past three fiscal years. In 2024-25, the department concluded 117 complaint related inspections compared to 311 in 2023-24. This decrease is representative of a program delivery focus on reactive complaint volume and not proactive inspection work, which has resulted in decreasing file inventory levels from 1,700 in 2022-23 to 400, ultimately improving timely service delivery for Albertans.

A complaint is considered complete when the investigation phase is no longer under the control of an officer. A complaint is considered concluded when the officer has collected money on behalf of the complainant or has exhausted all available options for resolving the complaint, whether through voluntary resolution, issuing an order or decision, the appeal process or the conclusion of the collections process.

Employment Standards Appeals

The Alberta Labour Relations Board (ALRB) is the appeal body that oversees the appeal of Employment Standards orders, penalties, declarations, certificates and notices listed in section 95(2) of the *Employment Standards Code*. Employment Standards received 171 appeals and completed the processing of 106 appeals overall. For appeals referred to the appeal body, a total of 38 appeals were voluntarily resolved with the parties prior to the hearing date, while 20 were confirmed, varied or revoked by the ALRB.

Voluntary Resolution

If an employee believes their employer is not fulfilling legislated responsibilities, the employer and employee are encouraged to work together to come to a fair and equitable resolution. While enforcement action by Employment Standards is possible, a process of mediation or voluntary resolution between an employer and employee is encouraged to resolve complaints. Voluntary resolution is a more efficient process and can lead to a fair arrangement that both parties agree to, with minimal involvement of an officer. Each complaint is unique and not all situations lend themselves to voluntary resolution. Where voluntary resolution cannot be achieved, the department takes appropriate investigation and enforcement steps.

Employment Standards Voluntary Resolution			
	2022-23	2023-24	2024-25
Percentage of employment standards complaints resolved voluntarily	84%	84%	83%
Number of employment standards complaints within ES mandate	2,963	3,831	4,923
Number of employment standards complaints resolved voluntarily	2,481	3,199	4,107
Number of employment standards complaints completed	3,259	4,315	5,591

Employment Standards concluded 5,591 complaints in 2024-25. Of those, 668 complaints were outside of Employment Standards' mandate. 4,107 complaints were resolved voluntarily, while the other 816 complaints required additional enforcement activities. The 2024-25 voluntary resolution rate was 83 per cent.

A complaint is considered outside of Employment Standards' mandate when the employer has filed for bankruptcy, the work is governed by another jurisdiction, such as federal employment standards or another province, or the claim was submitted outside of the limitation period. Files identified as outside of Employment Standards mandate are not included in the calculation of the voluntary resolution rate.

Funds Recovered by Employment Standards for Albertans

In 2024-25, Employment Standards successfully recovered a total of \$5,408,046 on behalf of Albertans through various enforcement and resolution mechanisms. This amount includes:

- \$264,223 recovered through the appeals process, where decisions were reviewed and determined owing to employees;
- \$1,610,722 collected through collection enforcement actions, ensuring that outstanding earnings ordered are paid to employees;
- \$3,533,101 resolved through the complaint resolution process, where disputes between employees and employers were settled voluntarily; and
- \$189,167 were returned to Alberta employers through the appeal or collection processes.

These efforts reflect a strong commitment to protecting workers' rights and ensuring fair compensation for Alberta employees.

Employment Standards Contact Centre

The Employment Standards Contact Centre makes information and education readily accessible for Albertans. In 2024-25, the contact centre received a total of 61,019 inquiries (telephone and email) from employees and employers seeking information and guidance. Total inquiries to the call center dropped from previous years, potentially due to an increase in education, outreach and partnership activity and enhanced webpage content. The top trending topics throughout the year included termination, payment of earnings, hours of work and referrals to other areas.

Employment Standards Contact Centre			
	2022-23	2023-24	2024-25
Telephone inquiries	58,121	56,602	49,756
Email inquiries	12,125	12,293	11,263
Total inquiries	70,246	68,895	61,019

Suspected Human Trafficking

Employment Standards staff investigate potential non-compliance with employment standards legislation where signs of human trafficking exist and coordinate a response with the Temporary Foreign Worker Advisory Office and other enforcement agencies, as appropriate. Additionally, the department has an information sharing agreement with Employment and Social Development Canada to enable exchange of temporary foreign worker related information, which helps to strengthen protections for victims of human trafficking. Employment Standards continues to address repeat violators and human trafficking related matters through investigations and inspections. In 2024-25, 472 alleged human trafficking related complaints were received, resulting in 280 inspections in comparison to 2023-24 where 338 alleged human trafficking related complaints were received resulting in 169 inspections. The number of human trafficking inspections increased by 66 per cent from the previous year. Increased human trafficking complaints may be related to enhanced education, outreach and collaborative partnerships with other referral agencies and law enforcement including the Government of Alberta Human Trafficking Working Group.

Employment Standards Administrative Penalties

Administrative penalties encourage compliance with employment standards legislation and may be issued to employers for failing to comply with an enforcement action or repeated noncompliance. Standard penalty amounts may begin at \$500 and are issued in a progressive manner for repeated contraventions. Administrative penalties can also be issued for economic benefits derived from noncompliance. In 2024–25, Employment Standards issued four administrative penalties totaling \$25,500. This reflects an increase from the previous year, when one administrative penalty was issued in the amount of \$1,500. Administrative penalties are an enforcement tool, largely paused over the past two years to prioritize reactive complaint management, that will gradually resume as complaint inventory volumes decline. This shift supports a more meaningful comparison of administrative penalty as an enforcement tool and the data reflects improved reactive complaint volume management.

Chronic Non-Compliance

Employment Standards officers identify chronic non-compliance during the triage of all employment standards complaints. Initially, inspections are conducted to provide one-on-one education, assess willingness of employers to comply and conduct an audit of employment records for compliance with minimum employment standards. If additional complaints or tips are received, advanced enforcement options, including an Order of Officer, administrative penalties and prosecution may be utilized where employers refuse to comply. In 2024-25, 23 inspections of chronically non-compliant employers were completed.

Employment Standards Anonymous Tips and Inspections

In 2024-25, the department received 1,850 anonymous tips (compared to 1,369 in 2023-24). Anonymous tips are triaged by Employment Standards staff and where vulnerable workers or chronic non-compliance are identified, an inspection is initiated. This represents a nearly 50 per cent increase from the previous year and may be attributed to an increase in education and outreach activities conducted by program delivery during the same year.

Employment Standards Anonymous Tips and Inspections			
	2022-23	2023-24	2024-25
Anonymous tips received	1,148	1,369	1,850
Inspections conducted	690	1,026	421

The department conducted 421 inspections in 2024-25 (compared to 1,026 in 2023-24). This decrease is reflective of a program delivery focus on reactive complaint volume reduction versus conducting proactive field inspections. The Employment Standards inspection process identifies areas of non-compliance and may require employers to carry out an officer-directed audit to remedy violations for all affected employees.

Reservist Leave for the 2025 G7 Leaders’ Summit

Reservist Leave is an unpaid, job-protected leave established in employment standards legislation that allows reservists, who are reserve force members of the Canadian Forces, to take time off work to participate in military operations or activities. On March 31, 2025, the Reservist Leave Regulation came into force and temporarily expanded Reservist Leave to allow reservists to take part in operations and activities related to the 2025 G7 Leaders’ Summit in Kananaskis, Alberta. This includes the G7 Leaders’ Summit meeting held from June 15-17, 2025, as well as pre- and post-deployment activities related to the event. The Reservist Leave Regulation expires on August 31, 2025.

3.4 Promote effective labour relations dispute resolution through ministry-appointed mediators.

Ministry-Appointed Mediation Services

In Alberta, there are approximately 1,340 collective bargaining relationships covering just over 487,000 employees under provincial jurisdiction across all industry sectors. Collective bargaining agreements must be renegotiated at the end of the fixed term of the agreement. Typically, about 430 collective bargaining agreements are negotiated each year and approximately 80 per cent are resolved without needing the assistance of a mediator.

Mediation			
	2022-23	2023-24	2024-25
Number of mediations concluded where a ministry-appointed mediator was engaged to assist the parties in their negotiations	125	118	94
Number of mediations with a ministry-appointed mediator that were settled without a work stoppage	125	118	85
Percentage of collective bargaining agreements with the assistance of a ministry-appointed mediator settled without a work stoppage	100%	100%	90.4%

Mediation services support the labour relations community by providing mediators to assist in the resolution of collective bargaining disputes and grievance arbitrators to resolve differences arising from the interpretation, application or operation of a collective agreement. The ministry appoints independent mediators under the *Labour Relations Code*, *Police Officers Collective Bargaining Act*, *Public Service Employee Relations Act* and the *Post-secondary Learning Act*.

The ministry evaluates the effectiveness of ministry-appointed mediators and tracks numbers of mediations concluded without a work stoppage. In 2024-25, of the 94 mediations that were concluded with the assistance of a ministry-appointed mediator, 90.4 per cent were settled without a work stoppage.

The majority of public sector collective bargaining agreements in the province expired in 2024. With modest increases in the last round of bargaining, coupled with inflation, expectations are high with respect to wages. There were nine work stoppages by education support staff, represented by the Canadian Union of Public Employees, at various school divisions. These commenced in January and settled in mid-March 2025. This ended the no work stoppage record in the province that had continued since the first quarter of 2022.

Union Dues Election

In 2020, the *Restoring Balance in Alberta's Workplaces Act* amended Alberta's labour relations laws and introduced union dues election rules to protect workers' choice by making sure that the union dues, assessments or initiation fees (collectively referred to as dues) collected from workers are not used to fund political activities, social causes, charities, non-governmental organizations, organizations supportive of a political party or any other activity outlined in regulation (non-core activities) unless the worker chooses to do so. Dues for core activities, for example, activities relating to collective bargaining and representation of dues payers, can continue to be charged by the union to dues payers without an election.

Unions and other stakeholders, such as charities, have expressed concerns that union dues election rules have created red tape that has reduced or eliminated union charitable donations. As a result, the mandate letter for the Minister of Jobs, Economy and Trade issued on July 4, 2023, included direction to consult with Alberta private sector unions on ways to reduce red tape on aspects of the Act that made it unduly onerous for unions to make charitable donations.

The department engaged with stakeholders from February 1 to March 31, 2024. In 2024-25, the department analyzed the feedback received from stakeholders. On April 2, 2025, the Union Dues Election Engagement What We Heard Report was publicly released and is available on the Open Government Portal at <https://open.alberta.ca/publications/union-dues-election-engagement-what-we-heard>.

3.5 Promote efficient, timely, effective and consistent services through the Alberta Labour Relations Board.

Alberta Labour Relations Board

During the last year, the Alberta Labour Relations Board (ALRB) continued to provide efficient, timely, effective and consistent services to Alberta's labour relations community. The number of applications filed with the Board increased from 716 applications in 2023-24 to 734 applications in 2024-25. This number includes 34 appeals under the *Occupational Health and Safety Act* and 50 appeals under the *Employment Standards Code*. The number of hearings the Board conducted increased from 679 in 2023-24 to 791 in 2024-25 representing 16 per cent increase.

Alberta Labour Relations Board			
	2022-23	2023-24	2024-25
Number of applications	687	716*	734
Number of hearings	629	679*	791
Number of certification applications received by the Alberta Labour Relations Board	121	130	159
Average number of days from acceptance of an application to first hearing	54	80	74
*Numbers were restated to reflect a minor correction to ALRB records following routine internal auditing.			

The ALRB remains committed to scheduling matters in a timely fashion. In 2024-25, the average number of days from the acceptance of an application to the date of the first hearing was 74 days, compared to 80 days in 2023-24. A number of factors impact this measure, including the availability of the parties, the availability of adjudicators and Board Members, in addition to the number and complexity of matters that came before the Board.

Informal Settlement Process

The ALRB offers informal settlement options to assist parties to resolve disputes prior to the formal hearing process.

In 2024-25, the Board’s settlement rate was 61 per cent and above the Board’s target of 57 per cent. Settlement rates vary depending on a variety of factors including the complexity of the matter, the relationship between the parties, the economy and the labour relations climate in general. The Board is exploring opportunities to assist parties in resolving their disputes.

Alberta Labour Relations Board			
	2022-23	2023-24	2024-25
Percentage of applications, with Board involvement, settled before reaching a formal hearing.	66%	65%	61%

Key Decisions of the Alberta Labour Relations Board

During the 2024-25 fiscal year, the ALRB released a broad range of decisions interpreting different aspects of Alberta’s labour legislation. ALRB decisions interpreting Alberta’s labour legislation help provide certainty to stakeholders and are aimed at ensuring the fair and consistent application of that legislation.

Noteworthy decisions from the Board in 2024-25 included:

- United Brotherhood of Carpenters and Joiners of America, Local Union No. 1999 v Cessco Fabrication & Engineering Limited, 2024 ALRB 59. The Board provided information on the employer’s reinstatement obligations under section 90 of the *Labour Relations Code*: it said employees’ reinstatement rights do not expire just because an Employer’s operations are on hold when they make the requests.
- United Steel, Paper and Forestry, Rubber, Manufacturing, Energy, Allied Industrial and Service Workers International Union (United Steelworkers), Local 1-207 v Starbucks Coffee Canada, Inc., 2024 ALRB 65. The Board provided guidance for when it will use its reconsideration power under the *Labour Relations Code* to amend an existing certificate to “add-on” previously unrepresented employees from a single-store retail store of the same employer. It clarifies the question, in an “add-on” reconsideration application, if whether the unit applied for is an appropriate one.
- The University of Calgary Graduate Students’ Association v The University of Calgary, 2024 ALRB 88. The Essential Services Commissioner denied an application for an exemption to negotiate or file an essential services agreement. In doing so, she provided more information on the meaning of essential services under the *Labour Relations Code* and specifically what it means to endanger the health of the public.

- United Brotherhood of Carpenters and Joiners of America, Local Union No. 1325 v Clearstream Energy Services LP, 2024 ALRB 89. The Board clarified its approach to employer-initiated revocation applications under the *Labour Relations Code*. It declined to deny revocation based on the likelihood employees would be engaged in the bargaining unit in the future as an “other relevant factor” since the pre-conditions for revocation under the Code had been met.
- United Food and Commercial Workers Canada Union, Local No. 401 v Keywords Studios B.C., Inc., 2024 ALRB 95. The Board clarified that applications for assistance with first collective agreements under section 92.2 of the *Labour Relations Code* can be brought at any time during negotiations and may be dealt with before bad faith bargaining and unfair labour practice complaints to ensure expedient intervention early in new bargaining relationships.
- The Alberta Union of Provincial Employees v Alberta Health Services, 2025 ALRB 30. The Essential Services Commissioner confirmed the standard of the review of an umpire’s award under the essential services division of the *Labour Relations Code* is reasonableness. She also provided guidance on when applications should be made.

3.6 Provide timely, fair and efficient appeal services independent of the Workers’ Compensation Board through the Appeals Commission for Alberta Workers’ Compensation.

Appeals Commission for Alberta Workers’ Compensation

The Appeals Commission for Alberta Workers’ Compensation is an independent and impartial tribunal that hears worker and employer appeals arising from Workers’ Compensation Board (WCB) review bodies. The Appeals Commission is a quasi-judicial tribunal that is independent from the WCB. The Appeals Commission provides a fair, client-focussed appeal experience. The Appeals Commission also provides free advocacy services through the Advisor Office and independent medical review through the Medical Panels Program.

Appeals Commission			
	2022-23	2023-24	2024-25
Number of appeals received	592	678	782
Number of appeals concluded	487	469	526
Number of decisions successfully challenged	5	4	6
Average number of days from the date the appeal is filed to the first hearing date offered	151	189	205
Average number of days from the hearing to the decision issued date	29	29	24
Percentage of decisions not challenged, or if challenged, supported by the Appeals Commission’s reconsideration process, the Court of King’s Bench, the Court of Appeal, the Alberta Ombudsman	99.8%	99.1%	98.9%

Appeals Commission

As of March 31, 2025, the Appeals Commission had 47 adjudicators, which includes the chief appeals commissioner, 2 vice-chairs, 16 full-time hearing chairs and 28 part-time commissioners. Approximately 60 per cent of appeals were held in-person by a three-person adjudication panel (includes teleconference and videoconference hearings).

Timelines and numbers of appeals are affected by a variety of factors, including the economic environment, changes in legislation and policy, changes in commissioner experience and the rate of resolution at the Workers’ Compensation Board.

The Appeals Commission received 782 appeals in 2024-25, compared to 678 appeals in 2023-24. The amount of time to prepare and schedule an appeal was 205 days in 2024-25, compared to 189 days in 2023-24. The increase in this metric is due primarily to a shortage of Hearing Chairs, along with an increase in the number of new appeals and is actively being addressed. The average number of days from the hearing date to the decision issued date was 24 days in 2024-25, compared to 29 days in 2023-24. In 2024-25, 98.9 per cent of decisions (99.1 per cent in 2023-24) were not challenged, or if challenged, were supported by the Appeals Commission’s reconsideration process, the Court of King’s Bench, the Court of Appeal or the Alberta Ombudsman.

Advisor Office

The Advisor Office offers employers and injured workers free advice, information and advocacy services throughout the Workers’ Compensation Board (WCB) appeals process. The Advisor Office is an independent program of the Appeals Commission and is separate from the WCB.

In 2024-25, the Advisor Office received a total of 2,042 applications (1,453 in 2023-24) for service and closed 1,349 files (1,455 in 2023-24). This is an increase in applications of 41 per cent. As a result of this increase in demand, there is currently a waitlist for Advisor services. The Advisor Office is taking steps to address this by developing an enhanced triage system and prioritizing staff recruitment and retention.

Advisor Office			
	2022-23	2023-24	2024-25
Number of applications for service from workers	1,202	1,286	1,891
Number of applications for service from employers	150	167	151
Number of worker files closed	1,436	1,302	1,204
Number of employer files closed	125	153	145

Medical Panels for Alberta Workers' Compensation

The Medical Panels Program provides a medical panel convened by the Medical Panels Commissioner at the request of the Workers' Compensation Board (WCB) or the Appeals Commission. Medical Panels consist of three independent medical experts appointed by the Medical Panels Commissioner to address differences in medical opinion or other medical questions related to a workers' compensation claim. The Medical Panels Program is an independent program of the Appeals Commission and is separate from the WCB.

Medical Panels			
	2022-23	2023-24	2024-25
Number of Medical Panel files open between April 1 and March 31	15	17	3
Number of new Medical Panel requests received from the WCB or the Appeals Commission between April 1 and March 31	7	2	1
Number of Medical Panel files closed	10	15	2

In 2024-25, the Medical Panels Program received a total of one request for a medical panel (two in 2023-24) and closed two files (15 in 2023-24). When the Appeals Commission assumed responsibility for the Medical Panels program in 2021, there was a substantial backlog of files due to process inefficiencies. Through the leadership of the Medical Panels Commissioner and the dedicated efforts of program staff to streamline workflows, enhance coordination and implement process improvements, the program achieved a significant reduction in outstanding files over the past fiscal year.

Jobs, Economy and Trade: Performance Indicator 3.a: Occupational Health and Safety

	Prior Years' Results				2024-25 Actual
	2020-21	2021-22	2022-23	2023-24	
OHS Field Activities	35,306	26,392	21,950	24,565	26,992
	Prior Years' Results				2024 Actual
	2020	2021	2022	2023	
Lost-Time Claim Rate	1.77	1.88	2.00	1.47	1.35
Disabling Injury Rate	2.69	2.93	3.09	2.57	2.42

OHS Field Activities

Occupational Health and Safety (OHS) laws are in place to ensure workers return home safely at the end of their shift. Compliance starts with education and ensuring that all work site parties are able to follow the rules. It is everyone's responsibility to promote a safe and healthy work culture.

OHS field activities support safe and healthy workplaces. The OHS program undertakes a number of field activities based on proactive and reactive work as part of a balanced approach to regulatory enforcement and to help workplaces become more self-reliant.

In 2024-25, the department conducted 26,992 OHS field activities, compared to 24,565 in 2023-24, representing a 10 per cent increase. The increase was primarily due to a higher-than-usual field activities conducted in 2024-25 to support the province's proactive work. The 2024-25 result was roughly equal to the 2021-22 result, after dropping from the highest point in 2020-21 over the past five years.

OHS field activities include inspections, re-inspections, investigations, continuation of investigations, presentations, meetings and publications delivered. The number of continuation of investigations has significantly increased from 878 in 2022-23 to 1,311 in 2023-24 and then to 1,439 in 2024-25. These activities are follow-ups on incidents reported and they can vary greatly depending on individual circumstances.

The number of meetings fluctuated the most among these metrics in the last five years. It dropped sharply from over 2,400 per year before 2020-21 to 1,202 in 2021-22 then to just over 600 in 2022-23 and 2023-24. The number of meetings increased slightly to 746 in 2024-25.

OHS Field Activities Breakdown					
	2020-21	2021-22	2022-23	2023-24	2024-25
Inspections	14,502	11,798	9,571	9,801	10,947
Re-inspections	3,175	3,770	4,146	5,975	6,545
Investigations	1,138	856	888	859	1,031
Continuations of Investigations	899	736	878	1,311	1,439
Presentations	8	21	7	10	17
Meetings	2,489	1,202	637	629	746
Publications Delivered	13,095	8,009	5,823	5,980	6,267
Total OHS Field Activities	35,306	26,392	21,950	24,565	26,992

Lost-Time Claim Rate

The lost-time claim rate represents the number of lost-time claims per 100 person-years worked, focusing specifically on cases where workers have experienced injuries or diseases resulting in time loss from work. Fluctuations in these rates highlight the challenge of reducing and maintaining them at a low level.

The lost-time claim rate in 2024 was 1.35, down from 1.47 in 2023, representing an eight per cent decrease. This rate is the lowest in the last five years and the lowest level reached since 2016. COVID-19 remained to be one of the causes of workplace related injuries and diseases in 2024, accounting for three per cent of the total lost-time claims identified by Workers' Compensation Board – Alberta (WCB). Excluding COVID-19 claims, the lost-time claim rates were 1.43 for 2020, 1.50 for 2021, 1.49 for 2022, 1.38 for 2023 and 1.31 for 2024. Additionally, there were an undetermined number of lost-time injury claims that were related to COVID-19, but not necessarily directly a result of COVID-19 (e.g., lost-time claims for skin conditions caused by personal protective equipment).

Despite being the industry sector with the highest lost-time claim rate over the past five years, the provincial and municipal government, education and health services had the third lowest percentage growth in its workforce, increasing by 14 per cent in person-years worked between 2020 and 2024. Only the agriculture and forestry sector and the mining and petroleum sector had a lower growth rate. However, its lost-time claim rate showed a decrease of nearly 24 per cent, from 3.41 in 2020 to 2.61 in 2024. Manufacturing, processing and packaging had the largest drop in lost-time claim rate (54 per cent) in the last five years, followed by agriculture and forestry, which experienced a 42 per cent lost-time claim rate decrease in the same reporting period.

Many factors can influence the lost-time claim rate and the disabling injury rate. These may include, but are not limited to, the workers' compensation system processes such as the eligibility criteria and the claim adjudication process, the efforts made by employers to implement safety programs and to foster a culture of safety among their workers and the attitudes and behaviours of employers and workers, such as their awareness of risks and their willingness to report injuries. In addition, external forces arising from the economic cycle also have an impact on the injury rates.

Irrespective of external factors outside of the department's control, it has always been a priority to lower injury rates over time to ensure all Albertans can work in a safe and healthy environment. The department is striving to bring these rates down by working closely with all stakeholders, including employers, workers, industry associations and the WCB. The department has many programs that promote safe and healthy practices in the workplace and influence these results including raising awareness to promote health and safety through educational materials on how to work safely and stay healthy on the job and via the Certificate of Recognition program, which is

awarded to employers that establish standardized health and safety management systems. The department continues to update metrics to identify employers with a high rate of injury and disease and works with them to improve their workplace health and safety practices and management systems. Programming is continuously adjusted to address emerging concerns to prevent work-related injuries, illnesses and deaths.

Disabling Injury Rate

The disabling injury rate decreased to 2.42 in 2024 from 2.57 in 2023. The disabling injury rate in 2024 was the lowest it had been in the last ten years. Without COVID-19 claims, the disabling injury rates were 2.34 for 2020, 2.55 for 2021, 2.58 for 2022, 2.48 for 2023 and 2.37 for 2024. Manufacturing, processing and packaging had the largest drop in disabling injury rate (31 per cent) in the last five years, followed by agriculture and forestry, which experienced a 25 per cent disabling injury rate decrease in the same reporting period. Provincial and municipal government, education and health services experienced the third-largest decrease in disabling injury rates, which declined by 18 per cent over the past five years.

Supplemental Information

In 2024, 170 workers died as identified in WCB accepted fatality claims, an increase from 106 in 2023. Within these claims, 52 fatalities were the result of traumatic workplace incidents, which is higher than the 29 cases in 2023.

This fatality data reflects cases accepted by the Workers’ Compensation Board of Alberta for compensation purposes. It also reflects workers who died in Alberta, regardless of whether the work they performed is in provincially or federally regulated workplaces. Due to differences in jurisdictional coverage, it does not necessarily represent all fatal workplace incidents under the jurisdiction of Alberta Occupational Health and Safety, which are typically fewer.

**Jobs, Economy and Trade: Performance Measure 3.b:
Collective Bargaining cases with the assistance of a ministry-appointed mediator**

Prior Years’ Results				2024-25 Target	2024-25 Actual
2020-21	2021-22	2022-23	2023-24		
97%	96%	100%	100%	98%	90.4%

The majority of public sector collective bargaining agreements in the province expired in 2024. With modest increases in the last round of bargaining coupled with inflation, expectations are high with respect to wages. There were nine work stoppages by education support staff represented by the Canadian Union of Public Employees at various school divisions which commenced in January and settled in mid-March 2024. This ended the no work stoppage record in the province that was maintained since the first quarter of 2022.

Jobs, Economy and Trade: Performance Measure 3.c:
Alberta Labour Relations Board decisions rendered within 90 calendar days

Prior Years' Results				2024-25 Target	2024-25 Actual
2020-21	2021-22	2022-23	2023-24		
68%	67%	70%	66%	85%	78%

This performance measure reflects the Alberta Labour Relations Board's (Board) commitment to issue decisions in a timely fashion. In 2024-25, 78 per cent of decisions were rendered within 90 calendar days from the completion of the hearing.

While this result is below the stretch target of 85 per cent, it is a significant improvement over last year's result.

This measure is impacted by the complexity of matters that come before the Board as a result of amendments to legislation and an expansion of the Board's jurisdiction. For example, Employment Standards and Occupational Health and Safety appeals resulted in an additional 84 applications to the Board in 2024-25. Amendments to legislation lead to novel issues being raised for the Board's consideration and add complexity to the hearing process. This results in additional hearing and writing time for adjudicators. In 2024-25, the number of hearings conducted by the Board increased approximately 16 per cent from 679 to 791.

Another factor that impacts this measure is the introduction of case management conferences prior to a hearing, which was in response to the move to virtual hearings as a result of the COVID-19 pandemic. These conferences proved so successful in streamlining and increasing the efficiency of Board hearings that the practice has been extended to all hearings whether they are conducted virtually or not. However, while pre-hearing conferences result in a more efficient hearing, they require preparation and increase the number of hearings conducted by the Board's adjudicators which in turn impacts the time available to write decisions.

The Board attributes the improvement in the measure to being fully staffed with adjudicators, which allowed for more time to be allocated for writing decisions.

Outcome Four: Parents and guardians have access to high-quality, inclusive and affordable early learning and child care options

Significant investments make high-quality, inclusive child care accessible and affordable for families and promote a sustainable future for the early learning and child care sector. Child care allows parents to pursue opportunities and achieve financial independence and security, which benefits families, communities and the economy.

Key Objectives

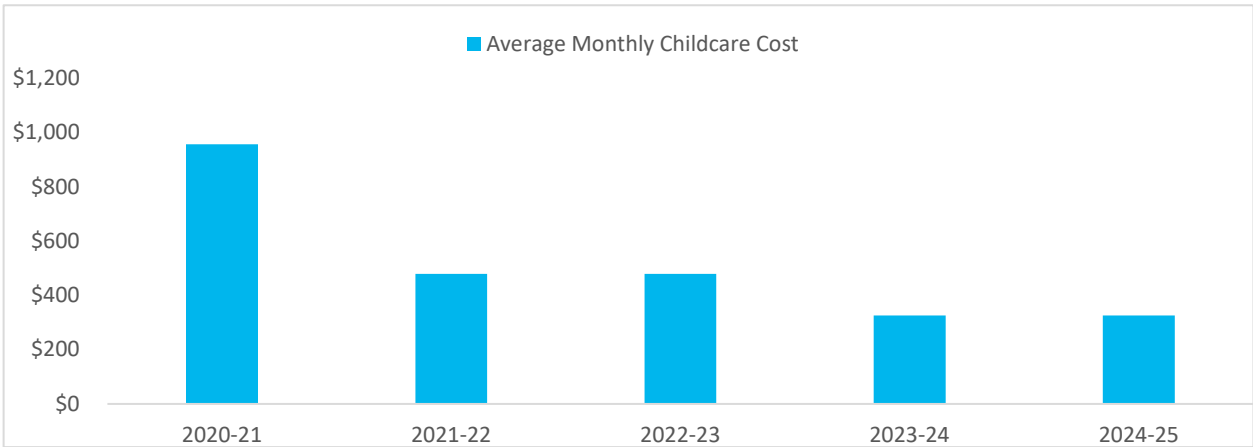
4.1 Increase access to child care through initiatives that support the creation of high-quality, accessible, affordable and inclusive licensed programs enabling parents to participate in and support Alberta’s economy.

The ministry provided \$1,558 million for Child Care, where \$797 million in affordability grants were provided to licensed childcare providers to reduce child care fees for children enrolled in child care spaces in daycare facilities, family day homes and preschools. \$194 million in child care subsidies helped offset the cost of care for the families of 67,500 children.

Affordability – Lower Child Care Fees

Alberta’s government is committed to providing affordable child care for families without compromising quality. Access to affordable child care is essential for families and the economy. Replacing parent fees with government funding keeps more money in the pockets of families and provides more flexibility for parents. The department is mandated to provide access to child care for children up to kindergarten age through investments under two agreements with the federal government: the \$3.8 billion Canada-Alberta Canada-Wide Early Learning and Child Care (CACWELCC) Agreement and the \$356 million Canada-Alberta Early Learning and Child Care Agreement.

Under these federal-provincial agreements, out-of-pocket parent fees for children up to kindergarten age will be reduced to \$10 per day by March 2026. In April 2024, the Government of Alberta and the Government of Canada agreed on Alberta’s 2023-2026 CACWELCC Action Plan. The three-year plan guides Alberta’s investments and initiatives to support Alberta’s efforts to increase access to affordable, high-quality and inclusive early learning and child care.



Since the signing of the CACWELCC Agreement in November 2021, child care fees for families with children up to kindergarten age in licensed spaces were reduced by an average of 50 per cent in January 2022, with further reductions to an average of \$15 per day in January 2024—saving families approximately \$750 per month or \$9,000 per year per child, regardless of income.

In 2024-25, \$797.2 million was provided to licensed child care providers through Affordability Grants to reduce child care fees for 129,000 children up to kindergarten age, enrolled in child care spaces in daycare facilities, family day homes and preschools. Additionally, in 2024-25, \$84.2 million in Cost Increase Replacement Funding was provided to programs receiving the Affordability Grant to help providers manage rising operational costs without passing them on to families.

The department also supported families with children up to kindergarten age by providing a child care subsidy for families with an annual household income of less than \$180,000, further reducing fees. In 2024-25, \$194 million in subsidies was provided. As of March 31, 2025, 67,500 children were receiving some level of subsidy, making child care more affordable for families.

Alberta's government recognizes the importance of out-of-school care programs. In 2024-25, \$56.8 million in subsidies were provided to school-aged children in households with an annual income of less than \$90,000. As of March 31, 2025, approximately 13,000 school-aged children received some level of subsidy.

Further, the subsidy rate for out-of-school care increased from \$366 to \$644 during July and August 2024 to help families offset the higher costs of full-time child care during the summer months.

The department continued to offer the Infant Care Incentive program to support affordability for families with infants. The program incentivizes licensed child care providers to offer child care spaces for infants up to 18 months of age by offering providers \$150 per month for infants receiving care. The program provided a total of \$15.42 million to licensed child care providers in 2024-25.

In July 2024, nearly 2,000 facility-based operators, family day home educators, family day home agencies and preschools completed the Early Learning and Child Care Cost Questionnaire which aimed to gather a better understanding the costs to deliver high-quality child care for children up to kindergarten age. The questionnaire informed the development of an early learning and child care funding approach and continued to support ongoing discussions with the federal government on Alberta's unique child care system.

In January 2025, Alberta's government announced that as of April 1, 2025, it would implement a new flat monthly parent fee of \$326.25 for full-time care; equivalent to \$15 per day. This, in addition to affordability grants and child care subsidies, reduced child care fees to make high-quality, inclusive and affordable child care more accessible.

Payments to Child Care Providers

The department continued to provide claim advance payments to child care providers, beginning in March 2024, enabling them to receive grant payments sooner. Child care programs receive approximately 80 per cent of their monthly claim at the beginning of each month to reduce financial pressures on providers.

Increasing Affordable Child Care Spaces

Under the CACWELCC Agreement, Alberta committed to creating up to 68,700 child care spaces for children up to kindergarten age, including at least 42,500 non-profit spaces and up to 26,200 private spaces. As part of the 2023-2026 CACWELCC Action Plan, the timeline to open child care spaces was extended by one year from March 2026 to March 2027 in recognition of the time it takes to create new child care spaces.

As of March 31, 2025, 142,700 licensed child care spaces were available across the province for children up to kindergarten age, including 58,800 non-profit spaces and 83,900 private spaces. In 2024-25, 14,300 net new licensed spaces were created, an increase of 11 per cent compared to 2023-24.

In 2024-25, the department continued to support the creation of licensed child care spaces through the Space Creation Grant Program, providing 108 grants totaling \$31.8 million to develop approximately 8,000 new spaces. Since the program launched in 2022, a total of 242 grant recipients have received \$68.1 million, resulting in approximately 16,900 planned spaces, with 10,600 already established.

Alberta's Space Creation Grant played a key role in supporting the development of new, affordable spaces. However, following the announcement of \$53 million in additional federal funding through the Early Learning and Child Care Infrastructure Fund in spring 2024, the department introduced a renewed approach focused on public and non-profit providers.

In 2024-25, the Space Creation Grant intake ended and the Building Blocks Capital Grant Program launched in January 2025. With a total investment of up to \$53 million, this program offers one-time capital funding to support the creation of full-time licensed early learning and child care spaces in non-profit and public facility-based programs. It features two funding streams—Major Capital and Minor Capital Grants—and prioritizes projects in high-need areas. The program's first intake received 72 applications, requesting nearly double the available funding, highlighting strong sector demand and interest.

Additionally, the Child Care Community Needs Assessment initiative was launched in January 2025 to better understand the unique child care demands of diverse and vulnerable communities. This collaboration with municipalities, First Nations and Metis Settlements aims to identify gaps in child care access and inform community-driven solutions for more inclusive care options.

Family Day Home Modernization

The Government of Alberta introduced new contracts for licensed family day home agencies on January 1, 2025, to offer a consistent and transparent funding model to agencies that oversee family day home programs in the province. In 2024-25, all 86 Family Day Home Agency Contracts were signed. As of March 31, 2025, there are approximately 18,700 spaces and 3,500 educators in home-based child care in Alberta. This is an increase of 1,400 spaces and increase of 260 educators compared to 2023-24.

Enhancements to family day home monitoring were also made to ensure adherence to contract requirements and alignment with provincial legislation and standards. Increased monitoring also helps to prevent fraud, promote accountability, ensure the integrity of financial information and improve operational efficiency.

Early Learning and Child Care Act Amendments

To maintain public trust in our child care system, Alberta’s government passed amendments to the *Early Learning and Child Care (ELCC) Act* in December 2024. These changes aim to increase oversight, provide greater transparency, shut down unsafe programs and administer penalties when providers fail to meet safety standards. The amendments also enabled the implementation of recommendations from the Food Safety and Licensed Facility-Based Child Care Review Panel. Most changes took effect on April 30, 2025, with a new administrative penalty framework for license holders and early childhood educators coming into force on September 30, 2025.

Child Care Licensing

To ensure the safety, well-being and developmental needs of children in care are being consistently met, the *Early Learning and Child Care (ELCC) Act* requires a facility-based licence to operate for facilities that provide care for seven or more children. In 2024-25, 236 new child care licenses were issued, including 230 for facility-based and six for family day home programs.

Child Care Licensing			
New licenses issued	2022-23	2023-24	2024-25
Facility-based providers	161	193	230
Family Day Homes	18	7	6
Total	179	200	236

Variance requests are also included under the *ELCC Act* and are used by license holders to request a variation on their license. Variances include, for example, the location of the program premises or the maximum number of children cared for. In 2024-25, 292 variance requests were approved, including 269 for facility-based programs and 23 for family day home programs.

All child care programs and family day home agencies and providers are expected to be in compliance to the *ELCC Act* and Regulation and Family Day Home Standards at all times. When this does not occur and a non-compliance is identified, child care programs and family day home agencies are provided an opportunity to remedy the issues. In 2024-25, the department conducted 9,000 inspections, including 700 complaint investigations. Of these inspections, two resulted in non-compliances being issued.

In 2024-25, a total of eight licences were cancelled (six were due to non-compliance issues, two were for inactivity/non-contact) by enforcement of legislation. Since February 1, 2021, when the amended *ELCC Act* came into force, a total of 14 licences have been cancelled by enforcement from licensing. Licence cancellation is a last resort with compliance being the goal to ensure the safety of children being provided care in licensed facilities.

The *Early Learning and Child Care Act* also permits unlicensed child care options to care for up to six children not including the caregiver’s own children. Unlicensed child care includes nannies, private family day homes and informal care arrangements with family members, neighbours or friends. The department is required to receive and investigate complaints when there is reason to believe an unlicensed child care provider is caring for more than six children excluding their own or an imminent threat exists to the health, safety or welfare of any child within their care. In 2024-25, 41 complaints were received for unlicensed providers and six stop orders were subsequently issued upon investigation.

Did You Know?

If a licensed facility-based child care program fails to comply with legislation, its license can be suspended and a probationary license issued. If the program does not comply during probation, the license will not be reinstated, resulting in the program’s closure.

Supporting Inclusion

Inclusion in child care means that children of all backgrounds and abilities can access supportive and high-quality care delivered by licensed child care providers and early childhood educators (ECEs). It allows parents to feel confident that their child is safe, valued and cared for in an environment that accommodates their needs. In 2024-25, Alberta continued to prioritize inclusion in child care through several key initiatives aimed at increasing access and fostering supportive environments for all children, regardless of background or ability.

The Inclusive Child Care Program is voluntary and uses evidence-based resources, on-site consultation and training to support educators' inclusive practices. Such practices enable licensed child care programs to have the capacity to care for children with extra support needs and to receive short-term, intensive resources and supports that include:

- access to on-site coaching and consultation, training and professional development;
- short-term funding to address the cost of extra staff so primary educators can increase knowledge and skill development to include children with extra support needs; and
- referrals to relevant community supports and assisting child care programs and families to navigate these services.

In 2024-25, five regional community partner agencies received \$8.5 million to provide inclusive child care coaching and capacity-building supports. In total, 472 licensed child care programs participated in the Inclusive Child Care Program in 2024-25, compared to 469 programs in 2023-24.

The Inclusive Spaces Program Grant was launched in late 2024, with a focus on enhancing accessibility and inclusivity in licensed child care programs so that all children can fully participate in early learning. This two-year, \$15 million initiative supports infrastructure upgrades and the procurement of inclusive resources, such as sensory-friendly spaces, adaptive equipment and culturally responsive materials for existing non-profit, private and family day home facilities. The first intake resulted in over \$5.1 million awarded to 105 providers. Two additional funding rounds are planned for 2025 to further support accessibility and equity in child care settings.

A continued partnership with PolicyWise for Children and Families was made possible through a \$3 million multi-year grant for the Culturally Responsive Child Care Project. The initiative aims to provide cultural resources for child care providers to better meet the needs of underserved populations, including racialized, Indigenous and Francophone Albertans. This included the launch of *Spark: A Guide to Culturally Responsive Early Learning and Child Care* in October 2024. Since its launch, there have been 6,391 visits to the website, 250 downloads of the guide and 1,095 visits to the online Resource Hub. Additionally, 139 participants have attended Introductory Leader Training, 129 have registered for online training and 15 Early Learning and Child Care programs have participated in the Spark Mentorship Pilot as of January 31, 2025.

The department also provided funding for families accessing Family Supports for Children with Disabilities (FSCD) Program, which is operated by Seniors, Community and Social Services. The FSCD program provides a range of child care services to support families with extraordinary disability-related child care costs while parents are at work, school or attending training. Additional staffing support can be funded for those children who, due to their disability, require additional supervision beyond a child care centre's normal staffing levels. Eligibility and services are reviewed annually, at a minimum, to determine if the types of services and support continue to be required. In 2024-25, the department funded \$10.6 million to provide additional staffing support for 604 clients. This is approximately 23 per cent more than the 493 clients supported with \$7.8 million in funding in 2023-24.

Additionally, the Child Care Community Needs Assessment initiative was launched in January 2025 to better understand the unique child care demands of diverse and vulnerable communities. This collaboration with municipalities, First Nations and Metis Settlements aims to identify gaps in child care access and inform community-driven solutions for more inclusive care options.

Initial response from child care providers has been strong, reflecting the sector's commitment to inclusion and community responsiveness. These initiatives contribute significantly to improving the accessibility and quality of child care for all families, particularly those in underserved areas.

Child Care Digital Transformation

The department prioritized an innovative transformation of digital services associated with child care regulation and delivery in 2024-25. The increased volume of both child care providers and parents utilizing child care in Alberta requires targeted enhancements and streamlining of intake, registration, payment and reporting processes.

In 2024-25, the department delivered training to child care providers on the use of the new Child Care Licensing Portal. All child care providers were trained and had access to new services within the Child Care Licensing Portal by July 31, 2024. The Family Day Home Agency Contract also moved to the Child Care Licensing Portal to improve efficiency and accountability for family day home agencies.

4.2 Enhance quality licensed child care through workforce investments that strengthen the recruitment and retention of skilled early childhood educators and support their capacity to deliver quality child care.

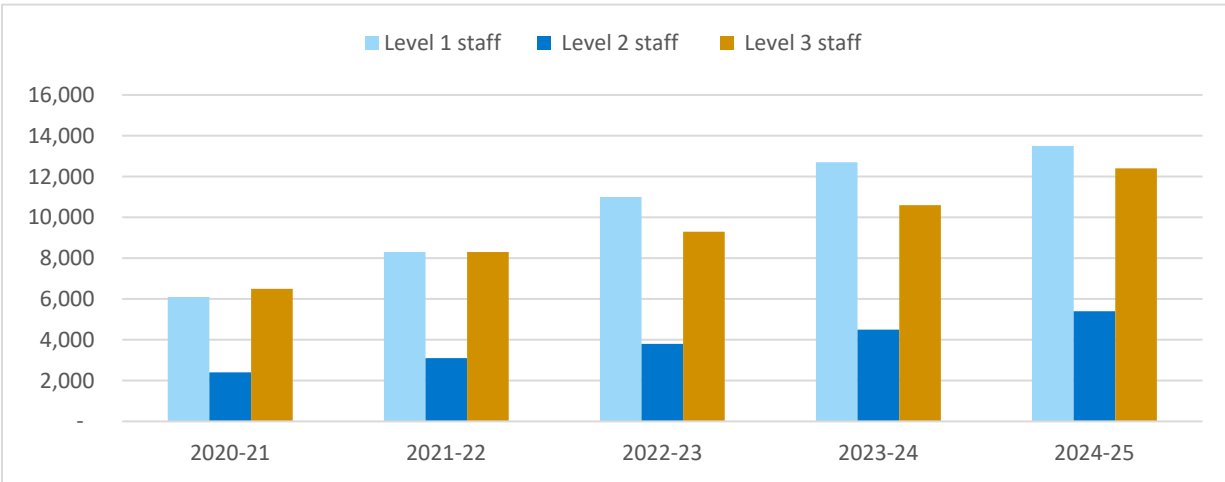
The department recognizes the critical role of Early Childhood Educators (ECEs) and is committed to supporting and strengthening the child care workforce. Educated and experienced ECEs are the foundation of high-quality child care. As tens of thousands more child care spaces open in Alberta over the coming years, ECEs will continue to play a crucial role in ensuring the safety and well-being of children in their care.

Certification

In Alberta, the *Early Learning and Child Care Act* and the Early Learning and Child Care Regulation require individuals who work in licensed child care programs to have provincial certification issued by the department. This applies to both facility-based programs (daycare, out-of-school-care and preschool) and home-based programs (family day home educators) operating under a licensed agency.

ECE Certification			
	2022-23	2023-24	2024-25
Level 1 ECEs	11,000	12,700	13,500
Level 2 ECEs	3,800	4,500	5,400
Level 3 ECEs	9,300	10,600	12,400
Total ECEs	24,100	27,900	31,300
*The numbers in this table show the total number of ECEs with certification as of the end of each fiscal year - not the number of new certifications granted that particular fiscal year.			

Since signing the CACWELCC Agreement in 2021, Alberta’s certified ECE workforce has experienced significant growth. As of March 31, 2025, 31,300 ECEs were certified in Alberta. Of these, 13,500 were certified as Level 1 (free 45-hour orientation course or equivalency), 5,400 were certified as Level 2 (one-year certificate or equivalency) and 12,400 were certified as Level 3 (two-year diploma/degree or equivalency).



The department removed barriers to entry into the child care sector and attaining Level 1 ECE certification by continuing to deliver the expanded Level 1 Child Care course, offered to eligible Alberta residents in both English and French. The course also provides specialized modules for Family Day Homes to ensure that relevant education is delivered to prospective home-based child care providers. Course attendees must be at least 16 years of age, a Canadian citizen, Permanent Resident Card holder or a Work or Study Visa holder legally residing in Alberta and without post-secondary educational studies in early learning and child care.

In 2024-25, 34,359 individuals registered for the Level 1 Early Childhood Education Orientation course, including 33,339 in the English course and 1,020 in the French course. This is a continuous enrollment, self-paced course, with 5,831 people (5,543 in English and 288 in French) completing their coursework in 2024-25.

The department continues to invest in strategic partnerships with community organizations and post-secondary institutions aimed at strengthening the ECE workforce, through grants to the Calgary Immigrant Women's Association (CIWA), Child Development Dayhomes Fort McMurray (CDDHFM) and the YMCA of Northern Alberta (YNAB).

CIWA, in partnership with Bow Valley College, provides virtual early learning and child care education tailored to the specific needs of immigrant and vulnerable women. The department allocated \$1.1 million in 2024-25, to increase ECE certification levels for 200 ECEs (120 in Level 2 and 80 in Level 3) across the province.

CDDHFM, in partnership with Bow Valley College, utilized \$293,033 in grant funding provided by the department in 2024-25 to enhance the certification levels of 29 Family Day Home (FDH) educators. This funding supported post-secondary training, with 17 educators completing certificate-level programs and 12 completing diploma programs.

With an investment of \$375,000 in 2024-25, the department is supporting the YNAB to offer a work-integrated learning pilot for ECEs at YMCA child care centers across Edmonton and the underserved regions of Grande Prairie, Wood Buffalo, Lethbridge and Medicine Hat. In collaboration with MacEwan University, the pilot is supporting 38 Level 1 ECEs to increase their certification to Level 2 in one year while they continue to work in child care.

Professional Development

Professional development opportunities support ECEs to achieve higher levels of certification and career advancement while also enhancing their effectiveness as providers of care and education. The Government of Alberta provides up to \$4,387.50 per ECE per fiscal year for professional development and release time to certified ECEs in the province. This funding assists with approved post-secondary tuition, textbooks, conferences and workshops for eligible ECEs. Release time funding allows certified ECEs to be paid while they pursue post-secondary education or attend approved professional development workshops or conferences. In 2024-25, 5,400 ECEs accessed funding for professional development, totaling \$19.7 million.

The department also continued the implementation of the evidence-based *Flight: Alberta's Early Learning and Care Curriculum Framework* training. Flight is a free online professional learning opportunity, available in English and French, for ECEs and program administrators in licensed and approved child care programs in Alberta. MacEwan University delivered Flight training to a total of 1,051 learners in 2024-25.

Pedagogical Partner Support is a department-sponsored initiative to facilitate the implementation of the Flight curriculum. Pedagogical Partners are ECE leaders that work alongside Flight participants to help them apply theoretical knowledge to their child care practice. 225 programs were supported and 1,129 ECEs participated in Pedagogical Partner Support in 2024-25. The program expanded to include all program staff, resulting in a significant increase in participation in partnerships. Additionally, 2,516 ECEs completed an introductory, intermediate or leadership learning series on the implementation of the Flight curriculum framework in 2024-25.

In 2024-25, the department supported various other targeted initiatives aimed at enhancing child care quality through professional development, training and resources for ECEs. Under these initiatives, approximately 1,136 ECEs accessed child and infant mental health and mental health first aid training and 445 ECEs accessed theory-to-practice and Brain Story Certification training. Additionally, 246 programs were supported to provide developmental screening training.

Wage Top-ups and Benefits

The long-standing wage top-up program supports the child care workforce by providing a wage enhancement for all eligible front-line certified ECEs in licensed child care programs. Wage top-ups are available for all paid time worked by ECEs providing child care or supervision of children during operational hours, up to a maximum of 181 hours per month.

The wage top-up program provides progressive compensation to ECEs in licensed child care programs based on their level of certification: \$2.64 per hour for Level 1, \$5.05 per hour for Level 2 and \$8.62 per hour for Level 3. These top-ups ensure a consistent base salary for all certified ECEs.

In 2024-25, approximately \$242.58 million, including \$108.5 million in CACWELCC funding and \$134.1 million in provincial funding, was provided to certified ECEs in wage top-ups.

The department also invested \$19.84 million, including \$16.27 million in CACWELCC funding and \$3.57 million in provincial funding, to licensed child care operators to offset the increased costs of mandatory employer contributions resulting from increased payroll expenditures associated with wage top-ups for ECEs.

Early Childhood Educator Awards

The Minister's Awards of Excellence in Child Development were reinstated in 2024 to recognize the important work done by certified ECEs and providers in licensed child care programs. ECEs and child care providers show resilience and dedication to creating safe, inclusive and high-quality child care that makes life better for children, families and communities. Nominating providers recognizes excellence in the child care field and celebrates the outstanding work that educators and providers deliver across Alberta.

A virtual award ceremony was held on October 16, 2024, where Minister Matt Jones presented nine awards across categories for Individuals, Teams and Programs. 55 submissions were reviewed by a selection committee, including 25 submissions for Individuals, 12 for Teams and 18 for Programs. Of these submissions, three individuals, three teams and three programs across the province were recognized for their outstanding contributions.

**Jobs, Economy and Trade: Performance Measure 4.a:
Percentage change in the number of licensed child care spaces**

Prior Years' Results				2024-25 Target	2024-25 Actual
2020-21	2021-22	2022-23	2023-24		
4%	6%	8%	9%	9%	10%

This measure indicates whether the province is meeting supply and demand pressures for child care and is directly related to population growth, policy changes and any government commitments to expanding child care programs.

In 2024-25, the number of licensed child care spaces increased by ten per cent, relative to the previous year, increasing one percentage point and exceeding the target of nine per cent. These results are in alignment with the targets set out in the CACWELCC agreement and action plan.

This increase is influenced by operators meeting increased demand for child care throughout the province as out-of-pocket costs to parents continue to decrease through implementation of the Canada Alberta Early Learning Child Care Agreement. Space creation efforts implemented by the provincial government have also contributed to this increase and the result may be further influenced by population trends (including growth and interprovincial migration), labour market participation and personal choice.

There are several factors that continue to impact space creation, such as construction delays, delays in applicants collecting approval and collateral and the availability of certified Early Childhood Educators (ECEs) to staff new or expanded facilities.

Performance Measure and Indicator Methodology

No single measure or indicator can fully represent an outcome in the ministry annual report. The suite of performance measures and indicators reported provide a better picture of overall progress toward achieving the ministry’s outcomes.

Performance measures provide information on the ministry’s progress toward achieving the outcomes and key strategies in the business plan. Results of performance measures can be attributed to the work of the ministry. Targets for the performance measures are intended to be aggressive but realistic. While the specific methodologies vary, all targets are set taking into consideration historical results and current environmental factors.

Performance indicators capture far-reaching outcomes that the ministry’s programs and initiatives intend to influence over the long-term. These indicators are also influenced by many factors outside the ministry’s control. Performance indicators reflect what the ministry intends to influence, as well as the larger societal context within which the ministry operates.

Jobs, Economy and Trade: Performance Measure 1.a:
Net investment in Alberta film and television productions for every \$1 of Alberta Film and Television Tax Credits (\$ dollars)

This measure demonstrates the efficacy of Alberta’s Film and Television Tax Credit program and Alberta’s ability to attract medium to large production firms. It measures corresponding investments by film and television productions for every dollar of tax credit issued in 2024-25, in alignment with government’s commitment to grow cultural industries.

Data for this performance measure is collected directly from applicants via the department’s client relations management database, which has security and privacy protocols in place. As part of the application and approval processes, successful applicants must provide audited financials to validate Alberta expenditures prior to tax credit issuance. Department staff review this information for accuracy and base the tax credit amount on its review findings and validation. The amount of expenditures from approved productions spent in Alberta in contrast to the tax credit issued are measured and reported.

$$\text{Net Investment} = \frac{\text{Total value of Alberta investment (expenditures) expected from productions with approved tax credits}}{\text{Total value of tax credits approved during the year}}$$

Jobs, Economy and Trade: Performance Indicator 1.b: Year-over-year change in Alberta's economic activity (per cent)

Treasury Board and Finance's (TBF's) Alberta Activity Index (AAX) is a weighted average of nine monthly indicators, each measuring an important aspect of macroeconomic activity:

- Employment
- Average weekly earnings
- Retail trade
- Wholesale trade
- Manufacturing shipments
- New truck sales
- Housing starts
- Rigs drilling
- Oil production

TBF collects the data and weights the variables. The department acquires the data from TBF and exports it to undertake a year-over-year percentage calculation. Historical results are recalculated each time the measure is presented to capture revisions to the underlying data.

$$\text{Percentage} = \frac{\text{AAX current year monthly average} - \text{AAX prior year monthly average}}{\text{AAX prior year monthly average}}$$

Results are presented as a year-over-year percentage change in the 12-month average of the AAX up to and including October (i.e., November to October). The AAX data table can be accessed at: <https://open.alberta.ca/dataset/alberta-activity-index-data-tables>.

Jobs, Economy and Trade: Performance Indicator 1.c: Value of Alberta's non-residential capital investment (\$ million).

Capital investment is a sign of a growing, healthy economy. As companies expand, they purchase property, build facilities and buy equipment. This contributes to Alberta's GDP and improves Alberta's long-term economic performance.

Statistics Canada's Capital and Repair Expenditures Survey: Actual, Preliminary Actual and Intentions (CAPEX) collects information from all industries once a year about their actual past years' capital investments, as well as their intended investments for the current year. On occasion, where economic changes justify the need, data on the revised intentions are also collected for the current year.

The survey is administered as part of the Integrated Business Statistics Program. The target population comprises all business and government entities operating in Canada according to the North American Industry Classification System 2012 during the reference year. Outlays for used Canadian assets are excluded since they constitute a transfer of assets within Canada and have no effect on the aggregates of our domestic inventory. Assets imported from outside Canada are included as they increase our domestic inventory.

The investment figure includes capital expenditures, which comprises construction and machinery and equipment. It excludes repair expenditures on both construction and machinery and equipment. Capital expenditures include the cost of procuring, constructing and installing new durable plant and machinery and equipment, whether for replacement of worn or obsolete assets, as additions to existing assets or for lease or rent to others and all other capitalized costs.

For more information on the methodology of the Capital and Repair Expenditures Survey, please see Guide to the Annual Capital Expenditures Survey: Actual, Preliminary Estimate and Intentions (CAPEX), Statistics Canada (2018):

<https://www23.statcan.gc.ca/imdb/p2SV.pl?Function=getSurvey&SDDS=2803>

Jobs, Economy and Trade: Performance Measure 2.a: Outcomes for Training for Work clients

The results for this measure are obtained through the Work Outcomes Reporting Project Survey. This project relies on administrative data from MOBIUS, a database managed internally by the Department of Seniors, Community and Social Services, to identify the survey population. An independent consultant is contracted to contact former program participants three months after they have left a Training for Work program delivered by the department. The Work Outcomes Reporting Project uses a census approach for the department's clients who have attended Training for Work programs, meaning all clients who took these programs will be contacted for inclusion in the survey, which is completed by phone or online. The same question wording is used for both the phone and the online questionnaires. Both phone and online responses are captured in the result calculation. The results for this measure are calculated based on the clients who have participated in the department's Training for Work programs and left their program between September 1, 2023 and August 31, 2024. The number of Training for Work participants who identified as employed, self-employed or in school/training is determined using the following question: "What is your current main activity? Are you Employed, Self-employed, In School/Training, Unemployed, Retired?" Responses that indicate that the participant is employed, self-employed or in school/training are used to determine the performance measure result.

Post-survey weighting (population and non-response) are employed to ensure the representativeness of the results. Non-responders are filtered out of the final dataset. The percentage is obtained by dividing the weighted sum of respondents employed, self-employed or in further education/training for all programs divided by the weighted sum of all respondents.

Calculation (weighted frequencies):

$$\text{Percentage} = \frac{\sum(\text{employed} + \text{self employed} + \text{in school/training})}{\sum(\text{all responses})} \times 100$$

*Note that the calculation does not include the "don't know" or "no response" categories.

Jobs, Economy and Trade: Performance Indicator 3.a: Occupational Health and Safety

Occupational Health and Safety field activities

The Occupational Health and Safety (OHS) program undertakes a number of field activities based on proactive and reactive work to take a balanced approach to regulatory enforcement and help workplaces become more self-reliant.

The Data and Statistics Hub (DASH) tracks all data related to OHS work processes. For this performance measure, a report is created from DASH that identifies all in-scope OHS field activities.

Types of OHS field activities:

- **Inspection:** An assessment of a work site and/or associated documentation for compliance with the *Occupational Health and Safety Act*, Regulation and Code.
- **Re-inspection:** A follow up assessment of a work site for compliance with the *Occupational Health and Safety Act*, Regulation and Code.
- **Investigation:** An investigation is conducted on any workplace incident that is defined as 'reportable' under the *Occupational Health and Safety Act* section 40(1) prior to December 1, 2021 and the *Occupational Health and Safety Act* Section 33(1) after December 1, 2021.
- **Continuation of Investigation:** This refers to an investigation that has commenced and is still underway.
- **Presentation:** An activity that is used when an officer completes a presentation to a work site party/parties.
- **Meeting:** An in-person, video or telephone conversation with a regulated party for the purpose of education regarding the *Occupational Health and Safety Act*, Regulation and Code or as an escalation from previous compliance activities.

Publications Delivered: An activity that is used when the officer provides Government of Alberta authored documents to the work site party while on site.

Lost-time claim rate and disabling injury rate

The lost-time claim and disabling injury rates represent the probability, or risk, of injury or disease to a worker during a period of one year's work. The disabling injury rate is similar to the lost-time claim rate, although it covers a broader range of injuries, including those that are less severe in nature (do not require time away from work). The measures indicate the number of lost-time claims or disabling injuries per 100 person-years worked to indicate increases or decreases in this risk. One person-year is equivalent to one full-time worker working for one year or 2,000 hours worked.

The Workers' Compensation Board (WCB) records a lost-time claim or disabling injury claim when a worker, their physician or employer submits an injury report form. A claim is considered a lost-time claim when the worker is on compensation for one or more days subsequent to the day of injury. A claim is considered a disabling injury claim when the worker is on compensation for one or more days subsequent to the day of injury or performs modified work duties. The WCB collects this information, calculates the estimated person-years worked and provides the data files to the department for analysis. The lost-time claim and disabling injury rates are reported by calendar year and are calculated by dividing the number of lost-time claims or disabling injury claims by the number of estimated person-years worked. The lost-time claim and disabling injury rates represent the probability, or risk, of injury or disease to a worker during a period of one year's work. The disabling injury rate is similar to the lost-time claim rate, although it covers a broader range of

injuries, including those that are less severe in nature (do not require time away from work). The measures indicate the number of lost-time claims or disabling injuries per 100 person-years worked to indicate increases or decreases in this risk. One person-year is equivalent to one full-time worker working for one year or 2,000 hours worked.

$$\text{Lost-time Claim Rate} = \frac{\text{Number of lost-time claims}}{\text{Estimated person-years}} \times 100$$

$$\text{Disabling Injury Rate} = \frac{\text{Number of disabling injuries}}{\text{Estimated person-years}} \times 100$$

Each year, new data are sent to the department that include the most recent injury data for the last five years. The previous four years of results are re-calculated with the updated data provided by the WCB. Re-calculating historical results provides the reader with the most accurate and up-to-date injury information. There is no change in how the results are calculated.

Jobs, Economy and Trade: Performance Measure 3.b:
Collective Bargaining cases with the assistance of a ministry-appointed mediator

The measure provides an indication of the effectiveness of mediation in assisting parties to reach a collective bargaining agreement without a work stoppage taking place.

The data used to determine the “percentage of collective bargaining agreements reached with the assistance of a ministry-appointed mediator that were settled without a work stoppage” (rate) is internally produced and validated. The data is housed in the Mediation Services Labour Relations Resolution Information database. Mediation Services runs a report called “MS Percentage of Alberta Mediation Appointments Resolved Without Work Stoppage”, which provides historical and current fiscal year to date information on the rate.

$$\text{Percentage} = \frac{\text{Number of mediations settled without a work stoppage}}{\text{Total number of mediations settled}} \times 100$$

Jobs, Economy and Trade: Performance Measure 3.c:
Alberta Labour Relations Board decisions rendered within 90 calendar days

This performance measure reflects the Alberta Labour Relations Board’s commitment to issue decisions in a timely fashion.

The Alberta Labour Relations Board Customer Relationship Management (CRM) system tracks all data related to hearings and decision timelines. For this performance measure, a report is created from the CRM system that identifies those decisions that have met the reporting period requirements and the duration of the time from the commitment date (usually the date of the last completed hearing day related to the matter(s) applicable to the decision) to the date that the decision was rendered (written decision was issued). Sometimes the commitment date may differ from the hearing date if further submissions are accepted by the presiding Chair or Vice Chair at a later time.

Using the report, the percentage of decisions completed within 90 days or less is calculated. Hearings are generally included in the calculation for the year in which the decision was rendered (the written decision is issued). However, in the event that a decision is reserved (hearing is completed) in one fiscal year but rendered (the written decision is issued) in a subsequent fiscal year, the case will be included in either the fiscal year in which the 90-day threshold occurs, or the fiscal year in which the decision is rendered, whichever date occurs first.

The Board's new CRM went live in November 2019 following rigorous testing and development of new procedures. Employment Standards appeals were integrated into the CRM system in September 2020. Occupational Health and Safety appeals were integrated into the CRM system in March 2022.

$$\text{Percentage Rate} = \frac{\text{Decisions rendered within 90 days or less}}{\text{Total number of decisions rendered}} \times 100$$

Jobs, Economy and Trade: Performance Measure 4.a:
Percentage change in the number of licensed child care spaces

This performance measure describes the percentage change in the number of licensed child care spaces over time. Licensed child care spaces are the maximum number of children a child care program can accommodate at one time. Child care programs include: daycare programs, preschool programs, group family programs, innovative programs, out-of-school care programs and approved family day homes (through family day home agencies).

This measure indicates whether the province is meeting supply and demand pressures for child care and is directly related to population growth, policy changes and any government commitments to expanding child care programs.

The number of spaces within a child care program is the total net floor area divided by the number of required square meters per child. Daycare programs require three square meters for each child, while out-of-school and pre-school programs require 2.5 square meters per child.

The percentage increase in licensed child care spaces is calculated by using the difference in the available spaces between March of the previous year and March in the current year. March data is used in these calculations as it represents the end of the fiscal year. This number is then divided by the number of spaces in March of the previous year and expressed in percentage as indicated by the following formula:

$$\text{Percentage} = \frac{\text{Spaces in March of the current year} - \text{Spaces in March of previous year}}{\text{Spaces in March of previous year}} \times 100$$



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Year Ended March 31, 2025

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[Original signed by]

Chris McPherson

Deputy Minister

[Original signed by]

Andre Rivest

Assistant Deputy Minister, Financial Services and SFO

Reporting Entity and Method of Consolidation

The financial information is prepared in accordance with government's stated accounting policies, which are based on Canadian Public Sector Accounting Standards.

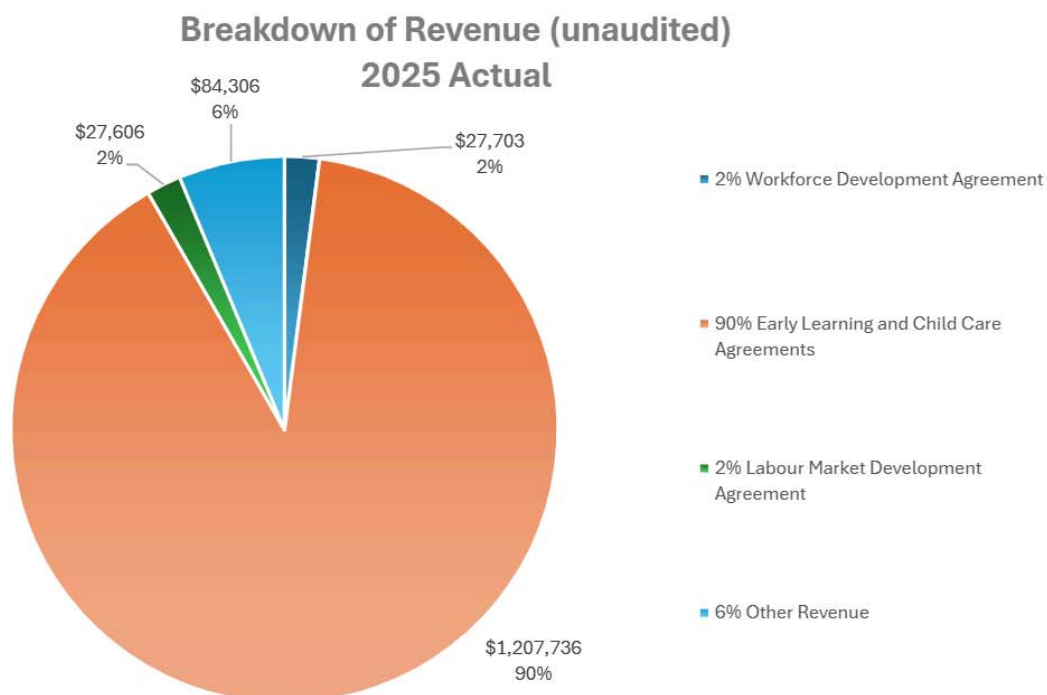
The reporting entity is the ministry for which the Minister is accountable. The accounts of the ministry are fully consolidated, which includes the department and the entities making up the ministry, on a line-by-line method. Under this method, accounting policies of the consolidated entities conform to government accounting policies and the results of each line item in their financial statements (revenue, expense, assets, and liabilities) are included in government's results.

Ministry Financial Highlights
Statement of Revenues and Expenses (unaudited)
Year Ended March 31, 2025

	2025		2024	Change from	
	Restated Budget	Actual	Actual	Budget	2024 Actual
	(in thousands)				
Revenues					
Government Transfers					
Workforce Development Agreement	\$ 32,768	\$ 27,703	\$ 32,768	\$ (5,065)	\$ (5,065)
Labour Market Development Agreement	36,984	27,606	36,984	(9,378)	(9,378)
Early Learning and Child Care Agreements	1,139,233	1,207,561	880,762	68,328	326,799
Services to First Nations Reserves	100	175	270	75	(95)
Premiums, Fees and Licences	55	504	252	449	252
Other Revenue	75,549	83,802	132,007	8,253	(48,205)
Ministry Total	1,284,689	1,347,351	1,083,043	62,662	264,308
Inter-ministry consolidation adjustments	-	(5)	-	-	(5)
Adjusted ministry total	1,284,689	1,347,346	1,083,043	62,662	264,303
Expenses - Directly Incurred					
Programs					
Ministry Support Services	6,210	6,412	4,881	202	1,531
Workforce Strategies	129,573	94,487	112,947	(35,086)	(18,460)
Safe, Fair and Healthy Workplaces	68,197	67,740	59,151	(457)	8,589
Economic Development and Trade	160,692	118,763	156,904	(41,929)	(38,141)
Child Care	1,481,234	1,558,458	1,218,758	77,224	339,700
Labour Relations Board	5,344	4,847	3,926	(497)	921
Appeals Commission for Alberta Workers' Compensation	19,378	18,383	17,038	(995)	1,345
	1,870,628	1,869,090	1,573,605	(1,538)	295,485
Inter-ministry consolidation adjustments	(9,030)	(8,706)	(16,139)	324	7,433
Adjusted ministry total	1,861,598	1,860,384	1,557,466	(1,214)	302,918
Annual surplus / (deficit)	\$ (576,909)	\$ (513,038)	\$ (474,423)	\$ 63,876	\$ (38,615)

Breakdown of Revenues (unaudited)

	2025		2024
	Restated Budget	Actual	Actual
	<i>(in thousands)</i>		
Revenues			
Government transfers			
Workforce Development Agreement	\$ 32,768	\$ 27,703	\$ 32,768
Labour Market Development Agreement	36,984	27,606	36,984
Early Learning and Child Care Agreements	1,139,233	1,207,561	880,762
Services to First Nations Reserves	100	175	270
	<u>1,209,085</u>	<u>1,263,045</u>	<u>950,784</u>
Premiums, fees, and licenses	55	504	252
Other Revenue			
Workers' Compensation Board	74,901	71,350	62,118
Other Miscellaneous Revenue	648	16	-
Refund Expenditures - Prior Year	-	12,436	69,888
	<u>75,549</u>	<u>83,802</u>	<u>132,007</u>
Total Revenues	<u>\$ 1,284,689</u>	<u>\$ 1,347,351</u>	<u>\$ 1,083,043</u>



Workforce Development Agreement - The objectives of this agreement are to increase participation of Albertans in the labour force and help them develop the skills necessary to find and keep employment. In addition, this agreement intends to improve employment outcomes for persons with disabilities by enhancing their employability and increasing their employment opportunities. The ministry's revenue allocation for 2024-25 was \$28 million.

Labour Market Development Agreement - The objectives of this agreement are to help current and former Employment Insurance claimants gain skills and work experience, and to provide unemployed Albertans with employment assistance services. The ministry's revenue allocation for 2024-25 was \$28 million.

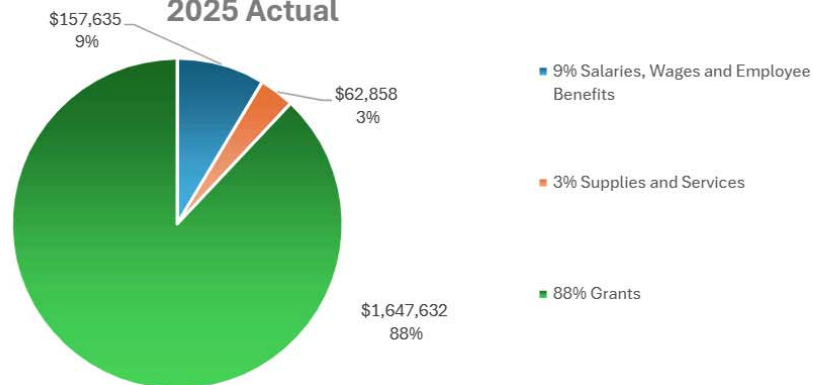
Early Learning and Child Care Agreements - The objectives of these agreements are to support the expansion of affordable, accessible and high-quality child care for Albertans. The ministry's revenue allocation for 2024-25 was \$1,208 million.

Other Revenue - This consists of revenue received from the Workers' Compensation Board to offset the costs related to the Occupational Health and Safety program and the Appeals Commission for Alberta Workers' Compensation, where the ministry's revenue allocation in 2024-25 was \$71 million. In addition, this includes prior year expenditure refunds which totaled \$12 million in 2024-25.

Expenses - Directly Incurred Detailed by Object (unaudited)

	2025		2024
	Budget	Actual	Actual
	<i>(in thousands)</i>		
Salaries, Wages and Employee Benefits	\$ 156,508	\$ 157,635	\$ 139,558
Supplies and Services	105,656	62,858	60,036
Grants	1,596,268	1,644,087	1,369,608
Capital Grants	10,000	3,545	-
Amortization of Tangible Capital Assets	2,126	548	779
Other	70	417	3,624
Total Expenses	<u>\$ 1,870,628</u>	<u>\$ 1,869,090</u>	<u>\$ 1,573,605</u>

Expenses - Directly Incurred Detailed by Object (unaudited) 2025 Actual



Salaries, Wages and Employee Benefits

Salaries, wages and employee benefits accounted for 9% of the ministry's total expenditures. This represents the cost of the ministry's workforce located across the province delivering services and supports to Albertans.

Supplies and Services

Supplies and Services accounted for 3% of the ministry's total expenditures. The majority of these expenditures relate to contract service delivery of employment and training and child care programs and services.

Grants

Grants accounted for 88% of the ministry's total expenditures. The majority of the grant expenditures are related to Child Care, the Film and Television Tax Credit, the Canada-Alberta Job Grant and other economic development initiatives.

Tangible Capital Assets (unaudited)

	Land	Land Improvements	Buildings	Equipment	Computer Hardware and Software	Other	2025 Total	2024 Total
	Indefinite	10-40 years	10-50 years	3-40 years	3-10 years	3-50 years		
Estimated useful life				In thousands				
Historical cost ⁽²⁾								
Beginning of year	\$ -	\$ -	\$ -	\$ 1,410	\$ 46,244	\$ -	\$ 47,654	\$ 33,335
Additions	-	-	-	82	21,942	-	22,024	14,319
Transfers and adjustments ⁽³⁾	-	-	-	(371)	-	-	(371)	-
Disposals, including write-downs	-	-	-	-	-	-	-	-
	-	-	-	1,121	68,186	-	69,307	47,655
Accumulated Amortization								
Beginning of year	-	-	-	920	20,001	-	20,921	20,143
Amortization expense	-	-	-	71	477	-	548	779
Transfers and adjustments ⁽³⁾	-	-	-	6	-	-	6	-
Effect of disposals, including write-downs	-	-	-	-	-	-	-	-
	-	-	-	997	20,478	-	21,475	20,922
Net book value at March 31, 2025	-	-	-	124	47,708	-	47,832	
Net book value at March 31, 2024	\$ -	\$ -	\$ -	490	\$ 26,243	\$ -	\$ -	\$ 26,733

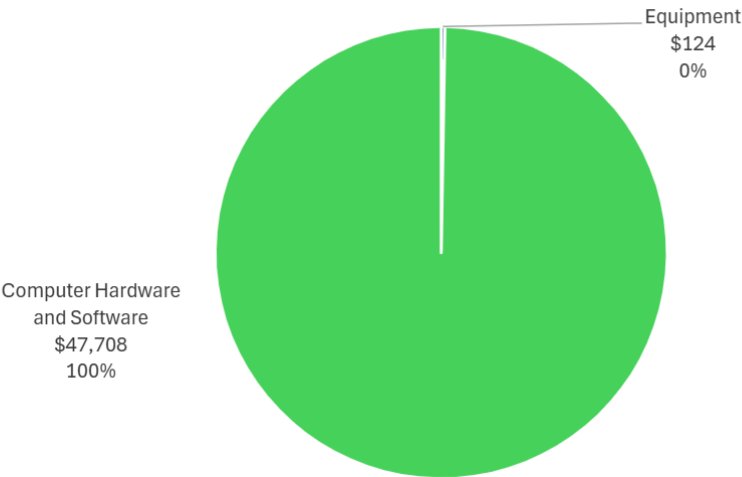
(1) Equipment includes vehicles, heavy equipment, office equipment and furniture, and other equipment

(2) Historical cost includes work-in-progress and asset retirement costs for tangible capital assets still in productive use

(3) Transfers and adjustments include assets transfers to/from other departments

Tangible Capital Assets (unaudited) - continued

Net Book Value as of March 31, 2025 (unaudited)
2025 Actual



Total net book value of tangible capital assets is \$47.7 million. Computer Hardware and Software make up the largest component of tangible capital assets and represents \$47.7 million of the total tangible capital assets Net Book Value (NBV). This primarily represents investments in information technology systems and enhancements. The remainder is comprised of \$124 thousand in equipment.

Department of Jobs, Economy and Trade
Year Ended March 31, 2025
In thousands

EXPENSE VOTE BY PROGRAM

Operating Expense

1 Ministry Support Services

- 1.1 Minister's Office
1.2 Deputy Minister's Office
1.3 Strategic Corporate Services

2 Workforce Strategies

- 2.1 Workforce Development Partnerships
2.2 Labour Force Policy and Engagement
2.3 Skills and Training Support
2.4 Coal Workforce Transition Program

3 Safe, Fair and Healthy Workplaces

- 3.1 Labour Relations
3.2 Occupational Health and Safety
3.3 Employment Standards

4 Economic Development and Trade

- 4.1 Regional Economic Partnerships and Opportunity
4.2 Economic Analytics and Industry Growth
4.3 International Trade and Investment

5 Child Care

- 5.1 Child Care Affordability and Access
5.2 Child Care Quality and Worker Supports

6 Alberta Labour Relations Board

7 Appeals Commission for Alberta Workers' Compensation

Capital Grants

2 Workforce Strategies

- 2.3 Skills and Training Support

5 Child Care

- 5.1 Child Care Affordability and Access

	Voted Estimate ⁽¹⁾	Supplementary Supply ⁽²⁾	Adjustments ⁽³⁾	Adjusted Voted Estimate	Voted Actuals ⁽⁴⁾	Over Expended (Unexpended)
\$	800	\$ -	\$ -	\$ 800	\$ 745	\$ (55)
	797	-	-	797	892	95
	4,613	-	-	4,613	4,556	(57)
	6,210	-	-	6,210	6,193	(17)
	8,891	-	-	8,891	8,064	(827)
	9,726	-	(1,981)	7,745	9,148	1,403
	101,426	(14,943)	-	86,483	73,880	(12,603)
	9,362	-	-	9,362	2,864	(6,498)
	129,405	(14,943)	(1,981)	112,481	93,956	(18,525)
	1,782	-	-	1,782	1,970	188
	52,288	-	-	52,288	52,273	(15)
	13,660	-	-	13,660	12,799	(861)
	67,730	-	-	67,730	67,042	(688)
	16,934	-	-	16,934	24,765	7,831
	11,016	-	-	11,016	20,344	9,328
	27,416	(648)	-	26,768	17,452	(9,316)
	55,366	(648)	-	54,718	62,561	7,843
	1,165,953	107,222	(3,019)	1,270,156	1,260,001	(10,155)
	304,281	-	-	304,281	295,396	(8,885)
	1,470,234	107,222	(3,019)	1,574,437	1,555,397	(19,040)
	5,344	-	-	5,344	4,823	(521)
	19,213	-	-	19,213	18,178	(1,035)
\$	-	\$ -	\$ -	\$ -	\$ 660	\$ 660
	10,000	-	-	10,000	2,885	(7,115)

Department of Jobs, Economy and Trade
Year Ended March 31, 2025
In thousands

	Voted Estimate ⁽¹⁾	Supplementary Supply ⁽²⁾	Adjustments ⁽³⁾	Adjusted Voted Estimate	Voted Actuals ⁽⁴⁾	Over Expended (Unexpended)
EXPENSE VOTE BY PROGRAM						
Subtotal	10,000	-	-	10,000	3,545	(6,455)
Total	\$ 1,763,502	\$ 91,631	\$ (5,000)	\$ 1,850,133	\$ 1,811,695	\$ (38,438)
(Lapse)/Encumbrance						\$ (38,438)
CAPITAL INVESTMENT VOTE BY PROGRAM						
2 Workforce Strategies						
2.2 Labour Force and Engagement	\$ -	\$ -	\$ 2,133	\$ 2,133	\$ 2,100	\$ (33)
2.3 Skills and Training Support	-	-	200	200	140	(60)
3 Safe, Fair and Healthy Workplaces						
3.2 Occupational Health and Safety	900	-	-	900	516	(384)
4 Economic Development and Trade						
4.2 Economic Analytics and Industry Growth	1,250	-	107	1,357	1,342	(15)
5 Child Care						
5.1 Child Care Affordability and Access	10,000	3,887	4,171	18,058	17,926	(132)
7 Appeals Commission for Alberta Workers' Compensation						
Total	2,500	-	-	2,500	-	(2,500)
(Lapse)/Encumbrance	\$ 14,650	\$ 3,887	\$ 6,611	\$ 25,148	\$ 22,024	\$ (3,124)
						\$ (3,124)

(1) As per "Expense Vote by Program" and "Capital Investment Vote by Program" pages 148-149 of the 2024-25 Government Estimates.

(2) Per the Supplementary Supply Estimates approved on March 27, 2025

(3) Adjustments include encumbrances, capital carry over amounts, transfers between votes, credit or recovery increases approved by Treasury Board and credit or recovery shortfalls. An encumbrance is incurred when, on a vote-by-vote basis, the total of actual disbursements in the prior year exceed the total adjusted estimate. All calculated encumbrances from the prior year are reflected as an adjustment to reduce the corresponding voted estimate in the current year.

Pursuant to section 28.1 of the Financial Administration Act, Treasury Board approved a carry over of \$1,611,000 in Jobs, Economy and Trade Capital Investment Vote from 2023-24 to 2024-25.

Pursuant to section 6(1) of the Appropriation Act, 2024, Treasury Board approved transfers from Operating Expense to Capital Investment in 2024-25 totalling \$5,000,000.

(4) Actuals exclude non-voted amounts such as amortization and valuation adjustments.

Workers' Compensation Board – Alberta

Financial Statements and Notes

For the Year Ended December 31, 2024



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Responsibility for Financial Reporting

The financial statements of the Workers' Compensation Board – Alberta were prepared by management, which is responsible for the integrity and fairness of the data presented, including significant accounting judgements and estimates. This responsibility includes selecting appropriate accounting principles consistent with IFRS Accounting Standards.

In discharging its responsibility for the integrity and fairness of the financial statements, management maintains the necessary internal controls designed to provide reasonable assurance that relevant and reliable financial information is produced and that assets are properly safeguarded. The effectiveness of controls over financial reporting was assessed and found to provide reasonable assurance that internal controls at December 31, 2024 operated effectively with no material weaknesses in the design or operation of the controls.

The Board of Directors is responsible for overseeing management in the performance of financial reporting responsibilities and has approved the financial statements included in the annual report.

The Board of Directors is assisted in its responsibilities by its Audit Committee. This committee reviews and recommends approval of the financial statements and meets periodically with management, internal and external auditors, and actuaries concerning internal controls and all other matters relating to financial reporting.

Eckler Ltd. has been appointed as the independent consulting actuary to the WCB. Their role is to complete an independent actuarial valuation of the insurance liabilities included in the financial statements of the WCB and to report thereon in accordance with accepted actuarial practice.

The Office of the Auditor General, the independent auditor of the WCB, has performed an independent audit of the financial statements of the WCB in accordance with Canadian generally accepted auditing standards. The Independent Auditor's Report outlines the scope of this independent audit and the opinion expressed.

Dr. Ray Block
Chair, Board of Directors
Workers' Compensation Board – Alberta

Trevor Alexander
President and Chief Executive Officer
Workers' Compensation Board – Alberta

Ron J. Helmhold, FCPA, FCA
Chief Financial Officer
Workers' Compensation Board – Alberta



Independent Auditor's Report

To the Board of Directors of the Workers' Compensation Board — Alberta

Report on the Financial Statements

Opinion

I have audited the financial statements of the Workers' Compensation Board — Alberta (the Board), which comprise the statement of financial position as at December 31, 2024, and the statements of financial performance and comprehensive income, changes in fund balance, and cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In my opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Board as at December 31, 2024, and its financial performance, and its cash flows for the year then ended in accordance with IFRS Accounting Standards.

Basis for opinion

I conducted my audit in accordance with Canadian generally accepted auditing standards. My responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of my report. I am independent of the Board in accordance with the ethical requirements that are relevant to my audit of the financial statements in Canada, and I have fulfilled my other ethical responsibilities in accordance with these requirements. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Other information

Management is responsible for the other information. The other information comprises the information included in the *Workers' Compensation Board — Alberta 2024 Annual Report*, but does not include the financial statements and my auditor's report thereon.

My opinion on the financial statements does not cover the other information and I do not express any form of assurance conclusion thereon.

In connection with my audit of the financial statements, my responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed on this other information, I conclude that there is a material misstatement of this other information, I am required to report that fact. I have nothing to report in this regard.

Classification: Public

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Board's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless an intention exists to liquidate or to cease operations, or there is no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Board's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error; design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Board's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Board's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Board to cease to continue as a going concern.

Classification: Public

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

[Original signed by W. Doug Wylie FCPA, FCMA, ICD.D]
Auditor General

April 29, 2025
Edmonton, Alberta

Classification: Public



ECKLER

Actuarial statement of opinion

on the valuation of the insurance liabilities as at December 31, 2024 of the Workers' Compensation Board – Alberta for its financial statements prepared in accordance with IFRS Accounting Standards

I have valued the insurance liabilities of the Workers' Compensation Board – Alberta for its financial statements prepared in accordance with IFRS Accounting Standards for the year ending December 31, 2024.

In my opinion, the insurance liabilities of \$14,608.2 million make appropriate provision for the liabilities for incurred claims and the liabilities for remaining coverage. The liabilities for incurred claims provide for future payments for short-term disability, re-employment services, long-term disability, survivor and health care benefits with respect to claims which occurred on or before the valuation date, and for all occupational disease claims expected to arise after the valuation date as a result of exposures incurred in the workplace on or before the valuation date in respect of occupational diseases with a long latency period that are recognized by the WCB, as well as for future claims management costs, but do not include a provision for benefits and payments that are on a self-insured basis.

The data on which the valuation is based were provided by the WCB; I applied such checks of reasonableness of the data that I considered appropriate, and have concluded that the data are sufficiently reliable to permit a realistic valuation of the liabilities and that the data are consistent with WCB's financial statements. In my opinion, the data on which the valuation is based are sufficient and reliable for the purpose of the valuation.

The nominal discount rate assumption for computing the liabilities is consistent with the market data available as at December 31, 2024, reflecting the liquid risk-free rate of return and the liquidity characteristics associated with WCB benefits. The inflation assumption is aligned with the inflation rates implied by the market interest rates used for discounting the cash flows.

Other assumptions and methods employed in the valuation were consistent with those used in the previous valuation, after taking account of changes in claim patterns. Projections of future claim payments and awards have been made using factors developed from the WCB's claims experience, mortality, and other assumptions. The increase of \$1,034.1 million in the insurance liabilities, from \$13,574.1 million at the end of 2023 to \$14,608.2 million as at December 31, 2024, considers an increase of \$172.2 million resulting from updates of the nominal discount rate and inflation assumptions. Other changes made to the valuation assumptions reduced the liabilities for incurred claims by \$128.8 million: reductions of \$389.0 million for mortality assumptions, \$65.6 million for home maintenance and housekeeping allowances, and \$54.1 million for expected wage growth, partly compensated by an increase of \$379.9 million for short-term wage loss and re-employment services assumptions. In my opinion, the methods and the assumptions employed in the valuation are appropriate for the purpose of the valuation.

Details of the data, actuarial assumptions, valuation methods and results are set out in my actuarial report as at the valuation date, of which this statement of opinion forms part.

The valuation is based on the provisions of the *Workers' Compensation Act* of Alberta and on the WCB's policies and administrative practices in effect at the time of the valuation.

In my opinion, the amount of the insurance liabilities for IFRS Accounting Standards financial statements makes appropriate provision for all personal injury compensation obligations given WCB's accounting, and the financial statements fairly represent the results of the valuation. This report has been prepared, and my opinions given, in accordance with accepted actuarial practice in Canada.

Richard Larouche, FSA, FCIA

Actuary, Eckler Ltd.

April 28, 2025

Workers' Compensation Board – Alberta

Statement of Financial Position

As at December 31

(\$ thousands)	Notes	2024	2023
ASSETS			
Cash and cash equivalents	19(a)	\$ 265,807	\$ 373,378
Receivables and other assets		48,795	32,591
Investments	5	13,886,795	12,492,023
Property, plant and equipment	8	72,190	69,627
Intangible assets	9	25,801	36,125
Pension plan assets	11	-	34,650
		\$ 14,299,388	\$ 13,038,394
LIABILITIES			
Trade and other liabilities	10,19(b)	\$ 91,788	\$ 62,635
Safety rebates	19(c)	104,236	85,996
Employee benefits	11	51,588	45,563
Insurance liabilities	12	14,608,233	13,574,058
		\$ 14,855,845	\$ 13,768,252
FUND BALANCE		(556,457)	(729,858)
		\$ 14,299,388	\$ 13,038,394

Contingencies and Indemnification

18

Approved by the Board of Directors on April 29, 2025.


Dr. Ray BlockChair, Board of Directors
Workers' Compensation Board- Alberta

Trevor AlexanderPresident and Chief Executive Officer
Workers' Compensation Board- Alberta*The accompanying notes are an integral part of these financial statements.*



Workers' Compensation Board – Alberta

Statement of Financial Performance and Comprehensive Income

Year ended December 31

(\$ thousands)	Notes	2024	2023
INSURANCE MANAGEMENT			
<i>Insurance revenue</i>			
Premiums for insurance coverage	13	\$ 1,539,382	\$ 1,353,301
<i>Insurance expense</i>			
Cost of current year claims	13	(1,744,491)	(1,596,477)
Remeasurement of insurance liabilities (excluding discount rate changes)	13	(179,588)	(938,081)
Reversal of onerous contracts	12	16,900	26,100
		(1,907,179)	(2,508,458)
INSURANCE MANAGEMENT RESULT		(367,797)	(1,155,157)
FINANCIAL MANAGEMENT			
<i>Investment income and expense</i>			
Investment income	6	1,599,972	1,021,549
Investment management expense	6	(73,897)	(82,288)
		1,526,075	939,261
<i>Insurance finance income and expense</i>			
Interest on insurance liabilities	15	(671,300)	(532,400)
Effect of inflation and discount rate changes on liabilities	13	(172,200)	196,200
		(843,500)	(336,200)
FINANCIAL MANAGEMENT RESULT		682,575	603,061
ADMINISTRATION AND OTHER EXPENSE			
Corporate administration	16	(105,600)	(95,134)
Injury reduction	19(d)	4,370	5,403
Other expenses		(328)	1,187
ADMINISTRATION AND OTHER EXPENSE - NET		(101,558)	(88,544)
NET INCOME		213,220	(640,640)
OTHER COMPREHENSIVE INCOME			
<i>Items that will not be reclassified to net income</i>			
Remeasurement of employee benefits	11	(39,819)	(28,167)
TOTAL COMPREHENSIVE INCOME		\$ 173,401	\$ (668,807)

The accompanying notes are an integral part of these financial statements.

Workers' Compensation Board – Alberta

Statement of Changes in Fund Balance

Year ended December 31

(\$ thousands)	2024	2023
Fund Balance, beginning of year	\$ (729,858)	\$ (61,051)
Net Income	213,220	(640,640)
Other comprehensive income	(39,819)	(28,167)
Fund Balance, end of year	\$ (556,457)	\$ (729,858)

The accompanying notes are an integral part of these financial statements.



Workers' Compensation Board – Alberta

Statement of Cash Flows

Year ended December 31

(\$ thousands)	2024	2023
OPERATING ACTIVITIES		
<i>Cash inflows (outflows) related to insurance management</i>		
Premiums for insurance coverage	\$ 1,536,957	\$ 1,369,085
Injury reduction recovery from premiums	78,560	75,645
Benefits to claimants and/or third parties on their behalf	(1,487,040)	(1,443,677)
Administrative and other goods and services	(312,006)	(283,358)
Statutory funding commitments for injury reduction programs	(37,954)	(69,369)
	<u>(221,483)</u>	<u>(351,674)</u>
INVESTING ACTIVITIES		
<i>Cash inflows (outflows) related to investment assets</i>		
Interest income received	12,452	10,410
Investment management expenses	(1,148)	(1,310)
Cash transfers from (to) investments	120,000	550,000
	<u>131,304</u>	<u>559,100</u>
<i>Cash inflows (outflows) related to operating assets</i>		
Purchase of property, plant and equipment	(9,710)	(9,801)
Purchase of computer software	(4,592)	(7,643)
	<u>117,002</u>	<u>541,656</u>
FINANCING ACTIVITIES		
<i>Cash inflows (outflows) related to financing</i>		
Payments on lease and other financing	(3,090)	(3,025)
	<u>(3,090)</u>	<u>(3,025)</u>
Net increase (decrease) in cash and cash equivalents	(107,571)	186,957
Cash and cash equivalents, beginning of year	373,378	186,421
CASH AND CASH EQUIVALENTS, END OF YEAR	<u>\$ 265,807</u>	<u>\$ 373,378</u>

The accompanying notes are an integral part of these financial statements.

Notes to the Financial Statements

For the year ended December 31, 2024 with comparatives for the year ended December 31, 2023 (thousands of dollars unless stated otherwise).

1. REPORTING ENTITY

The Workers' Compensation Board – Alberta (WCB) is a provincial board created by legislation in 1918. As a statutory corporation, WCB administers the workers' compensation system for the province of Alberta under the authority of the *Workers' Compensation Act* (the Act). WCB's corporate head office is located at 9925 107 Street NW, Edmonton, Alberta T5K 1G4, with operations exclusively within the province of Alberta. As a statutory corporation, WCB is exempt from income tax. WCB's legislated mandate is to provide disability benefits to workers who sustain workplace injuries or disease in the course of employment.

2. MATERIAL ACCOUNTING POLICIES

The following accounting policies have been applied in the preparation of the financial statements for all years presented, unless otherwise indicated.

GENERAL ACCOUNTING POLICY

Basis of preparation

These financial statements have been prepared in accordance with IFRS Accounting Standards as at and applicable on December 31, 2024, and on a cost or amortized cost basis except for investments reported at fair value and employee benefit and insurance liabilities, which are actuarially determined. The principal accounting policies applied in the preparation of the financial statements are set out below.

Financial statement presentation

All financial information presented is rounded to the nearest thousand, unless otherwise stated.

WCB presents its Statement of Financial Position in order of liquidity.

The Statement of Financial Performance and Comprehensive Income reports results arising from WCB's primary activities: core business operations including risk underwriting, premium assessment and collection, benefit processing, injury treatment and vocational rehabilitation, and financial management including investment management and insurance liability valuation. Administration and other expense is presented in the Statement of Financial Performance and Comprehensive Income by function. Injury reduction is presented net of premium recovery. Other comprehensive income consists of net changes in remeasurement of post-employment defined benefit plan results, which is an item that will not be subsequently reclassified to income or expense.

Critical judgements and accounting estimates

Management incorporates critical judgements and accounting estimates in developing and applying accounting policies for recognition and measurement. Such judgements and estimates, which reflect best information at a point in time, affect the carrying amounts of assets and liabilities, disclosure of contingent assets and liabilities and the reported amounts of revenues and expenses during the reporting periods presented. Critical judgements include the use of fair value measurement of investment assets, establishing the contract boundary for insurance contracts, concluding that the risk adjustment for insurance liabilities is zero, the selection of appropriate methodologies, assumptions and data inputs for measurement of insurance contract assets and liabilities and for employee benefit assets and liabilities.

The imposition of tariffs by the United States on certain Canadian goods, first announced on February 1, 2025, and the subsequent retaliatory measures by Canada have introduced significant economic uncertainty. The specifics



regarding the impacted goods, tariff amounts, and effective dates have fluctuated since then, further complicating the economic landscape. As the developments on tariffs arose subsequent to year-end, the potential impacts did not have any significant impact on WCB's estimates at December 31, 2024, but may impact future estimates.

Some accounting measurements require management's best estimates for those transactions for which sufficient information may not be available to record a precise amount. Actual results in subsequent periods could differ from the judgements and estimates used by management in these financial statements. These differences, which may be material, could require adjustment in those subsequent periods.

For further discussion of critical accounting judgements and estimates applicable to critical reporting items, see Note 5 *Investments*, Note 11 *Employee benefits*, Note 12 *Insurance contracts* and Note 15 *Insurance finance income and expense*.

Foreign currency translation

WCB's financial statements are presented in Canadian dollars, which is also the functional currency. Monetary assets and liabilities denominated in foreign currency are translated into Canadian dollars at the exchange rate in effect at the date of the Statement of Financial Position. Exchange differences arising from settlement of monetary items are included in income in the period in which they arise. Non-monetary assets and liabilities denominated in foreign currency are translated at the exchange rate in effect when those transactions occurred.

Cash equivalents

Cash equivalents include short-term, liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value. Cash and short-term investments held as Guaranteed Investment Certificates (GICs) or within pooled funds are not typically available for general use and are accordingly included in investments.

Finance expense

Finance expense comprises primarily recognition of interest (i.e., time value of money) inherent in discounted liabilities. Significant discounted liabilities include insurance liabilities, employee benefit plans and lease obligations.

SPECIFIC ACCOUNTING POLICIES

To facilitate a better understanding of WCB's financial statements, specific accounting policies are disclosed in the related notes:

Note	Topic	Page
5.	Investments	53
6.	Investment income and expense	56
8.	Property, plant and equipment	60
9.	Intangible assets	62
10.	Leases	63
11.	Employee benefits	65
12.	Insurance contracts	69
13.	Insurance revenue and expenses	77
15.	Insurance finance income and expense	85

3. ACCOUNTING POLICY CHANGES

STANDARD, AMENDMENTS, AND INTERPRETATIONS EFFECTIVE IN CURRENT YEAR

There were no new standards, amendments, or interpretations adopted in the current year.

STANDARD, AMENDMENTS, AND INTERPRETATIONS ISSUED AS OF YEAR END BUT NOT YET EFFECTIVE

Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures

On May 30, 2024, the International Accounting Standards Board (IASB) issued *Amendments to the Classification and Measurement of Financial Instruments* (Amendments to IFRS 9 and IFRS 7).

The key concepts introduced in these amendments include derecognition of financial liabilities based on electronic payment system dates, classification of financial assets based on contingent events, and separately disclosing derecognized assets in the reporting period.

These amendments are effective for reporting periods beginning on or after January 1, 2026 with early adoption permitted. Restatement of comparative information is not required and is only permitted if possible, without the use of hindsight. WCB is in the process of assessing the impact of these amendments on the financial statements.

IFRS 18 Presentation and Disclosure in Financial Statements

On April 9, 2024, the IASB released IFRS 18 *Presentation and Disclosure in Financial Statements* (IFRS 18) to replace IAS 1 *Presentation of Financial Statements*. Many of the principles and requirements in IAS 1 will be retained with limited changes.

The key concepts introduced in IFRS 18 primarily affect the structure (i.e., presentation format) of the statement of financial performance and comprehensive income; new note disclosures for certain profit or loss performance measures that are reported outside an entity's financial statements (i.e., management-defined performance measures); and enhanced principles governing aggregation and disaggregation of results in the primary financial statements and notes.

IFRS 18 will be effective for reporting periods beginning on or after January 1, 2027, with early adoption permitted. Retrospective restatement of comparative periods is required. WCB is in the process of assessing the impact of the new standard on the financial statements.



4. FUND MANAGEMENT

ACCIDENT FUND

The Act establishes an Accident Fund (the Fund) to support a sustainable workers' compensation system for the benefit of workers and employers. Sufficient funds must be available in the Accident Fund for the payment of present and future compensation, including the cost of administration.

FUNDING POLICY AND CAPITAL MANAGEMENT

Since the Act does not provide for an ownership-based capital structure, WCB views its available capital resources as synonymous with its Accident Fund balance. The primary objective in managing the financial status of the Accident Fund is to mitigate the risk of being unfunded, while a secondary objective is to minimize premium rate volatility caused by investment and claim liability risk. WCB manages the financial status of the Accident Fund by monitoring the funding level and making funding decisions in accordance with the Funding Policy.

The Funding Policy prescribes that evaluation of the funding status of the Accident Fund be determined on a funding basis wherein the claim benefit obligations are valued reflecting a discount rate assumption that is linked to the long-term return of the investment portfolio. To guide funding decisions, the Funding Policy sets a funding level target range of 114–128% as measured on a funding basis. When the funding level (total assets divided by total liabilities measured on a funding basis) falls below the target range, special funding requirements may be included in premium rates. When the funding level is above the target range, surplus distributions may be paid.

Special levies and surplus distributions are instruments of the Funding Policy, whose purpose is to replenish funding shortfalls or return excess funding to employers in order to maintain the funding level at the prescribed target level established by Funding Policy. Surplus funds may be distributed at the discretion of WCB Alberta. In the event of a surplus distribution the surplus is considered to be part of insurance liabilities under IFRS 17.

FUNDING LEVEL

As at December 31, 2024 the Funded Ratio of the Accident Fund (total assets divided by total liabilities measured on a funding basis), was 109.4% or \$1.2 billion (2023- 107.3% or \$889.5 million). The funded ratio was below the funding level target range but exceeded the legislative requirement of 100%.

As at December 31, 2024 the fund balance on the statement of financial position was in a deficiency position of \$556.5 million (2023- \$729.8 million). Despite the fund balance deficiency, the mandate of the WCB and the Accident Fund allows for sufficient cash flows to continue operations and meet its obligations. Insurance liabilities have a long period to maturity, see the section *Solvency risk* in Note 14 *Insurance risk and management* about the relationship of investments and insurance liabilities.

5. INVESTMENTS

ACCOUNTING POLICY

WCB's portfolio investments are classified at fair value through income since its investment management objective is to hold investments for trading purposes and the portfolio is evaluated and managed on a fair value basis. All changes in fair value, including realized and unrealized gains or losses, are recorded in investment income.

The Alberta Investment Management Corporation (AIMCo) is a Crown corporation of Alberta and the exclusive investment manager of WCB's investment portfolio as established in Bill 22 on November 22, 2019. AIMCo manages investments through pooled funds for multiple pension, endowment, insurance and government fund clients. WCB's investment portfolio is invested exclusively in pooled investment portfolios (pools) covering various asset classes and mandates. Participants hold redeemable units in these pools with rights to a proportionate share of the pool's income and net assets, with no power to direct management of the fund. Consequently, WCB is indirectly and proportionately exposed only to the associated economic risks and rewards of the pool, based on its share of the total units in the respective pool. In WCB's judgment, because the criteria for control of the pools are not met for consolidation or joint control accounting, it has determined that pools it holds units in are measured at fair value through income and does not report a proportional interest in the individual underlying assets and liabilities of the pools on its statement of financial position. WCB accounts for its investment in pools as financial instruments.

As a financial instrument, the unit of the respective pools is the unit of account and basis of accounting. Pools are recognized in the Statement of Financial Position when WCB becomes party to the contractual provisions of the pool through purchase or transfer of the units. Similarly, pools are derecognized when WCB is no longer bound by the rights and obligations attached to the units.

WCB utilizes trade-date accounting (i.e., the date when pools are purchased or redeemed) rather than at the date of their settlement. For recognition or derecognition of investment assets, WCB measures pools at their fair value as at the respective trade date. Transaction costs, if any, are immediately expensed.

Fair value hierarchy

The fair value of WCB's investments recorded on the Statement of financial position was determined using one of the following valuation techniques:

- Level 1** Fair value is based on quoted prices in active markets for identical assets. The pools are not listed on active markets, therefore, can not be classified as level 1 for fair value hierarchy purposes. Pools classified by WCB as Level 2 may contain investments that might otherwise be classified as Level 1.
- Level 2** Fair value is based on inputs, other than Level 1 prices, such as quoted prices for similar assets, quoted prices in markets that are not active or other inputs based on observable market data. Level 2 includes pools invested in debt and public equity securities.
- Level 3** Fair value is based on unobservable inputs that are significant to the fair value of the assets and have little or no market activity. Level 3 includes pools whose fair value is determined from valuations of underlying holdings using pricing models, discounted cash flow methodologies or similar techniques that entail use of significant judgement and/or unobservable inputs. This level includes pools invested in private investments in mortgages, real estate, infrastructure and timberlands.



The fair value of pools is derived from the fair value of the underlying financial instruments held within the pool as determined by AIMCo using methods that maximise the use of market observable inputs to the greatest extent possible and use in some instances, as noted below, unobservable inputs where market observable inputs are not available.

Fixed income and real-return bonds

Public interest-bearing securities are valued at the year-end closing sale price or the average of the latest bid and ask prices quoted by an independent securities valuation company. Private mortgages and debt are valued based on the net present value of future cash flows. Cash flows are discounted using risk adjusted interest rate premiums over similar Government of Canada benchmark bonds and current market yields for comparable securities.

Equities

Public equities are valued at the year-end closing sale price or the average of the latest bid and ask prices quoted by an independent securities valuation company.

Real estate and timberlands

The fair value of real estate and renewable resources (timberlands) investments is estimated using appraised values, net of any liabilities. Real Estate and Renewable Resources investments are appraised at least annually by qualified independent appraisers. Appraisers use a combination of methods to determine fair value, including replacement cost, direct comparison, capitalization of earnings, and discounted cash flows.

Infrastructure

The fair value of infrastructure investments is estimated using a combination of market approaches considering comparable companies, precedent transactions in comparable companies and investments, and discounted future cash flows. The fair value of investments held in pools and limited partnerships is estimated by the manager or general partner.

The table below summarizes the basis of fair value measurements for financial assets held in WCB's investment portfolio:

(\$ thousands)	Fair value through income			2024	2023
	Level 1	Level 2	Level 3		
Fixed income					
Deposits and short-term investments ¹	\$ -	\$ 328,952	\$ -	\$ 328,952	\$ 186,978
Nominal bonds	-	3,249,290	-	3,249,290	2,984,027
Mortgages	-	-	583,616	583,616	489,926
Private debt	-	-	211,754	211,754	110,426
	-	3,578,242	795,370	4,373,612	3,771,357
Equities					
Domestic	-	1,395,052	-	1,395,052	1,284,320
Foreign	-	3,447,784	-	3,447,784	3,069,875
	-	4,842,836	-	4,842,836	4,354,195
Inflation-sensitive					
Real estate	-	-	1,765,194	1,765,194	1,610,452
Infrastructure	-	-	2,214,044	2,214,044	2,090,776
Timberlands	-	-	684	684	601
Real-return bonds	-	690,425	-	690,425	664,642
	-	690,425	3,979,922	4,670,347	4,366,471
Total Investments	\$ -	\$ 9,111,503	\$ 4,775,292	\$ 13,886,795	\$ 12,492,023

¹Deposits and short-term investments include a Guaranteed Investment Certificate of \$102.1 million (2023 - \$nil) not held in AIMCo pools

Transfers between levels

There were no material transfers between levels during 2024 or 2023.

Reconciliation of Level 3 activity

(\$ thousands)	Mortgages	Private Debt	Real Estate	Infrastructure & Timberlands	2024	2023
Balance, beginning of year	\$ 489,926	\$ 110,672	\$ 1,610,452	\$ 2,091,377	\$ 4,302,427	\$ 4,061,531
Fair value changes	35,025	12,931	(9,893)	311,771	349,834	133,635
Purchases of Level 3 pools	140,106	99,442	179,699	16,918	436,165	400,829
Sale/settlement of Level 3 pools	(81,441)	(11,291)	(15,064)	(205,338)	(313,134)	(293,568)
Balance, end of year	\$ 583,616	\$ 211,754	\$ 1,765,194	\$ 2,214,728	\$ 4,775,292	\$ 4,302,427

Investment funding commitments

Private investments in pools managed by AIMCo have significant future capital commitments. Although the total commitment is known, the timing and amount of future funding calls are uncertain, as they are contingent on availability of appropriate investment opportunities. Under these circumstances, pool participants have an indirect constructive obligation to fund their proportionate share of the respective pools if and when these opportunities are realized.

WCB's pro rata share of AIMCo's total unfunded commitments as at December 31, 2024, was estimated at approximately \$172,493 (2023- \$248,064).



6. INVESTMENT INCOME AND EXPENSE

ACCOUNTING POLICY

WCB recognizes its proportionate share of investment income, earned and distributed to participants of the pool, concurrently with investment gain or loss at remeasurement of the pool. Investment income and fair value remeasurement gains and losses are recognized in income in the period in which they arise. Investment expense comprises primarily external fund management fees and pool costs and internal investment administration expenses.

Investment income

(\$ thousands)	Income ¹	Investment Gains (Losses) ²	2024	2023
Fixed Income				
Deposits and short-term investments	\$ 24,393	\$ -	\$ 24,393	\$ 18,665
Nominal bonds	66,398	84,677	151,075	230,730
Mortgages	21,796	15,794	37,590	19,205
Private debt	8,833	4,695	13,528	4,543
	121,420	105,166	226,586	273,143
Equities				
Domestic equities	114,397	138,061	252,458	145,660
Foreign equities	387,134	368,913	756,047	432,860
	501,531	506,974	1,008,505	578,520
Inflation-sensitive				
Real estate	44,715	(42,869)	1,846	(74,880)
Infrastructure	195,935	139,459	335,394	235,675
Timberlands	8	77	85	(2,854)
Real return bonds	29,499	(1,943)	27,556	11,945
	270,157	94,724	364,881	169,886
	\$ 893,108	\$ 706,864	\$ 1,599,972	\$ 1,021,549

Investment Expense

(\$ thousands)	2024	2023
External management fees	\$ 72,749	\$ 80,998
Investment administration ³	1,148	1,290
	\$ 73,897	\$ 82,288

¹ Income represents income from interest, dividends and fund distributions earned by the respective pools and proportionately allocated to participants based on units held.

² Investment gains (losses) include realized gains and losses from disposition of pools based on average cost and unrealized gains or losses from remeasurement of the pools at the reporting date.

³ Investment administration represents internal investment management expenses, see Note 16 Administration and Other Expense.

7. INVESTMENT RISK MANAGEMENT

INVESTMENT GOVERNANCE

The Board of Directors is ultimately responsible for overall strategic direction and governance of the investment portfolio through its review and approval of the Investment Policy Statement and ongoing oversight of investment risks, performance and compliance.

WCB management is responsible for monitoring the investment portfolio, assessment of AIMCo performance and recommending changes to the Investment Policy Statement. WCB retains independent consultants to benchmark the performance of its investment portfolio and to advise on the appropriateness and effectiveness of its investment policy and practices.

KEY FINANCIAL RISKS

The primary financial risk for WCB is the risk that, in the long term, returns from its investments will not be sufficient to discharge all obligations arising from its insurance liabilities. In order to manage this funding risk, risk management for investments has been integrated with risk management of liabilities. The Investment Policy Statement target asset mix and associated risk and return characteristics, have been established to provide guidelines for maintaining a well-diversified portfolio operating within a rigorous compliance framework.

WCB has identified key areas of investment risk that directly affect the sufficiency of its investments to fund current and future claim obligations:

Equity market risk

Equity market risk is the risk that the fair value of pools will decline due to future fluctuations in market prices of underlying publicly traded equities held in the respective pools. A change in market value of an equity pools is considered significant when it exceeds one standard deviation of the normal range of its historical market returns.

The table below provides an estimate of the impact on the carrying value of equity pools of a significant adverse change¹ in the key risk variable- the amount of equity market volatility:

(\$ thousands)	2024	2023
Equities	1 std dev	1 std dev
% change in portfolio	(14.1%)	(15.8%)
Canadian	\$ (196,038)	\$ (203,053)
% change in portfolio	(13.3%)	(13.4%)
Global	\$ (365,897)	\$ (322,888)
% change in portfolio	(14.5%)	(14.5%)
Emerging markets	\$ (98,915)	\$ (90,603)

¹A change is considered to be material when it exceeds the standard deviation (std dev), which measures the variance in a normal probability distribution. One standard deviation covers 68% of all probable outcomes. The benchmark deviations are based on 2024 data.



Interest rate risk

Interest rate risk is the risk that the fair value of pools will decline due to future increases in market interest rates. The table below provides an estimate of the impact on the carrying value of fixed income pools if market interest rates increased by 50 and 100 bps¹:

(\$ thousands)	2024		2023	
	+50 bps	+100 bps	+50 bps	+100 bps
Change in nominal interest rate				
Nominal bonds	\$ (119,086)	\$ (238,173)	\$ (112,041)	\$ (224,082)
Real return bonds	\$ (43,428)	\$ (86,856)	\$ (44,332)	\$ (88,663)
Mortgages	\$ (12,022)	\$ (24,045)	\$ (10,484)	\$ (20,969)
Private debt	\$ (741)	\$ (1,482)	\$ (221)	\$ (442)

¹ One basis point (bp) equals 1/100 of 1%; 50 bps = 50/100 of 1% or 0.5%.

Foreign currency risk

Foreign currency risk is the risk that the fair value of pools containing underlying financial assets and financial liabilities denominated in foreign currencies will fluctuate due to changes in their respective exchange rates. WCB has indirect proportionate foreign currency exposures through pools that are economically hedged to the Canadian dollar based on target hedge ratios (i.e., percentage of the exposure hedged to Canadian dollars) by asset class and currency. The target for fixed income and infrastructure pools is 100%. For foreign equity pools, the target is 25% for the U.S. dollar and 50% for other major currencies.

WCB's largest indirect foreign currency exposures are to the U.S. dollar and the euro which are shown in the table below. All other currencies have unhedged exposures of \$496,000 (2023- \$407,782).

The table below presents the currency exposure and provides an estimate of the impact on the carrying value of the portfolio should the Canadian dollar appreciate 10% against the reference currency:

(\$ thousands)	2024		2023	
	Unhedged Foreign exposure	10% CAD appreciation	Unhedged Foreign exposure	10% CAD appreciation
USD	\$ 2,390,171	\$ (217,288)	\$ 2,103,045	\$ (191,186)
EUR	\$ 186,903	\$ (16,991)	\$ 159,291	\$ (14,481)

Credit risk

Credit risk refers to possible risk of loss resulting from the borrower failing to repay a loan or fulfil its contractual obligations. WCB has indirect exposure to credit risk mainly through pools containing debt securities and derivative contracts. The fair value of all investments is directly or indirectly impacted by credit risk to some degree. The majority of investments in debt securities have credit ratings considered to be investment grade. Unrated debt securities consist primarily of mortgages and private debt.

Credit spread risk

Credit spread risk arises from changes in general financial market or economic conditions that may change the pricing of the entire non-government bond market, specific sectors or individual issuers. This risk is generally manifested through changes in the security's credit spread, which reflects the risk premium or risk-adjusted yield for specific issuers and/or instruments. WCB's investment portfolio is indirectly exposed to credit spread risk through participation in pools with holdings in non-government fixed income securities.

Counterparty default risk

Counterparty default risk arises from the possibility that the issuer of a debt security, or the counterparty to a derivatives contract, fails to discharge its contractual obligations. Pools that hold fixed income products manage credit risk by investing in securities of high credit quality. As a portfolio strategy, derivatives may be used within pools to manage specific characteristics and exposures, with derivative counterparties subject to minimum credit rating requirements. For all pools that hold derivatives, the maximum counterparty default risk exposure is the fair value of all derivative contracts in a favourable (i.e., receivable) position.

Liquidity risk

Liquidity risk is the risk that WCB will encounter difficulty in meeting obligations associated with its insurance liabilities, which are funded from cash and cash equivalents and from investments where necessary. This risk stems from the lack of marketability of an investment that cannot be bought or sold quickly enough to prevent or minimize a loss. Pools that hold private investments with no active market, or subject to contractual restrictions on redemption or transfer, would be exposed to liquidity risk. In addition, these pools may have significant capital commitments that must also be funded from other investments or cash and cash equivalents as required.

Through a proactive cash management process that entails continuous forecasting of expected cash flows, WCB mitigates liquidity risk by minimizing the need for forced liquidations of pools in volatile markets and by allocating a significant portion of the investment portfolio to pools holding securities with high trading volume in active markets.

To cover unanticipated cash requirements when market conditions are unfavourable, WCB also has an available standby line of credit of up to \$20 million, with provision for it to increase to \$100 million for six months during the year, which has not been drawn down as at December 31, 2024 or 2023.



8. PROPERTY, PLANT AND EQUIPMENT

ACCOUNTING POLICY

Property, plant and equipment expenditures are recognized as an asset if it is probable that WCB will realize future economic benefits. Items are initially measured at acquisition cost and subsequently at amortized cost.

WCB enters into leases of property, plant and equipment and contracts for supply of goods and services conveying a right to use identified assets that requires lease recognition. The resulting right-of-use asset is classified under the applicable class of property, plant, and equipment, and accounted for in accordance with the relevant accounting policy for that class.

After initial recognition, property, plant and equipment is carried at acquisition cost less accumulated depreciation and impairment (if applicable) with the exception of land, which is not depreciated. Leased assets and leasehold improvements are amortized over their expected lease term, including probable extensions or early termination and adjusted for impairment. All other items are depreciated over their expected economic or useful life. Depreciation expense is recognized when an asset is ready for use, and when WCB has control over the use of a lease asset.

Residual values, useful lives, expected lease terms, and depreciation/amortization rates are reviewed at each financial year-end and adjusted if appropriate. Depreciation and amortization expense are included in insurance expense and corporate administration in the Statement of Financial Performance and Comprehensive Income (see Note 16 *Administration and Other Expense*).

WCB applies the following annual rates and methods for depreciation of owned assets:

<i>Buildings</i>	<i>2.5% straight-line</i>
<i>Leasehold improvements</i>	<i>Straight-line over the expected lease term</i>
<i>Computer equipment</i>	<i>35% declining balance</i>
<i>Furniture and equipment</i>	<i>15% declining balance</i>
<i>Vehicles</i>	<i>20% straight-line</i>

For leased assets, WCB applies straight-line amortization over the expected lease term.

WCB evaluates its property, plant and equipment for indicators of impairment such as obsolescence, redundancy, deterioration, loss or reduction in future service potential, or when there is a change in intended use or underutilization of an owned and/or a right-of-use asset. When the carrying value exceeds the amount of future economic benefit based on expected utilization, the item of property, plant and equipment is written down to the recoverable amount and the amount recognized as an impairment loss.

The following table provides details of property, plant and equipment (PPE) broken down between assets acquired through purchase and right-of-use assets arising from leasing.

(\$ thousands)	Land / Buildings	Leasehold Improvements	Computer Equipment	Furniture & Equipment	Vehicles	2024	2023
Owned assets, at cost							
Balance, beginning of year	\$ 75,253	\$ 1,860	\$ 20,891	\$ 31,835	\$ 374	\$ 130,213	\$ 126,154
Current period activity:							
Capitalized expenditure	865	10	9,205	5,512	-	15,592	4,812
Transfer from PPE under construction	(608)	-	(5,725)	(3,093)	-	(9,426)	(4,538)
Disposals	-	-	(1,187)	(418)	-	(1,605)	(5,639)
PPE under construction	-	-	1,780	1,993	-	3,773	9,424
Balance, end of year	75,510	1,870	24,964	35,829	374	138,547	130,213
Accumulated depreciation and impairment							
Balance, beginning of year	33,938	1,685	10,467	21,033	374	67,497	67,260
Current period activity:							
Depreciation	1,602	61	3,602	1,660	-	6,925	5,549
Disposals	-	-	(1,187)	(418)	-	(1,605)	(5,312)
Balance, end of year	35,540	1,746	12,882	22,275	374	72,817	67,497
Carrying value, beginning of year	41,315	175	10,424	10,802	-	62,716	58,894
Carrying value, end of year	39,970	124	12,082	13,554	-	65,730	62,716
Right-of-use assets, at cost							
Balance, beginning of year	7,847	-	8,240	561	-	16,648	15,736
Current period activity:							
Capitalized lease expenditure	-	-	2,234	95	-	2,329	2,123
Disposals	-	-	(4,517)	(93)	-	(4,610)	(1,211)
Balance, end of year	7,847	-	5,957	563	-	14,367	16,648
Accumulated depreciation and impairment							
Balance, beginning of year	4,196	-	5,284	257	-	9,737	7,573
Current period activity:							
Depreciation	882	-	1,793	105	-	2,780	3,375
Disposals	-	-	(4,517)	(93)	-	(4,610)	(1,211)
Balance, end of year	5,078	-	2,560	269	-	7,907	9,737
Carrying value, beginning of year	3,651	-	2,956	304	-	6,911	8,163
Carrying value, end of year	2,769	-	3,397	294	-	6,460	6,911
Total owned and right-of-use assets							
Carrying value, beginning of year	44,966	175	13,380	11,106	-	69,627	67,057
Carrying value, end of year	\$ 42,739	\$ 124	\$ 15,479	\$ 13,848	\$ -	\$ 72,190	\$ 69,627

See Note 10 *Leases* for accounting policy and further details on leased property, plant and equipment and Note 16 *Administration and Other Expense* for depreciation expense.

WCB has contractual commitments to complete various projects under construction. As at December 31, 2024, these commitments total \$3,739 (2023- \$5,840).



9. INTANGIBLE ASSETS

ACCOUNTING POLICY

WCB's intangible assets are composed of computer software developed internally or acquired through third party vendors and customized as necessary. Development expenditure is capitalized only if the directly related costs (both internal and external) can be measured reliably, the product or process is technically feasible, future economic benefits are probable and WCB has the intention and sufficient resources to complete development and to use the asset in the manner intended.

Computer software is measured at cost upon initial recognition. After initial recognition, computer software is measured at cost less accumulated amortization and impairment (if applicable). Computer software is amortized on a straight-line basis at 20% per year commencing from the date that the software is available for use.

Residual value, useful lives and amortization methods are reviewed at each financial year-end and adjusted if appropriate. Amortization expense is included in insurance expense and corporate administration in the Statement of Financial Performance and Comprehensive Income (see Note 16 *Administration and Other Expense*).

WCB evaluates its intangible assets for indicators of impairment and performs annual impairment tests for assets under development. When the carrying value exceeds the amount of future economic benefit through utilization, the item is written down to the recoverable amount and the amount recognized as an impairment loss.

(\$ thousands)	In Use	Under Development	2024	2023
Cost				
Balance, beginning of year	\$ 139,219	\$ 3,043	\$ 142,262	\$ 134,970
Capitalized expenditure	-	4,449	4,449	7,594
Transfers from development	4,594	(4,594)	-	-
Disposals	-	-	-	(302)
Balance, end of year	143,813	2,898	146,711	142,262
Accumulated amortization and impairment				
Balance, beginning of year	106,137	-	106,137	91,635
Depreciation	14,773	-	14,773	14,804
Disposals	-	-	-	(302)
Balance, end of year	120,910	-	120,910	106,137
Carrying value, beginning of year	33,082	3,043	36,125	43,335
Carrying value, end of year	\$ 22,903	\$ 2,898	\$ 25,801	\$ 36,125

WCB has contractual commitments related to the completion of software projects. As at December 31, 2024, these commitments total \$4,467 (2023 - \$2,793).

10. LEASES

ACCOUNTING POLICY

At inception of a lease or supply contract, WCB recognizes a right-of-use asset and a corresponding lease liability if both of the following conditions have been met throughout the contract period:

- WCB has the right to obtain substantially all the economic benefits from use of an identified asset; and
- WCB has the right to direct the use of the identified asset throughout the period of use.

The lease term begins at the commencement date, extends through the non-cancellable period of the lease and includes any renewal periods or early termination options that WCB is likely to exercise.

At the commencement date, WCB measures the lease liability at cost, representing the present value of the lease payments that are not paid at that date, discounted using the interest rate implicit in the lease if it is known or readily determinable. If not, WCB uses its incremental borrowing rate as at that date for a loan of similar amount, payment terms, and maturity. The right-of-use asset is measured at the amount of the lease liability, less any lease incentives received and/or lease payments made at or before the lease commencement date. As well, at the commencement date, incentives received or due from the lessor to enter into or to extend the lease are recognized, measured at their present value and offset against the right-of-use asset.

Leases with low value assets (unit value of \$5,000 or less), and leases with an expected term of 12 months or less at date of commencement are exempt from the requirements to recognize a right-of-use asset and lease liability. Although exempt, WCB applies IFRS 16 to groups of low value desktop computer equipment acquired under a master lease agreement. These lease asset pools (portfolios) are measured at their aggregate present value as at their commencement date, recognized as right-of-use assets and related lease obligations.

Subsequent measurement of right-of-use assets and liabilities for leases of individual assets and asset pools is at amortized cost. Right-of-use assets are depreciated on a straight-line basis over their expected lease term.

Lease payments are allocated between the liability and finance charges using the effective interest method to achieve a constant rate of interest on the remaining balance of the lease. The interest portion of the payment is charged to income over the lease period, while the principal portion is applied against the lease obligation.

LEASES

Leasing objectives

WCB's rationale for acquiring critical business assets through leasing is to realize operational flexibility, rather than to finance asset ownership. For critical information technology and office equipment, WCB uses leasing to manage obsolescence risk, to provide operational flexibility in meeting both short and long-term business demands and to access value-added services bundled with certain lease arrangements. For some critical technology, vendor pricing is more cost-effective through leasing rather than purchasing. For facilities, the economic benefits from leasing accrue mainly from flexibility in meeting short-term space demands, acquiring office space that does not warrant a long-term capital investment in real assets, but in some circumstances, the required space is only available through a long-term lease.

Lease obligations

WCB has obligations under non-cancellable lease agreements for computer and office equipment, typically for terms between three and five years. Some WCB facilities are under leases with remaining terms of between one and four years. On rare occasions, WCB may enter into short-term arrangements for office space and/or for low value assets; however, such commitments and the amounts charged to administration expense are generally not material.



The following table provides a reconciliation of lease transactions and obligations for the period ended December 31, 2024.

(\$ thousands)	Land / Buildings	Computer Equipment	Furniture & Equipment	2024	2023
Lease obligations					
Balance, beginning of year	\$ 4,366	\$ 3,028	\$ 309	\$ 7,703	\$ 8,861
Current year activity:					
Additions	-	2,234	95	2,329	2,123
Disposals	-	-	-	-	(489)
Lease payments	(1,081)	(1,893)	(116)	(3,090)	(3,051)
Lease interest	132	115	23	270	259
Balance, end of year	\$ 3,417	\$ 3,484	\$ 311	\$ 7,212	\$ 7,703

See Note 8 *Property, Plant and Equipment* for carrying values of lease right-of-use assets and their related depreciation and Note 19(b) *Trade and Other Liabilities* for presentation of lease obligations.

The undiscounted future cash outflows and the maturities related to these lease obligations are broken out in the table below.

(\$ thousands)	2024	2023
2024	\$ -	\$ 2,606
2025	2,857	2,082
2026	2,291	1,516
2027	1,560	1,216
2028	331	191
2029 and Beyond	706	706
	\$ 7,745	\$ 8,317

Exempt leases

Leases for low value assets or for terms of twelve months or less are exempt from the requirements to recognize a right-of-use asset and lease liability and are charged to expense as incurred. Exempt lease expense for the year was insignificant.

11. EMPLOYEE BENEFITS

ACCOUNTING POLICY

WCB provides active service and defined post-employment benefits to its employees. WCB also participates in certain multi-employer pension plans sponsored by the province of Alberta. An expense and a liability for benefits earned are recognized in the period that the employee service has been rendered.

For defined post-employment benefit plans, current service cost represents the actuarial present value of the benefits earned in the current period. Such cost is actuarially determined using the projected unit credit actuarial method, a market interest rate and management's best estimate of projected benefit costs. The net plan asset or liability as at the reporting date is the present value of the defined benefit obligation, which is determined by discounting the estimated future cash outflows using a discount rate based on market yields of high-quality corporate bonds having terms to maturity that approximate the duration of the related benefit liability less the fair value of plan assets. Current service cost and interest expense of pension and other post-employment benefits are estimated using different discount rates derived from the same yields, reflecting the different timing of benefit payments for past service (the defined benefit obligation) and future service (the current service cost). Current service cost, interest expense and interest income comprise the amount required in each year to build up the liability over the projected benefit period to its future value.

Remeasurement changes in plan assets and benefit liabilities, arising from actuarial changes in assumptions and experience gains and losses, are recognized in other comprehensive income.

ACTIVE SERVICE BENEFITS

WCB's short-term benefits for active employees include salary, compensated absence (sick leave, statutory holidays, and annual vacation), group life insurance, dental and medical coverage, employee family assistance program, education support and health and wellness benefits.

Termination benefits are provided for through employment contracts, statutory requirements or constructive obligations. As at December 31, 2024 and 2023, there were no material expenditures or provisions relating to termination benefits.

POST-EMPLOYMENT BENEFITS

Pension plans

Employee post-retirement benefits are provided through contributory multi-employer defined benefit pension plans sponsored by the province of Alberta, namely the Public Service Pension Plan (PSPP) and the Management Employees Pension Plan (MEPP). Under defined benefit plan accounting, WCB must recognize its proportionate share, determined on an actuarial basis, of plan assets, obligations, remeasurement amounts, service cost, interest expense and interest income prorated on WCB's share of total contributions.

The information in this note reflects the annual actuarial valuation of WCB's share of the plans' assets, benefit obligations, remeasurement amounts, service cost, interest expense and interest income.

Supplemental executive retirement plan

WCB sponsors a non-contributory supplemental executive retirement plan (SERP). Earnings of senior management generally exceed the threshold earnings for the maximum pension benefit permitted under the federal *Income Tax Act*. Under the terms of the SERP, senior management is entitled to receive supplemental retirement payments that bring their total pension benefits to a level consistent with their total earnings for service since the inception of the



SERP or appointment to a senior management position, whichever is later. Future pension benefits are based on the participants' years of service and earnings.

See Note 17 *Related Party Transactions* for a breakdown of SERP costs by executive position.

Post-retirement benefit plan

WCB provides a contributory benefit plan that provides dental and health care benefits to retirees on pensions between the ages of 55 to 80. As plan participants pay part of the benefit cost, the benefit obligation represents the difference between actual costs and contributions subsidized by WCB.

OTHER BENEFIT PLANS

Long-term disability plan

WCB administers a self-insured non-contributory long-term disability (LTD) income continuance plan for its employees. The LTD liability represents the present value of all future obligations arising from disability claims incurred up to and including the reporting date.

EMPLOYEE BENEFIT PLAN ASSUMPTIONS

The table below presents key assumptions applicable to WCB's employee future benefit plans.

	2024					2023				
	PSPP	MEPP	SERP	Post Retirement	LTD	PSPP	MEPP	SERP	Post	LTD
Date of most recent actuarial valuation	12/31/2024	12/31/2024	12/31/2024	12/31/2024	12/31/2024	12/31/2023	12/31/2023	12/31/2023	12/31/2023	12/31/2023
Economic assumptions										
Discount rate (nominal) for benefit obligation	4.7%	4.7%	4.7%	4.8%	4.8%	4.6%	4.6%	4.6%	4.7%	4.6%
Alberta inflation rate (long-term)	2.0%	2.0%	2.0%	n/a	n/a	2.0%	2.0%	2.0%	n/a	n/a
Salary escalation rate ¹	3.0%	3.0%	3.0%	n/a	2024: 3.0%; >2024: 2.0%	3.0%	2.8%	3.0%	n/a	2024: 3.0%; >2024: 2.0%
Multi-employer plan funding assumptions										
WCB share of plan contributory payroll	5.8%	1.6%				5.7%	1.7%			
Current service cost rate on contributory payroll	14.6%	21.8%				13.9%	23.6%			
WCB's contributions for the current period (\$ thousands)	\$ 15,382	\$ 1,266				\$ 14,141	\$ 1,232			
WCB's expected contributions for the following period (\$ thousands)	\$ 15,843	\$ 1,304				\$ 14,565	\$ 1,240			

¹ The salary escalation rate assumptions for the PSPP and the MEPP (both multi-employer plans) are not specific to WCB but rather to all participating employers in aggregate.

DEFINED BENEFIT PLANS

(\$ thousands)	Other Retirement Liabilities ²	LTD	Total Other Employee Benefit Plans	Pension Plans ¹	2024	2023
Change in defined benefit obligation						
Defined benefit obligation, beginning of year	\$ 20,735	\$ 24,828	\$ 45,563	\$ 545,366	\$ 590,929	\$ 495,818
Current service cost ³	997	3,698	4,695	17,582	22,277	21,717
Interest expense ⁴	958	1,057	2,015	24,562	26,577	25,622
Remeasurement losses (gains) ⁵	3,274	872	4,146	4,446	8,592	73,734
Benefit payments	(453)	(4,378)	(4,831)	(22,558)	(27,389)	(25,962)
Defined benefit obligation, end of year	25,511	26,077	51,588	569,398	620,986	590,929
Change in fair value of plan assets						
Fair value of plan assets, beginning of year	-	-	-	580,016	580,016	513,650
Employer contributions	453	4,378	4,831	16,648	21,479	19,694
Interest income	-	-	-	26,519	26,519	27,067
Remeasurement (losses) gains ⁵	-	-	-	61,186	61,186	45,567
Effect of asset ceiling/onerous liability ⁶	-	-	-	(92,413)	(92,413)	-
Benefit payments	(453)	(4,378)	(4,831)	(22,558)	(27,389)	(25,962)
Fair value of plan assets, end of year	-	-	-	569,398	569,398	580,016
Net plan liability (asset)						
Defined benefit obligation	25,511	26,077	51,588	569,398	620,986	590,929
Fair value of plan assets	-	-	-	569,398	569,398	580,016
	\$ 25,511	\$ 26,077	\$ 51,588	\$ -	\$ 51,588	\$ 10,913

¹ Pension plans include WCB's proportionate share of the PSPP and MEPP defined benefit plans. The PSPP makes up the majority of the balance.

² Other retirement liabilities include SERP and the post-retirement benefit plan.

³ Current service costs are presented within corporate administration and insurance expense in the Statement of Financial Performance and Comprehensive Income.

⁴ Interest expense is presented net of interest income in the Statement of Financial Performance and Comprehensive Income.

⁵ Remeasurement gains and losses on plan obligations due to discount rate changes and experience are presented net of gains and losses on plan assets in the Statement of Financial Performance and Comprehensive Income.

⁶ The asset ceiling limits the recognized asset to the amount of the defined benefit obligation.



RECOGNITION OF A PENSION ASSET

A defined benefit pension plan asset recognized in the financial statements is measured at the lower of the plan surplus and the asset ceiling determined using the discount rate for measuring plan obligations at the valuation date. The asset ceiling is based on an assessment of whether the plan surplus will result in future economic benefit available to WCB through contribution reductions, payment of expenses from the plan, or refund of surplus. As of December 31, 2024, WCB determined the future benefit of the plan surplus is not fully available to WCB, therefore the asset ceiling limits the recognized asset to the amount of the defined benefit obligation.

Economic risks

Defined benefit plans are directly exposed to economic risks from plan assets invested in capital markets and indirectly with respect to measurement risk from assumptions based on economic factors, such as discount rates affected by volatile bond markets. Benefit obligations are exposed to uncertainty of future economic conditions, primarily inflation risk due to the extremely long tails of post-employment benefits and health care escalation due to increasingly higher costs of treatment and prescription drugs.

Demographic risks

Demographic factors affect current and future benefit costs with respect to the amount and time horizon of expected payments due to such factors as workforce average age and earnings levels, attrition and retirement rates, mortality and morbidity rates, etc.

Multi-employer plan funding risk

In addition to economic and demographic risk factors, WCB is exposed to funding risk in the multi-employer plans arising from:

- Legislative changes affecting eligibility for and amount of pension and related benefits
- Changes in contributions to respond to the plans' funding level as required by policy
- Performance of plan assets affected by investment policies set by the pension boards
- Changes in the methods and assumptions used in valuation of plan liabilities.

Because these plans are governed by legislation rather than contract, there is little flexibility for participant action with respect to withdrawal from the plan, plan wind-up or amendments and mandatory funding requirements.

Sensitivity analysis

The following table shows the effect of a 25 basis point change in the assumed discount rate, inflation rate and wage inflation rate on WCB's proportionate share of the accrued benefit obligations of PSPP and MEPP. The impacts of the assumption changes on WCB's other employee benefit plans, individually and in aggregate, are immaterial.

(\$ thousands)	2024		2023	
	+0.25%	-0.25%	+0.25%	-0.25%
+/- % change on assumed rates				
Discount rate based on market yields on high-quality corporate bonds	\$ (20,194)	\$ 20,194	\$ (19,606)	\$ 19,606
General inflation rate	\$ 9,350	\$ (9,350)	\$ 8,869	\$ (8,869)
Wage inflation rate	\$ 3,781	\$ (3,781)	\$ 3,683	\$ (3,683)

12. INSURANCE CONTRACTS

ACCOUNTING POLICY

An insurance contract is an arrangement whereby an entity accepts significant insurance risk from another party by agreeing to compensate the insured party if a specified uncertain future event (the insured event) adversely affects that party. Since an insurance contract may also arise from law or regulation, WCB legislation and regulations (together the Act) constitute a master insurance contract. Self-insurance arrangements are not in scope as there is no transfer of insurance risk.

The level of aggregation and unit of account is the entire portfolio of contracts viewed as one group of contracts sharing similar risk characteristics covered under a master contract renewed annually.

The contract boundary is one year, corresponding to the calendar year coverage period established by legislation. Because WCB has the practical ability to reassess and fully reprice the group of contracts to cover its risk exposure specific to the renewal period, each annual cohort constitutes the issuance of a new group of contracts with a one-year term.

Recognition of a group of insurance contracts at its inception occurs at the earliest of the following dates:

- At the beginning of the coverage period
- Due date of first payment of the premium
- When a group of contracts is determined to be onerous.

Onerous insurance contracts arise when it is that the future cash outflows will exceed inflows.

Contract modification arises from substantive changes in legislation, policy, or tribunal decisions that modify the scope and significance of contractual terms and conditions, requiring derecognition of the existing contract and recognition of the modified contract at the end of the coverage period.

The following prescribed components are applied for measurement of insurance contracts:

- Unbiased expected present value of future cash flows
- Current and market consistent discount rates, derived from a yield curve based on comparable cash flows, timing, and risk characteristics of the insurance liabilities
- A risk adjustment that quantifies the uncertainty related to non-financial risks in the estimates of the future cash flows, representing the compensation required for bearing such risk.

Given the one year contract boundary, the premium allocation approach applies in valuation of the liability for remaining coverage.

The carrying amount of a group of insurance contracts at the end of each reporting period comprises the:

- Liability for remaining coverage representing the amount of premiums received less insurance revenue recognized and the expected loss component of onerous contracts, if any; and
- Liability for incurred claims representing cash outflows (i.e., claim benefit and administration payments) in future periods for claims incurred in the current and prior periods.

At the end of each reporting period, the carrying value of insurance contracts is remeasured to reflect current estimates of the liability for incurred claims. The liability for remaining coverage is increased for premiums received in the period and decreased for the amounts of expected premium receipts recognized as insurance revenue for the services provided in the period.



VALUATION OF INSURANCE CONTRACTS

The valuation is based on WCB legislation, policies and administrative practices in effect as at the valuation date. Estimation of the liability requires the use of actuarial methods and assumptions that are periodically assessed and adjusted based on frequent monitoring of actual claim experience, the economy and other relevant factors throughout the year.

Since the insurance liabilities are of a long-term nature, the actuarial methods and assumptions used to calculate the reported liabilities are based on considerations of future expenditures over the long term. As the determination of these liabilities requires assumptions about economic and other events that may occur many years in the future, which are based on best information as at the valuation date, a significant degree of professional judgement must be exercised in developing these assumptions. Accordingly, changes in conditions within one year of the financial statement date could require material change in recognized amounts in a subsequent period or periods.

MATERIAL JUDGEMENTS AND ASSUMPTIONS

Judgements involve selecting and calibrating appropriate actuarial methods, macroeconomic trends, industry products, data, and practices, loss emergence patterns and other inputs. Development of material assumptions are subject to measurement uncertainty with a high risk of adjustment of results in future reporting periods. Consequently, forward looking assumptions require significant judgement with respect to future economic or market conditions and/or events. Required changes are modeled into input assumptions only when they are indicative of established trends.

The critical judgements, methodologies and assumptions used in valuation of insurance liabilities under IFRS 17, which are reviewed annually, are discussed below.

Premium allocation approach

WCB is eligible to apply the premium allocation approach (PAA) for the liability for remaining coverage (LRC) because the coverage period (i.e., contract boundary) for the group of contracts is one year.

Core measurement requirements

Application of the core IFRS 17 requirements for measuring the liability for incurred claims (LIC) and the LRC involves these methodologies and inputs:

- Future cash flows are estimated using a current, unbiased, entity-specific, and explicit actuarial best estimate approach that is substantially consistent with the expected value of all probable outcomes.
- To reflect the time value of future cash flows, a discount rate curve derived from a market-consistent, risk-free, and liquidity-adjusted yield curve for investment grade debt instruments with similar timing and risk characteristics as WCB's insurance liabilities is applied. WCB calibrates market variables to be consistent with its current circumstances and/or expectations, and the timing and risk characteristics of its cash flows, as appropriate
- For discussion of the methodology for deriving discount rate curves, see the section *Time value of future cash flows*
- An explicit risk adjustment set at zero that reflects the compensation that WCB would require to accept or bear non-financial (i.e., insurance) risk.

For discussion of WCB's view on insurance risk, see the section *Risk adjustment*.

Measurement of the liability for remaining coverage

The LRC, reflecting deferred or unearned revenue, represents the obligation to provide insurance service over the unexpired portion of the coverage period. The LRC increases as premiums are received over time and decreases as service obligations are fulfilled and recognized in insurance revenue during the period. The carrying amount of the

LRC is comprised of premiums received less amounts amortized to insurance revenue. The amortized amounts are based on expected premium receipts (including premiums that are expected to be received after year end when payroll is confirmed) rather than received premiums.

Loss component of onerous contracts

When the group of contracts is onerous, IFRS 17 requires immediate recognition of the issued contracts and the related loss in current insurance expense and in the loss component of LRC. Recognition of the loss does not change the amount of the future cash flows – it merely accelerates the timing of loss recognition from the subsequent period to the current period. Judgement is required in developing the methodology to select and calibrate the relevant inputs, and to estimate both the expected contract fulfilment costs and in quantifying the loss component of the LRC. The loss is measured as the difference between the fulfilment cash flows related to the remaining coverage of the group using the general model and the carrying amount of the liability for the remaining coverage using the premium allocation approach.

MEASUREMENT METHODS AND ASSUMPTIONS

Scope

Estimates of future cash flows are required for measurement of the:

- Liability for incurred claims costs of current and past claims to be paid in future periods,
- Liability for remaining coverage of future service obligations arising from cash inflows of the current or past periods, and
- Expected onerous contracts loss component of the LRC recognized in the current period.

Basis of measurement

Determination of future cash flows applies the actuarial best estimate technique where the actual or ultimate value has an equal likelihood of being greater or less than the estimated value. The best estimate, based on all information available at the valuation date and considering all likely scenarios including extreme events both favorable and unfavorable, therefore represents the median of the range of outcomes.

Valuation assumptions consider both internal and external experience, validated against historical patterns and expected trends through periodic experience studies. Such studies may also lead to, or confirm, the judgement that a change in assumptions or methodology may be required for more reliable estimates.

Techniques for estimating claims in pay and claims incurred but not reported at the reporting date are based on WCB's judgement that historical claims experience is indicative of future claims development and their ultimate cost. Unusual or non-recurring experience, if not representative of current trends, is excluded or adjusted as required.

Valuation methods

For valuation purposes, future benefits are grouped into broad categories: benefits in-pay, outstanding claims, and long latency occupational diseases.

Benefits in-pay are pensions that have already been awarded, with future payments projected on the basis of the mortality tables as well as other specific assumptions. The related liability is based on a cash flow projection of expected future payments for each benefit recipient at the valuation date, estimated by considering the amount currently received, the probability of the benefit remaining in force, demographic assumptions and characteristics of the benefits being valued.

Outstanding claims refer to all other types of benefit payments for incurred claims, as well as costs related to future claims management. The general method used to determine the related liabilities typically involves analyzing the benefit costs over an experience period to establish average cost for each period after injury. These average costs,



along with exposure indexes for each injury year, assumed rates of future escalation, and the survivorship probabilities where applicable, are used to calculate projected costs for each of the future years.

The liability for long latency occupational diseases differs from liabilities for incurred claims, being driven by the number of expected claims arising from exposure to disease agents in each period multiplied by the average cost per occupational disease claim. Expected claim costs are allocated to underlying calendar years of exposure in considering the latency assumptions relevant to those periods.

Overhead allocation

Claims management expenses included in future cash flows reflect a systematic allocation of overhead expenses directly attributable to contract fulfilment. Administration salaries and expenses are allocated to claims management based on the level of functional activities of the business units involved in claims processing. The current level of expenses is taken as an appropriate baseline, adjusted for expected expense inflation, if required.

See Note 16 *Administration and Other Expense* for details of total overhead allocated to claims management and to corporate administration.

Time value of future cash flows

The time value of future cash flows is reflected by discounting the related insurance liabilities to their present value. Discount rates under IFRS 17 must be derived using a yield curve with similar attributes and liquidity characteristics, risks, and maturities as its future cash flows. The methodology for deriving the curve may apply either the bottom-up approach that uses a risk-free yield curve plus a liquidity adjustment, or the top-down approach that uses a market-based yield curve adjusted for credit risk across the entire curve. Development of the discount rate assumption involves significant judgement and effort and has the greatest impact in the measurement of WCB's insurance liabilities.

Nominal discount rates

WCB applies a hybrid approach for developing nominal discount rates, using the bottom-up approach for the risk-free yield curve that is adjusted by market-based liquidity premiums derived using the top-down approach, as discussed in the following section. Risk-free nominal discount rates are derived from a yield curve of observable risk-free debt instruments, primarily Bank of Canada bonds. The nominal rate curve is extrapolated from the last available market data point to an ultimate forward rate consistent with long-term real interest and inflation rate expectations.

Liquidity adjustment

Given limited ability to transfer or commute WCB's insurance liabilities, an adjustment must be included in their valuation to quantify such illiquidity, achieved by adjusting risk-free nominal yields using a curve of market consistent liquidity premiums specific to each relevant maturity. WCB develops liquidity premiums using a top-down approach by comparing the spreads on investment grade corporate bonds with yields, where available, on Canada bonds with matching maturities. Using Canadian corporate BBB bonds as the asset reference portfolio, the liquidity adjustment is expressed as a fixed percentage of the reference portfolio spread over risk-free rates, plus an additional constant adjustment to account for WCB insurance contracts being more illiquid than the reference portfolio. The combined percentage across all maturities on the discount rate curve adjusts the discount rates to reflect the illiquidity of WCB's insurance liabilities.

Real discount rates

The real discount rate curve is derived by applying an inflation adjustment across all maturities along the nominal rate curve. This adjustment reflects future inflation at maturity.

The table below provides relevant forward discount and inflation rates as at the end of the current and prior periods:

	Years	Forward Rates by Tenor										
		1	5	10	15	20	25	30	40	50	60	Ultimate
2024												
Nominal discount rates		3.77%	4.66%	5.51%	5.66%	5.30%	5.32%	5.27%	4.26%	3.88%	3.50%	4.43%
Inflation rates		2.30%	2.34%	2.38%	2.04%	2.26%	2.51%	2.83%	2.63%	2.42%	2.21%	2.00%
2023												
Nominal discount rates		5.26%	4.13%	5.11%	5.38%	4.84%	4.60%	4.37%	4.35%	4.17%	3.99%	4.43%
Inflation rates		2.80%	1.77%	2.10%	1.70%	1.49%	2.41%	2.48%	2.36%	2.24%	2.12%	2.00%
Equivalent single rate	2024	2023										
Equivalent single nominal discount rate		4.92%	4.75%									
Equivalent single inflation rate		2.31%	2.04%									
Equivalent single real discount rate		2.55%	2.66%									

Risk adjustment

WCB operates as a not-for-profit public sector monopoly founded on the principles of cost neutrality and collective liability. This model precludes inclusion of economic compensation for bearing risk with respect to both liability valuation and pricing.

Application of the best estimate method for liability valuation is predicated on a related confidence level of 50%, representing the median of the range of outcomes. In this context, WCB is indifferent between the actual liability being higher or lower than the best estimate, which is consistent with an effective risk adjustment of zero and a confidence level of 50%.

Inflation assumptions

Claim costs for workers' compensation are sensitive to long-term inflation. For estimating future cash flows, WCB establishes long-term economic assumptions for general inflation, wage escalation, and health care escalation by considering both external and internal historical trends and forward-looking economic and market indicators.

Canada inflation

Historical Canada inflation published by Statistics Canada is considered a market variable. WCB's approach to determine market-consistent future inflation rates is based on the spread by maturity, as at a valuation date, between a Government of Canada nominal yield curve and a corresponding real yield curve, where the spreads are further adjusted for non-inflation components and lower liquidity for real return bonds compared to nominal bonds. An ultimate inflation rate can be derived as the mid-point or average of the medium-term target inflation range, currently between 1%- 3% per annum (around 2% per annum).

Alberta inflation

Over the past 10 years, Alberta inflation has generally aligned with Canada inflation. Accordingly, Alberta inflation is considered to be the same as the Canadian inflation derived in the previous section.

Cost of living allowance

The WCB assumption for the cost-of-living allowance (COLA) for indexed benefits is Alberta inflation plus a current adjustment of 0.45% per annum.



Health care escalation

Health care escalation is developed from analysis of WCB cost experience, also taking into consideration the results of external studies. This escalation rate represents general inflation plus excess escalation of 1.5%, covering both increases in utilization and in the costs for medical procedures and other therapeutic care.

Wage growth

Total wage growth is the increase in average wages comprising expected inflation and the net wage growth rate. WCB considers that a long-term rate for net wage growth at December 31, 2024 of 0.9% per annum to be appropriate for the period.

Demographic assumptions

Demographic assumptions relating to the claimant population include, among others, volumes and rates of claims occurrence, their duration and cost, type and/or severity of injury or illness, mortality (incidence of death), longevity (life expectancy), and morbidity (incidence and development of disability or disease). These assumptions are differentiated by claimant and/or survivor gender and age, injury or disease classification, and occupation among other factors. Demographic assumptions primarily affect healthcare costs and annuitized payments such as economic loss payments, disability pensions, survivor benefits, and long-term personal care.

Mortality and longevity

Mortality is defined as the rate at which death is expected to occur for a specified group, with the risk that death may occur sooner than expected. Conversely, longevity risk for a group arises when life expectancy is longer than expected. WCB uses mortality and longevity assumptions in estimating the duration of economic loss and survivor benefit payments, for both benefits in pay and outstanding claim liabilities. Assumptions are generally developed using a blend of national mortality data, industry trends, and WCB specific demographic data. Assumptions affecting claim termination are developed for each benefit type, incorporating recent experience and claimant characteristics. A reasonable allowance may also be included for improvements in workplace safety practices and healthcare and rehabilitation outcomes that affect mortality and longevity.

Morbidity

Morbidity assumptions are specific to types of injury or disease categories, affecting cost, duration, and probability of recurrence. Arising from incidence of injuries and disease for workplace risk exposures, morbidity is an assumption for long-term care, short-term disability, latent occupational disease, and healthcare and personal care costs related to such claims. Morbidity assumptions based on WCB experience as well as past and emerging industry experience are established for each type of morbidity and occupational/industry risk. Appropriate assumptions are made about future improvements in morbidity experience due to advances in medical practice and technology.

See Note 14 *Insurance Risk and Risk Management* for details of the sensitivity of material assumptions on key results.

EXPLANATION OF RECOGNIZED AMOUNTS

Impact of contracts issued in the period

Contracts issued during the reporting period represent the group of contracts for the subsequent coverage period because they were determined to be onerous and deemed to be issued when the renewal rates are publicly communicated at the end of the current period. Recognition of the renewal group of contracts impacts insurance expense, insurance service result, and the LRC of the current period.

See the section *Other insurance expense* in Note 13 *Insurance Revenue and Expenses* for details of the amounts related to onerous contracts.

Changes in insurance liabilities

After initial recognition and measurement of insurance contracts, the carrying value of the related insurance liabilities at the reporting date comprises the LIC and the LRC, which is determined by underlying movements in premiums receipts, release of service obligations and the change in the loss component.

IFRS 17 prescribes a current estimate of the LIC for each reporting period, which entails updates to future cash flows to reflect changes in market and demographic judgements, assumptions or actuarial methods since the previous valuation. Specifically, such remeasurement considers new information about claims experience and their future development; changes in actuarial valuation methods and assumptions arising from claim experience; and/or legislation, tribunal decisions, or policy amendments that may affect entitlement to benefits, their type and duration, and in some cases, with retrospective effect.

Reconciliation of insurance liabilities

The tables below provide a reconciliation of the changes in insurance liabilities for the current and comparative periods.

(\$ thousands)	Notes	LRC excl loss component	LRC loss component	Liability for remaining coverage	Liability for incurred claims	2024
Insurance liabilities, beginning of year		\$ (55,742)	\$ 216,700	\$ 160,958	\$ 13,413,100	\$ 13,574,058
Statement of financial performance and comprehensive income						
Insurance management						
Insurance revenue	13	(1,539,382)	-	(1,539,382)	-	(1,539,382)
Insurance expense	13					
Provision for future costs of current year claims		-	-	-	1,413,400	1,413,400
Current year claims and other expenses		-	-	-	331,091	331,091
Remeasurement of insurance liabilities		-	-	-	179,588	179,588
Reversal of onerous contracts		-	(16,900)	(16,900)	-	(16,900)
Insurance expense		-	(16,900)	(16,900)	1,924,079	1,907,179
Insurance management result		(1,539,382)	(16,900)	(1,556,282)	1,924,079	367,797
Insurance finance income and expense						
Interest on insurance liabilities	15	-	-	-	671,300	671,300
Effect of changes in financial assumptions on insurance liabilities	15	-	-	-	172,200	172,200
Financial management result		-	-	-	843,500	843,500
		(1,539,382)	(16,900)	(1,556,282)	2,767,579	1,211,297
Receipts and disbursements						
Premiums received		1,536,957	-	1,536,957	-	1,536,957
Claims and other insurance expenses paid						
Payments for current year injuries		-	-	-	(331,091)	(331,091)
Payments for prior years' injuries		-	-	-	(1,382,988)	(1,382,988)
		1,536,957	-	1,536,957	(1,714,079)	(177,122)
Insurance liabilities, end of year		\$ (58,167)	\$ 199,800	\$ 141,633	\$ 14,466,600	\$ 14,608,233



(\$ thousands)	Notes	LRC excl loss component	LRC loss component	Liability for remaining coverage	Liability for incurred claims	2023
Insurance liabilities, beginning of year		\$ (71,526)	\$ 242,800	\$ 171,274	\$ 12,199,700	\$ 12,370,974
Statement of financial performance and comprehensive income						
Insurance management						
Insurance revenue	13	(1,353,301)	-	(1,353,301)	-	(1,353,301)
Insurance expense	13					
Provision for future costs of current year claims		-	-	-	1,282,400	1,282,400
Current year claims and other expenses		-	-	-	314,077	314,077
Remeasurement of insurance liabilities		-	-	-	938,081	938,081
Reversal of onerous contracts		-	(26,100)	(26,100)	-	(26,100)
Insurance expense		-	(26,100)	(26,100)	2,534,558	2,508,458
Insurance management result		(1,353,301)	(26,100)	(1,379,401)	2,534,558	1,155,157
Insurance finance income and expense						
Interest on insurance liabilities	15	-	-	-	532,400	532,400
Effect of changes in financial assumptions on insurance liabilities	15	-	-	-	(196,200)	(196,200)
Financial management result		-	-	-	336,200	336,200
		(1,353,301)	(26,100)	(1,379,401)	2,870,758	1,491,357
Receipts and disbursements						
Premiums received		1,369,085	-	1,369,085	-	1,369,085
Claims and other insurance expenses paid						
Payments for current year injuries		-	-	-	(314,077)	(314,077)
Payments for prior years' injuries		-	-	-	(1,343,281)	(1,343,281)
		1,369,085	-	1,369,085	(1,657,358)	(288,273)
Insurance liabilities, end of year		\$ (55,742)	\$ 216,700	\$ 160,958	\$ 13,413,100	\$ 13,574,058

13. INSURANCE REVENUE AND EXPENSES

ACCOUNTING POLICY

Insurance premiums comprise only those rate components directly attributable to risk underwriting and claims fulfilment. Premiums are assessed and due when employers report their assessable earnings for the current year. For employers who have not reported, premiums are estimated and included in insurance revenue.

Premium receipts are recorded in the LRC based on assessed premiums as a measurement proxy for future service obligations. Non-insurance related premiums assessments are also levied to fund statutory funding commitments.

Insurance revenue is recognized in the Statement of Financial Performance and Comprehensive Income based on the passage of time over the coverage period of the group of contracts. As WCB provides insurance contract services it reduces the LRC and recognizes insurance revenue. The amount of insurance revenue recognized depicts the transfer of promised services at an amount that reflects the portion of consideration that WCB expects to be entitled to in exchange for those services. Insurance revenue includes an accrual for estimated premiums for yet to be reported assessable earnings of the period.

Insurance expense is recognized in the Statement of Financial Performance and Comprehensive Income as costs for current year claims are incurred and as exposures to long-latency workplace disease or injury agents occur over time.

Insurance expense comprises the following:

- Cost of current year claims comprising payments made on current year claims
- Provisions for future costs of current year claims, occupational disease exposures, and claims management expenses
- Onerous contract losses recognized in insurance expense when fact and circumstances indicate that the contract is onerous and future cash flows are expected to be a net outflow. The portion of the expected loss related to future coverage, if any, is deferred as the loss component of the LRC. In the subsequent period when the expected loss is realized as claim obligations are fulfilled, the loss component is reversed as an offsetting credit to insurance expense
- Remeasurement of the liability for incurred claims resulting in gains and losses arising from differences between actual and expected claims experience from the previous valuation, changes in actuarial methods and assumptions, or changes in policy or legislation.

PREMIUMS

Under the Act, premiums are assessable at the effective date of coverage, i.e., the beginning of the calendar year. The assessed amount due is based on employers' reported estimate of their annual or quarterly assessable earnings. At the end of the period, premiums also include estimated assessments of \$7,667.0 (2023- \$7,545.1) for yet to be reported assessable earnings for the coverage period. The premium accrual is determined using a statistical model to estimate the amount of unreported assessable earnings, based on actual returns processed to date and historical patterns of processed to unprocessed returns and the ratio of estimated to actual payrolls at a specified point in time. Any difference between estimated and assessed premiums is adjusted when final assessable earnings are reported in the following period.



Premium components

Assessments required to fund claim and administrative costs as well as statutory funding commitments for the coverage period include the following premium components:

Safety rebates

Partnerships in injury reduction program (PIR), is a voluntary program that pays safety rebates to registered employers that have met the eligibility requirements in achieving certain workplace safety targets as specified under the program. Earned rebates are payable in the following year. The estimated rebate amount is based on several factors, including premiums paid, year-over-year improvement in claim experience and safety performance relative to industry benchmarks, among others. See Note 19(c) *Safety Rebates* for supplemental information on the Partnerships in Injury Reduction rebates.

Injury reduction recovery from premiums

In addition to insurance coverage, gross assessments include statutory funding for external organizations responsible for workplace injury reduction (i.e., Occupational Health and Safety, industry safety associations). These non-insurance assessments are segregated from insurance revenue because they are statutory levies to fund the operating costs of those organizations. The assessed amounts and related expenses are presented on a net basis under administration and other expense on the Statement of Financial Performance and Comprehensive Income as WCB is an agent of the program.

Premiums for insurance coverage

Insurance premiums cover payments for current year claims for future costs of current year claims, and provisions for future claims management expenses and long latency occupational injury and disease exposures. Funding of operating costs under the Act (i.e., corporate administration) is also included. Premiums for insurance coverage represents assessments net of non-insurance components.

See the table below for a breakdown of the premium components that insurance revenue is derived from.

(\$ thousands)	2024	2023
Gross assessments	\$ 1,711,606	\$ 1,504,715
Safety rebates	(103,413)	(84,924)
Net assessments	1,608,193	1,419,791
Other assessments	9,873	8,282
Deduct: Injury reduction recovery from premiums	(78,684)	(74,772)
Premiums for insurance coverage	\$ 1,539,382	\$ 1,353,301

For a distribution of premiums by industry classification, see *Concentration of Risk* in Note 14 *Insurance Risk and Risk Management*.

INSURANCE REVENUE

Assessed insurance premiums recorded in the liability for remaining coverage substantively represents deferred insurance revenue. WCB concluded that passage of time best represents the pattern of earned revenue recognition because its exposure to risk does not change proportionately as liability is released through incurrence and settlement of claims. Instead, insurance revenue is recognized through straight-line release of the liability for remaining coverage as insurance service obligations are fulfilled evenly over the coverage period. At the end of the coverage period, the liability for remaining coverage is adjusted to include all finalized premiums and provisional assessments, with the final balance being fully amortized to insurance revenue.

For discussion of how insurance premiums are recognized in revenue, see the sections *Changes in the liability for remaining coverage* under *Explanation of recognized amounts* in Note 12 *Insurance Contracts*, as well as the section *Reconciliation of insurance liabilities* for details of how insurance premiums flow through the liability for remaining coverage and subsequently released to insurance revenue.

INSURANCE EXPENSE

Cost of current year claims

The table below provides details of the cost of current year claims reported in insurance expense:

(\$ thousands)	Current Year Injuries	Prior Years' Injuries	2024	2023
Claims expense				
Provision for future costs of current year injuries and exposures ¹	\$ 1,413,400	\$ -	\$ 1,413,400	\$ 1,282,400
Claim payments processed in the year				
Short-term disability	118,362	304,967	423,329	442,999
Long-term disability	3,039	407,967	411,006	352,425
Survivor benefits	6,715	54,518	61,233	56,881
Health care	148,297	325,205	473,502	459,720
Re-employment services	1,993	159,452	161,445	171,295
	278,406	1,252,109	1,530,515	1,483,320
Claim payments related to prior years ²	-	(1,382,988)	(1,382,988)	(1,343,281)
	278,406	(130,879)	147,527	140,039
	1,691,806	(130,879)	1,560,927	1,422,439
Claims management expense³				
Claims-related administration	52,667	112,953	165,620	156,981
Appeals Commission	18	17,926	17,944	17,057
	52,685	130,879	183,564	174,038
	\$ 1,744,491	\$ -	\$ 1,744,491	\$ 1,596,477

¹ Provision for future costs of current year injuries and exposures represents the present value of all future obligations for benefit payments arising from current year injuries and occupational disease exposures.

² Although claim payments relating to prior years injuries are processed in the reporting period, they are not expensed in the current year but are charged to the liabilities established for prior accident years.

³ Claims management represents WCB's internal functional costs related to claims processing as well as funding of the external decision review body. See Note 16 Administration and Other Expense, for a breakdown by nature of expenses related to Claims-related administration.

Other insurance expense

Insurance expense also includes remeasurement of insurance liabilities (excluding discount rate changes) of \$179.6 million (2023- \$938.1 million) and the net change in onerous contracts losses of \$16.9 million (2023- \$26.1 million), comprising the loss recognized in the period of \$199.8 million (2023- \$216.7 million) and reversal of the loss of the prior period of \$216.7 million (2023- \$242.8 million).

The rate setting deficiency for the 2025 premium year resulted in recognition of an onerous contract loss for the period of \$199.8 million (2023- \$216.7 million). With reversal of the prior year loss, the net change in the onerous contract loss recognized in insurance expense for the period was a decrease of \$16.9 million (2023 decrease of \$26.1 million). See the section *Loss component of onerous contracts* in Note 12 *Insurance Contracts* for additional information.



Changes in the liability for incurred claims

The change of the real discount rate curve used for this valuation, with an equivalent single real discount rate of 2.55% (2023- 2.66%) per annum, resulted in an increase in the liability of \$172.2 million.

See the section *Measurement methods and assumptions* in Note 12 *Insurance Contracts* for discussion of the rate methodology and the respective rate curves.

The effect of the change in financial assumptions, primarily inflation and discount rates, is presented separately from other remeasurement changes.

In 2024, there were several changes made to the actuarial assumptions and methods for December 31, 2024 valuation versus those used for the previous valuation. For December 31, 2024 valuation, updates were made to the assumptions used to value liabilities for mortality, short term wage loss and re-employment services, home maintenance and housekeeping allowances, and net wage growth. These changes to actuarial basis caused liabilities for incurred claims to decrease by \$128.8 million (2023- \$305.0 million increase).

For 2024, experience losses on prior years' claims and exposures amounted to \$308.4 million (2023- \$633.1 million). This loss was primarily driven by higher-than-expected new economic loss payment awards in 2024, along with higher claim costs from short-term wage loss benefits, offset by reductions in personal care allowances and home maintenance and housekeeping allowances.

There were no changes in legislation or policy effective in 2024 that impacted the valuation of insurance liabilities.

The table below provides details of the remeasurement changes in the LIC along with their corresponding presentation in the Statement of Financial Performance and Comprehensive Income for the reporting period.

(\$ thousands)	2024	2023
Change in inflation and real discount rate from prior period	\$ 172,200	\$ (196,200)
Remeasurement of insurance liabilities (excluding discount rate changes)		
Changes in valuation methods and assumptions		
Mortality	(389,000)	-
Short-term wage loss and re-employment services	379,900	-
Home maintenance and housekeeping allowances	(65,600)	-
Net wage growth	(54,100)	-
Personal care allowances	-	284,200
Economic loss payments	-	50,300
Non-economic loss payments	-	(29,500)
	(128,800)	305,000
Changes in claims experience		
Economic loss payments	366,400	505,900
Personal care allowances	(81,100)	-
Short-term wage loss benefits	51,700	121,400
Home maintenance and housekeeping allowances	(50,900)	-
Other experience losses (gains)	22,288	5,781
	308,388	633,081
Remeasurement of insurance liabilities (excluding discount rate changes)	179,588	938,081
Presented in the statement of financial performance and comprehensive income as:		
Effect of inflation and discount rate changes on liabilities	172,200	(196,200)
Remeasurement of insurance liabilities (excluding discount rate changes)	179,588	938,081
	\$ 351,788	\$ 741,881

14. INSURANCE RISK AND RISK MANAGEMENT

Nature and extent of insurance risks

Insurance risk encompasses the possible occurrence of insured events, the unpredictability of related claims development and the amount of the ultimate loss. Insured events are inherently random, with the actual number of claims and benefits varying from the estimated timing, volume, severity, and duration of those claims, among other factors. Consequently, these factors result in high measurement uncertainty in establishing liabilities for incurred claims and for sufficient pricing of coverage. For a portfolio of insurance contracts, the principal actuarial risk is that actual experience will emerge differently than expected, leading to losses exceeding the carrying amount in the liabilities.

Insurance risk for public workers' compensation systems differs materially from underwriting risk in competitive commercial markets. Unlike commercial policies with clearly specified insured risks and liability limits, risks for these insurance programs arise from broad principles-based rights and obligations established by legislation, regulations, and tribunal decisions, as well as from WCB's interpretation and application of legislated objectives. From time to time, amendments to WCB legislation may also substantively redefine the scope, nature, and magnitude of statutory rights and obligations, significantly increasing the complexity and uncertainty in revenue and liability measurement.

Concentration of risk

WCB is exposed to concentration risk because it operates exclusively in Alberta, which precludes broad diversification of insurance risk across geographic regions, industries, and populations. WCB's insurance risk exposures are highly concentrated in the construction and public sectors, with associated exposures to seasonality and economic cyclicalities, and large covered worker populations.

The table below shows WCB's economic exposure to insurance contract risk by industry sector, using current year assessed premiums as an indicator of sectoral risk concentration:

Year ended December 31, 2024

(\$ thousands)	Current year assessed premiums			
	2024	% of total	2023	% of total
Sector classification				
Agriculture	\$ 30,939	1.8%	\$ 28,997	1.9%
Business Services	134,447	7.9%	115,720	7.7%
Construction	414,824	24.2%	376,981	25.1%
Manufacturing	163,164	9.5%	147,867	9.8%
Mining, Oil and Gas	116,625	6.8%	112,069	7.5%
Municipalities, Education, Health	379,464	22.2%	308,807	20.5%
Provincial Government	34,474	2.0%	25,223	1.7%
Trade	232,223	13.6%	202,004	13.4%
Transportation	205,446	12.0%	186,883	12.4%
Other	-	0.0%	164	0.0%
	\$ 1,711,606	100.0%	\$ 1,504,715	100.0%

Sensitivity of material assumptions

In determining insurance liabilities, the primary material assumptions are assumptions on escalation rates and nominal discount rates. The general inflation assumption impacts all future cash flow estimates, given its correlation to wage growth, and health care escalation rates. Wage growth assumption is used to value insurance liabilities for benefits such as re-employment services and personal care and housekeeping allowances. Health care escalation assumption affects the insurance liabilities for health care benefits. Mortality and longevity are also significant assumptions, but it is difficult to isolate the impact and therefore, sensitivity disclosure has not been provided.



Methodologies for quantifying sensitivities

WCB establishes assumptions on the discount rates and general inflation rates for all future years based on market data as at the valuation date. Assumptions on wage growth and health care escalation are set by adding 0.9% and 1.5% respectively to the general inflation assumption.

Sensitivity analyses are prepared by replacing the assumption in a valuation model with a test assumption while holding all others constant. The difference between the two outputs represents the hypothetical effect of the change in assumptions on specific results.

The following sensitivity analyses show the impacts on key results for reasonably possible movements in the specified material assumptions:

(\$ millions)	Effects of assumption changes on key results					
	2024			2023		
	Single equivalent rate	Fund Balance		Single equivalent rate	Fund Balance	
		+1.00%	-1.00%		+1.00%	-1.00%
Economic assumptions						
General inflation ¹	2.31%	\$ (2,047.3)	\$ 1,654.70	2.04%	\$ (2,018.5)	\$ 1,615.90
Real wage growth ²	0.90%	(782.0)	607.7	1.00%	(826.0)	631.8
Real health care escalation ³	1.50%	(294.1)	236.0	1.50%	(275.3)	220.3
Financial assumptions						
Nominal discount rate ^{4,5}	4.92%	\$1,600.9	\$ (2,010.2)	4.75%	\$1,552.7	\$ (1,965.0)

¹ General inflation is the core indicator underlying all economic assumptions.

² Real wage growth represents growth in excess of general inflation.

³ Real health care escalation represents escalation in excess of general inflation.

⁴ Nominal discount rate comprises risk-free bond yield curve adjusted by an illiquidity factor for all tenors.

⁵ Note 7 Investment Risk Management discusses interest rate risk on fixed income pool investments. After considering the investments, the net impact to fund balance of a +1.00% change in interest rates is \$1,250.3 million and a -1.00% change in interest rates is \$1,659.6 million.

CLAIMS DEVELOPMENT

The table that follows presents the development of the estimated ultimate cost of claims and related claim payments for accident years 2015- 2024. The top part of the table illustrates how the estimate of total cash flows for each accident year has changed with increased experience over successive valuations. The shaded claims triangle shows the estimated cost of claims for an accident year in the year of the accident, one year after the year of the accident, two years after the year of the accident, etc., and compares the total estimated cost to the actual cumulative payments over the development period. Due to the decades-long duration of certain WCB benefit types, significant amounts may be paid out in the distant future beyond the valuation date. The bottom part of the table reconciles the total outstanding benefits amount, including provisions that do not require payments, to the discounted amount of the LIC. Further detail of the LIC can be seen in the section *Reconciliation of insurance liabilities* in Note 12 *Insurance Contracts*.

Claims Development¹
as at December 31, 2024

(\$ millions)	Prior Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	Total
Estimate of cumulative claims benefits												
At end of accident year		1,421.3	1,323.9	1,471.6	1,714.5	1,952.8	1,842.3	1,928.5	2,174.4	2,455.4	2,718.9	
One year later		1,353.1	1,427.1	1,644.2	1,819.2	1,924.4	1,878.7	2,037.4	2,397.9	2,545.2		
Two years later		1,516.5	1,550.3	1,781.5	1,822.9	2,001.9	2,009.4	2,248.2	2,535.2			
Three years later		1,648.0	1,632.2	1,762.9	1,919.1	2,151.4	2,297.4	2,404.3				
Four years later		1,719.7	1,590.4	1,831.6	2,088.1	2,432.1	2,521.0					
Five years later		1,660.2	1,606.0	1,944.5	2,340.6	2,640.5						
Six years later		1,700.2	1,685.1	2,092.3	2,551.1							
Seven years later		1,739.8	1,791.6	2,217.2								
Eight years later		1,840.1	1,847.0									
Nine years later		1,853.1										
Current estimate of cumulative claims benefits		1,853.1	1,847.0	2,217.2	2,551.1	2,640.5	2,521.0	2,404.3	2,535.2	2,545.2	2,718.9	
Cumulative payments		(732.1)	(704.9)	(839.9)	(945.1)	(949.2)	(816.6)	(735.8)	(663.6)	(519.6)	(278.4)	
Outstanding benefits												
Undiscounted	\$	9,922.6	\$ 1,121.0	\$ 1,142.1	\$ 1,377.3	\$ 1,606.0	\$ 1,691.3	\$ 1,704.4	\$ 1,668.5	\$ 1,871.6	\$ 2,025.6	\$ 2,440.5
Effect of discounting		(5,193.3)	(649.4)	(654.7)	(772.4)	(898.6)	(935.3)	(910.3)	(865.9)	(952.5)	(1,010.6)	(1,138.2)
		4,729.3	471.6	487.4	604.9	707.4	756.0	794.1	802.6	919.1	1,015.0	1,302.3
Claims management												
Undiscounted												1,533.5
Effect of discounting												(723.4)
												810.1
Latent occupational diseases												
Undiscounted												3,279.8
Effect of discounting												(2,213.0)
												1,066.8
Total claim benefits												
Undiscounted												31,384.2
Effect of discounting												(16,917.6)
Liability for incurred claims												\$ 14,466.6

¹ Claims management and latent occupational diseases are excluded from the claims development triangles because they are provisions only without direct cash flows.

Risk management

Effective management of insurance risk is critical to sustaining WCB's fiscal capacity over the long term, through activities such as identifying, evaluating, and implementing proactive loss control, trend monitoring, and mitigation strategies. The following discussions cover the major functional areas of focus in insurance related risk management.

Insurance risk

To minimize the risks of complex claim resolution and resulting cost escalation, WCB implemented a claimant-centric and multi-disciplinary, technology supported case management process aligned with WCB's statutory mandate and service commitments. This integrated process relies on proven business practices to ensure that claims are accepted and processed in a timely manner to accomplish effective return-to-work outcomes. Effective claims management is a function of ongoing review of current and historical claims performance, predictive data analytics to help monitor claims experience, proactive interventions in high-risk claims, and planning for future enhancements in claims processing.



Solvency risk

WCB's asset liability management (ALM) framework that drives execution of funding policy is designed to safeguard financial sustainability of the Accident Fund over the long run. The primary objective of ALM is to ensure that the compensation system is fully funded while meeting investment return targets at a prudent level of risk. This is achieved by positioning the investment portfolio to deliver sustainable returns, liquidity, and diversification over a wide range of asset classes, capital markets and risk profiles. Targets are established through frequent ALM studies that model a broad and diverse set of scenarios for both macroeconomic conditions and WCB-specific business and funding strategies. ALM outputs enable investment management to align the maturity and risk characteristics of future cash flows for both assets and liabilities, as well as critical insights and recommendations for funding strategy and its execution. The intent is not to perfectly match asset and liability cash flows but to facilitate an integrated approach in making investment and funding decisions.

Maturity analysis of liability cash flows

The following table summarizes the maturity profile of WCB's insurance liabilities as at December 31, 2024 based on the future cash flows expected to be paid out in the periods presented. Because a significant amount of WCB's investments is held in pools that are reasonably liquid, a maturity analysis for financial assets corresponding to the maturity profile of insurance liabilities is not required because those assets do not directly service the liabilities. Moreover, investment cash flows are not meaningfully comparable to liability cash flows because of the mismatch between their respective holding objectives and risk characteristics.

(\$ millions)	Up to 1 year	2 years	3 years	4 years	5 years	6 years and beyond	Total future claim payments
2024							
Estimated future cash flows (undiscounted)	\$ 1,436.9 4.6%	\$ 1,162.0 3.7%	\$ 1,056.6 3.4%	\$ 979.4 3.1%	\$ 926.8 3.0%	\$ 25,822.5 82.2%	\$ 31,384.2 100.0%
2023							
Estimated future cash flows (undiscounted)	\$ 1,342.1 4.7%	\$ 1,052.8 3.6%	\$ 938.1 3.2%	\$ 858.3 3.0%	\$ 801.8 2.8%	\$ 23,801.4 82.7%	\$ 28,794.5 100.0%

Investment and financial risk

Other than the time value of money reflected in estimates of future cash flows, WCB has no direct exposure to financial risk from insurance contracts because those cash flows are not contractually linked to an underlying pool of financial assets exposed to market risks. WCB's exposure to financial risk arising from its investment portfolio is indirect because it holds pools exclusively. WCB's overall investment risk is professionally managed by AIMCo within a robust investment management framework closely aligned with WCB's investment policy and guidelines.

See Note 7 *Investment Risk Management* for details of financial risk exposures and investment portfolio related risk management.

Credit risk

Premiums receivable from employers have credit risk, which vary based on employer-specific factors, industry conditions, and macroeconomic or other factors. Their credit risk is largely subject to the economic circumstances they face and general economic conditions of the province.

Credit risk associated with premium receivables related to employers is mitigated through risk management policies and procedures, which include close monitoring of premium payment status and follow-up measures with the employer. Premiums receivable are written off when there is no reasonable expectation of recovery. However, WCB continues to pursue enforcement activity to collect the amounts due.

15. INSURANCE FINANCE INCOME AND EXPENSE

ACCOUNTING POLICY

Time value of money is incorporated into measurement of future cash flows by discounting them to their present value.

Insurance finance income and expense represents the incremental return or cost for holding an insurance asset or liability for a specified period.

Interest (or accretion) expense arises from unwinding or reversing the effects of discounting a future liability. The expense, which represents the amount applicable to the current period to increase the discounted liability to its future value at the end of the period, is recorded in insurance finance income and expense.

The effect of changes in financial assumptions arising from remeasurement of an insurance asset or liability is also recorded in insurance finance income and expense in the period that such remeasurement occurs.

WCB includes insurance finance income and expenses for the period in profit or loss on the Statement of Financial Performance and Comprehensive Income.

Investment returns and insurance finance income and expense

The Act mandates that the Accident Fund hold sufficient assets to fund future payments of all claim obligations but does not explicitly specify a contractual linkage to the cash flows of the investment portfolio. Consequently, there is no direct relationship between investment returns and insurance finance income and expense because investment cash flows are not used for contract measurement. Although investment returns directly fund the payment of claims, the underlying measurement impacts arising from financial risks are within the scope of IFRS 9 rather than IFRS 17.

Insurance finance income and expense

Insurance interest for the period of \$671.3 million (2023- \$532.4 million) is determined by applying the nominal discount rate of 5.26% (2023- 5.08%), representing the year 1 rate from the prior year discount rate curve applied to the average liability for incurred claims over the coverage period.

Changes in financial assumptions

The primary drivers of changes in financial assumptions are macroeconomic conditions directly affecting yields on debt securities on which the discount rate curve for liability measurement is based. The effect of remeasuring future cash flows in the current period using the 2024 rate curve was a \$172.2 million loss (2023- \$196.2 million gain), reflecting a change in the single equivalent real discount rate from 2.66% in 2023 to 2.55% in 2024.

For further details on the discount rate curve used to discount insurance liabilities can be found in the section *Real discount rates* in Note 12 *Insurance Contracts*.



16. ADMINISTRATION AND OTHER EXPENSE

Administration

WCB's total administration expenses are classified into two major groups based on their primary business functions:

Claims-related administration

This group is responsible for insurance operations including adjudicating claims, processing benefit payments, providing rehabilitation and re-employment services and other administrative functions related to claims management. Since these costs are directly attributable to claims fulfilment, the current year amounts are included in insurance expense. Future cash flows for claims administration arising from current year claims are included in the provision for future costs of current year injuries and exposures.

Corporate administration

This group is responsible for general and support services for the organization, including finance, human resources, legal, technology and executive management.

Funding of operating costs

In addition to the fully funded cost of expected claims and claims management for the period, legislation permits WCB to assess premiums to cover the all-inclusive operating costs of the Accident Fund, primarily claim and corporate administration. These operating requirements are incorporated into premium rates.

The table below presents administration expenses broken down by nature of expense and functional purpose:

(\$ thousands)	Claims-related administration	Corporate administration	2024	2023
Administration expenses				
Salaries and employee benefits	\$ 179,979	\$ 71,067	\$ 251,046	\$ 236,028
Technology	18,008	16,423	34,431	25,739
Office	2,172	1,806	3,978	3,621
Occupancy	6,075	3,756	9,831	8,616
Professional fees	3,030	2,152	5,182	5,015
Other	885	1,279	2,164	2,419
	210,149	96,483	306,632	281,438
Depreciation and amortization	14,164	10,314	24,478	23,728
	224,313	106,797	331,110	305,166
Less				
Recovery of costs from third parties	15,157	49	15,206	12,074
Reclassifications				
Claims expense – re-employment services	43,536	-	43,536	39,687
Investment management expense ¹	-	1,148	1,148	1,290
	58,693	1,197	59,890	53,051
	\$ 165,620	\$ 105,600	\$ 271,220	\$ 252,115

¹ Internal administration costs charged to investment management expense.

17. RELATED PARTY TRANSACTIONS

GOVERNMENT OF ALBERTA AND RELATED ENTITIES

WCB has transactions with various Alberta Crown corporations, departments, agencies, boards, educational institutions and commissions in the ordinary course of operations. Such transactions include premiums from the organizations and certain funding obligations relating to Occupational Health and Safety and the Appeals Commission that are in accordance with the applicable legislation and/or regulations. WCB is related to these entities by virtue of common influence by the Government of Alberta and as a government-related entity, WCB is not required to disclose these transactions under the exemption in IAS 24 *Related Party Disclosures*. Transactions with AIMCo as the exclusive manager for WCB's investment portfolio, which include management fees and other expenses as well as investment commitments for certain pools, may not be consistent with usual commercial practice for similar services and vehicles. Because they are significant, investment management fees and expenses are shown separately on the Statement of Financial Performance and Comprehensive Income and disclosed in Note 6 *Investment Income and Expense*, with funding commitments disclosed in Note 5 *Investments*.

KEY MANAGEMENT COMPENSATION

Key management personnel of WCB, comprising the Board of Directors and the executive and their close family members, are also related parties in accordance with IAS 24. As at the reporting date, there were no business relationships, outstanding amounts or transactions other than compensation, between WCB and its key management personnel.



The tables below present total compensation of the board members and executive of WCB.

(\$ thousands)

	2024				
	Base Salary ¹	Other Cash Benefits ²	Non-Cash Benefits ³	SERP ⁴	Total
Chair, Board of Directors ⁵	\$ -	\$ 54	\$ 4	\$ -	\$ 58
Board Members ⁵	-	113	13	-	126
President and Chief Executive Officer	420	38	42	74	574
Chief Financial Officer	397	6	43	73	519
Chief Technology Officer	312	18	40	38	408
Secretary and General Counsel	259	8	32	5	304
Senior Vice President, Operations & Innovation ⁶	193	3	28	40	264
Vice President, Employee and Corporate Services ⁷	241	16	41	14	312
Vice President, Millard Health and Special Care Services	259	44	39	21	363
Vice President, Employer Account Services & Claims Management Support ⁸	118	12	16	3	149
Vice President, Client Services & Disability Management ⁹	19	1	4	-	24
2023					
Chair, Board of Directors	\$ -	\$ 40	\$ 1	\$ -	\$ 41
Board Members	-	78	11	-	89
President and Chief Executive Officer	402	37	41	64	544
Chief Financial Officer	382	13	42	64	501
Chief Technology Officer	297	6	60	20	383
Secretary and General Counsel	241	6	45	17	309
Senior Vice President, Operations & Innovation	382	6	42	76	506
Vice President, Employee and Corporate Services ¹⁰	300	6	46	41	393
Vice President, Millard Health and Special Care Services	241	6	39	18	304

¹ Base salary is pensionable base pay.

² Other cash benefits for Board Members comprise honoraria pay for meetings attended, while other cash benefits for other key management includes car allowances and vacation payouts.

³ Non-cash benefits include employer's share of all employee benefits and payments made to, or on behalf of, employees including statutory contributions, pension plans, extended health care benefits, group life insurance and professional memberships.

⁴ SERP represents employer's current service cost for benefits accrued under a supplemental executive retirement plan. See Note 11 Employee Benefits for details of the plan, and the following table for the costs and obligations related to each named key management position.

⁵ The Chair of the Board of Directors and the Board Members are part-time positions. In 2024, three new vacancies were filled, increasing the total number of positions to nine, up from six in 2023.

⁶ Incumbent retired as an officer effective June 30, 2024.

⁷ Incumbent took office January 1, 2024.

⁸ Position effective July 1, 2024.

⁹ Position effective December 2, 2024.

¹⁰ Incumbent retired as an officer effective December 31, 2023.

SUPPLEMENTAL EXECUTIVE RETIREMENT PLAN

	2024				2023	
	Current Service Cost ¹	Other Costs ²	Net Cost	Accrued Obligation	Net Cost	Accrued Obligation
President and Chief Executive Officer	\$ 74	\$ 21	\$ 95	\$ 453	\$ 113	\$ 358
Chief Financial Officer	73	53	126	1,449	236	1,323
Chief Technology Officer	38	17	55	225	103	170
Secretary and General Counsel	5	12	17	163	38	146
Senior Vice President, Operations & Innovation ³	40	(11)	29	1,679	209	1,650
Vice President, Employee & Corporate Services ⁴	14	2	16	16	-	-
Vice President, Employee & Corporate Services ⁵	-	-	-	-	86	862
Vice President, Millard Health and Special Care Services	21	13	34	157	37	123
Vice President, Employer Account Services & Claims Management Support ⁶	3	2	5	5	-	-
Vice President, Client Services & Disability Management ⁷	-	1	1	1	-	-

¹ Current service cost represents the actuarial present value of future benefit obligations arising from employee service in the current period.

² Other costs include interest on the liability and actuarial gains and losses arising from assumption changes and/or experience, less any benefit payments.

³ Incumbent retired as an officer effective June 30, 2024.

⁴ Incumbent took office January 1, 2024.

⁵ Incumbent retired as an officer effective December 31, 2023.

⁶ Position effective July 1, 2024.

⁷ Position effective December 2, 2024.

18. CONTINGENCIES AND INDEMNIFICATION

LEGAL PROCEEDINGS

WCB is party to various claims and lawsuits, related to the normal course of business, that are currently being contested. Based on the total amount of all such actions, WCB has concluded that the outcomes will not have a material effect on the results of operations or financial position.

INDEMNIFICATION AGREEMENTS

In the normal course of operations, WCB enters into contractual agreements that contain standard contract terms that indemnify certain parties against loss. The terms of these indemnification clauses will vary based upon the contract, and/or the occurrence of contingent or future events, the nature of which prevents WCB from making a reasonable estimate of the potential amount that may be payable to those contractual parties. Such indemnifications are not significant, nor has WCB made any payments or accrued any amounts in the financial statements in respect of these indemnifications.



19. SUPPLEMENTAL INFORMATION

a) Cash and cash equivalents

Cash held in bank accounts for operational cash needs generated an average annual return of 5.1% (2023- 5.3%).

b) Trade and other liabilities

(\$ thousands)	Trade	Other	2024	2023
Trade payables	\$ 77,261	\$ -	\$ 77,261	\$ 45,514
Lease obligations - Note 10	-	7,212	7,212	7,703
Other liabilities	-	7,315	7,315	9,418
	77,261	14,527	91,788	62,635
Current portion	76,908	2,634	79,542	47,108
Non-current portion	353	11,893	12,246	15,527
	\$ 77,261	\$ 14,527	\$ 91,788	\$ 62,635

c) Safety Rebates

(\$ thousands)	2024	2023
Safety rebates payable, beginning of year	\$ 85,996	\$ 80,999
Payment of prior years' rebates	(86,884)	(77,156)
	(888)	3,843
Adjustment of prior years' accruals	1,711	(2,771)
Outstanding balance from prior years	823	1,072
Rebates for the year (Note 13)	103,413	84,924
Safety rebates payable, end of year	\$ 104,236	\$ 85,996

d) Injury Reduction

(\$ thousands)	2024	2023
Injury reduction recovery from premiums	\$ 78,684	\$ 74,772
Occupational Health and Safety	(47,503)	(43,395)
Industry sponsored safety associations	(26,811)	(25,974)
	(74,314)	(69,369)
Injury reduction	\$ 4,370	\$ 5,403

Annual Report Extracts and Other Statutory Reports

Statutes of Alberta Chapter P-39.5 – Public Interest Disclosure (Whistleblower Protection) Act

Section 32 of the *Public Interest Disclosure (Whistleblower Protection) Act* requires the chief officer of a department to report annually on all disclosures made to the designated officer of the department, public entity or office of the Legislature for which the chief officer is responsible. This constitutes the annual report of the chief officer of the department covering the period of April 1, 2024 to March 31, 2025. There were no disclosures of wrongdoing filed with the Public Interest Disclosure Office for the ministry.